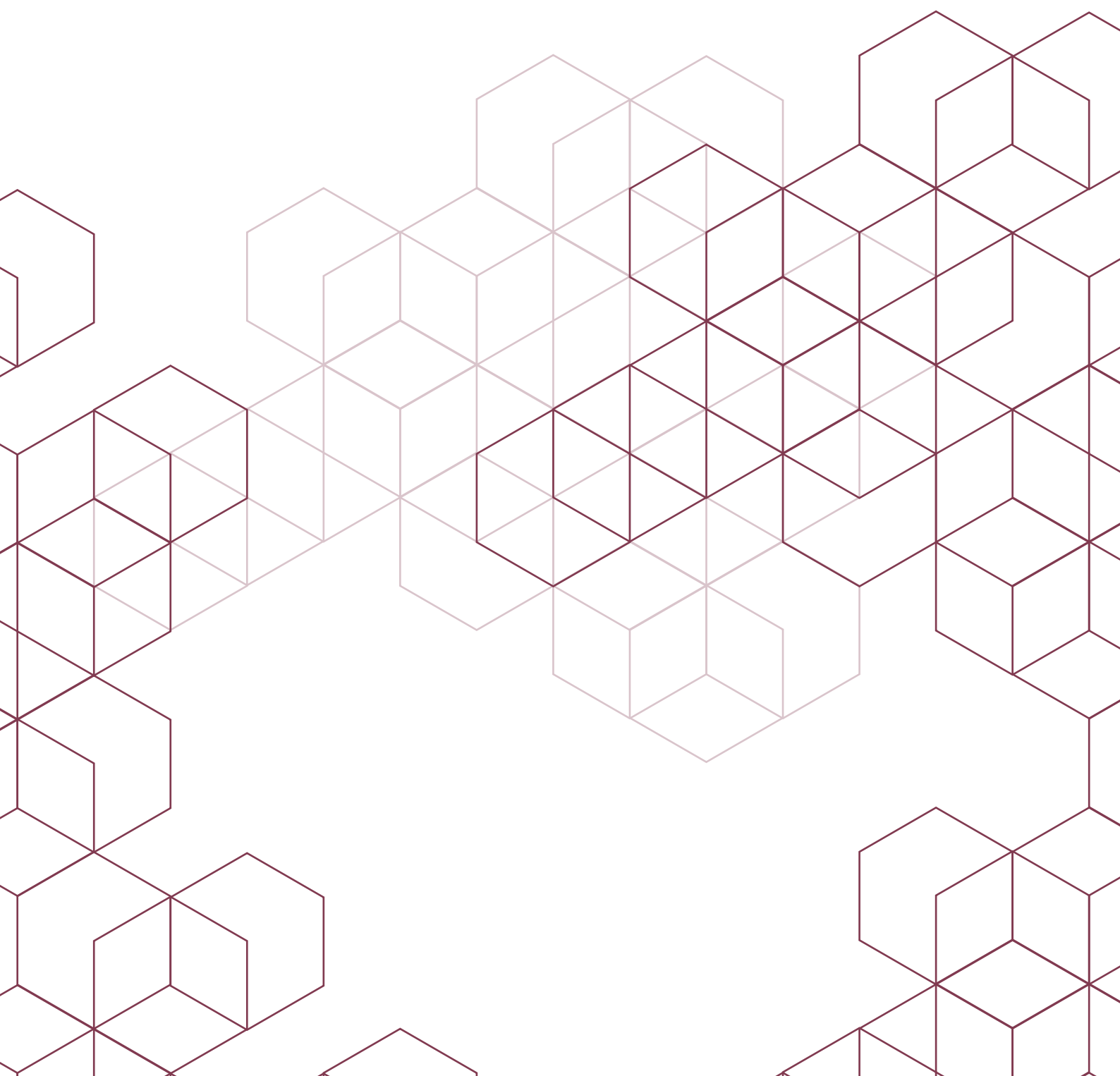


The Colombo Fort Land & Building PLC

Annual Report 2018/19





Industrial Products



Consumer Products



Leisure



Plantations



Property Rental



Motors



Services



Investments



Manufacturing

THE COLOMBO FORT LAND & BUILDING PLC

ANNUAL REPORT 2018/19

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Group Financial Highlights

Financial Performance - For the year ended 31st March,		2019	2018	Change %
Revenue - Consolidated	Rs. million	41,689	43,293	(4)
Gross Profit	Rs. million	6,698	8,763	(24)
Share of Results of Associates (Net of Tax)	Rs. million	39.8	(14.0)	(385)
Profit before Interest & Tax (EBIT)	Rs. million	117	2,497	(95)
Profit/(Loss) before Tax	Rs. million	(3,360)	(156)	(2,058)
Profit/(Loss) for the Year	Rs. million	(3,165)	(308)	(927)
Profit/(Loss) Attributable to-				
Owners of the Company	Rs. million	(2,174)	(500)	(335)
Non Controlling Interest	Rs. million	(991)	192	617
Financial Position - As at 31st March,		2019	2018	Change %
Total Assets	Rs. million	48,741	44,603	9
Total Shareholders' Funds	Rs. million	5,529	5,127	8
Non Controlling Interest	Rs. million	4,220	3,159	34
Total Equity	Rs. million	9,749	8,286	18
Total Debt	Rs. million	18,550	19,597	(5)
Total Capital Employed	Rs. million	28,300	27,884	1
Net Assets per Share	Rs.	30.72	28.48	8
Market/Shareholder Information - As at 31st March,		2019	2018	Change %
Number of Shares in Issue	million	180	180	-
Market Price of Share	Rs.	13.50	19.20	(30)
Market Capitalisation	Rs. million	2,430	3,456	(30)
Price Earnings Ratio (PER)	No. of times	(1)	(7)	84
Key Financial Ratios - As at 31st March,		2019	2018	Change %
Gross Profit Margin	%	16.07	20.24	(21)
EBIT Margin	%	0.28	5.77	(95)
Interest Cover	No. of times	0.03	0.94	(96)
Net Profit Margin	%	(7.59)	(0.71)	(966)
Earnings per Share	Rs.	(12.08)	(2.78)	335
Return on Capital Employed	%	0.41	8.95	(95)
Return on Equity	%	(32.46)	(3.72)	(772)
Debt Ratio	%	80.00	81.42	(2)
Total Assets Turnover	No. of times	1.17	1.03	13
Current Ratio	No. of times	0.40	0.49	(19)
Dividend payout Ratio	No. of times	(0.02)	(0.11)	(77)

Chairman's Review

On behalf of the Board of Directors it gives me great pleasure to present to you the Annual Report and the Audited Financial Statements for the year ended 31st March 2019.

For the year under review the Group recorded a turnover of Rs.41.7 Billion compared to a turnover of Rs.43.3 Billion in the previous year. At Company level, the profit declined from Rs.110.6 Million to Rs.22.7 Million.

The performance of the Group in the year under review can be seen in the light of economic headwinds that buffeted the local economy. High interest rates, high taxes, subdued demand as a result of low consumer spending and weak commodity prices have all had an impact on the performance of the Group. The fallout from the horrific events of the 21st of April 2019 and the civil strife that followed may have a negative impact on the Group's performance in the year ahead. The biggest impact that these attacks would have had would be in the Leisure Sector.

In the year under review the profits of the Leisure Sector were up strongly to Rs.162 Million from a profit of Rs.126 Million in the previous year. We are hopeful that with the steps taken by the Government to improve security, tourist arrivals will bounce back and the industry will return to the path of strong growth that it had witnessed over the recent past.

The steep decline in tea prices, witnessed at the Colombo Auction as well as continued weakness in the global market for Natural Rubber has seen both the Group's Plantation companies run at a significant loss. Coupled with these low prices, the latest round of wage negotiations resulted in the basic daily wage paid to workers increase by nearly 40%. The current economic model around the Plantations is unsupportable and sooner rather than later unless the wage model is changed, operations around the Plantations will not be sustainable.

There has been no significant change around the duty structure on motor vehicles. The current duty structure has had a tremendous impact on the operations of the Group's subsidiaries in this sector. With no relief in sight, the Group has made a decision to exit from its operations in the KIA franchise. This decision will allow CM Holdings PLC to focus on its real estate and investment businesses.

As I mentioned earlier, the detrimental economic conditions has had a major impact on the FMCG Sector. The industry has seen a decline in volumes and margins as the impact of the depreciation of the Sri Lankan Rupee has seen an increase in the input costs into these industries. The scope to increase prices is limited and our subsidiaries operating in this area will have to deal with lower margins in the short run.

The rising interest rates, decline in commodity prices and the depreciation of the Sri Lankan Rupee have all impacted our bottom line. We continue to keep all our costs under control and look at exiting businesses where we don't see strong business prospects in the future.

We see some light at the end of the tunnel. The local currency seems to have stabilized and interest rates have started to decline. Consumer spending seems to have improved slightly in the last quarter of the past financial year. Given these circumstances, I am hopeful that the next financial year will be an improvement on the year just past.

Ms.Anandhiy Gunawardhana who served on the Board from November, 2011 resigned during January, 2019. The Board wishes to thank her for the contribution made during her tenure of service.

I would like to take this opportunity to thank the many stakeholders who assist in the operations of the Group. My thanks also go out to my colleagues on the Board for their counsel and support as the Group grows out of the current troubled period.

A Rajaratnam
Chairman

30th August, 2019

Directors' Profiles

A. RAJARATNAM - CHAIRMAN

FCA

Mr. A. Rajaratnam having joined the Board in 1994, was appointed Chairman of the Company in November 2011. He also serves as Chairman on the Boards of certain subsidiaries of The Colombo Fort Land & Building PLC Group and holds other Directorships within the Group.

S.D.R. ARUDPRAGASAM - DEPUTY CHAIRMAN

FCMA (U.K.)

Mr. S.D.R. Arudpragasam joined the Board in the year 2000 and was appointed Deputy Chairman in November 2011. He serves as Chairman of several subsidiaries of The Colombo Fort Land & Building PLC. Mr. Arudpragasam also holds the position of Chairman, Lankem Ceylon PLC and functions as Chairman / Managing Director of E.B. Creasy & Company PLC, in addition to serving on the Boards of other companies in The Colombo Fort Land & Building PLC Group.

ANUSHMAN RAJARATNAM - GROUP MANAGING DIRECTOR

B.Sc (Hons.), CPA, MBA

Mr. Anushman Rajaratnam joined the Board in November 2011. He has spent several years working overseas as a Consultant for a leading Accountancy Firm. He currently holds the position of Group Managing Director of The Colombo Fort Land & Building PLC and also serves on the Boards of several subsidiaries of the CFLB Group.

A.M. DE S. JAYARATNE - DIRECTOR

B.Sc. (Econ.), FCA (Eng. and Wales), FCA (ICASL)

Mr. A.M. de S. Jayaratne joined the Board in 2005. He was a former Chairman of Forbes & Walker Limited, Colombo Stock Exchange, Ceylon Chamber of Commerce and The Finance Commission. He also served as Sri Lanka's High Commissioner in Singapore. Mr. Jayaratne is a Director of several listed and unlisted Companies.

R. SEEVARATNAM - DIRECTOR

B.Sc. (Lond.), FCA (Eng. and Wales), FCA (ICASL)

Mr. R. Seevaratnam was appointed to the Board in 2009. He is a fellow member of The Institute of Chartered Accountants of England and Wales and Sri Lanka and holder of a General Science Degree from the University of London. He was a former senior partner of KPMG. Mr. Seevaratnam is a Director of several listed and unlisted companies.

C.P.R. PERERA - DIRECTOR

Mr. C.P.R. Perera was appointed to the Board in May 2013. He serves as a Director of several Companies in The Colombo Fort Land & Building PLC Group and also holds directorships in other private and public companies. He is a past Chairman of the Sri Lanka Tea Board, Sri Lanka Insurance Corporation, PERC and Bank of Ceylon. He retired as Chairman of Forbes & Walker Limited and its subsidiary companies in June 2005 after almost 44 years of service. He presently functions as Chairman of Ceylon Tea Brokers PLC. Mr. Perera has served as a Committee Member of the Ceylon Chamber of Commerce, The Planters Association of Ceylon and on the Committee of Management of the Ceylon Planters Provident Society. He is presently an Appointed Member of the Monetary Board of the Central Bank of Sri Lanka.

P.M.A. SIRIMANE - GROUP FINANCE DIRECTOR

FCA, MBA

Mr. P.M.A. Sirimane was appointed to the Board in May 2017 and currently serves in the capacity of Group Finance Director, CFLB. He joined the E.B. Creasy Group in October, 2009 and was appointed to the Board in November 2009. Amongst other senior positions he has functioned as Managing Director/CEO of Mercantile Leasing Limited, Group Finance Director of United Tractor & Equipment Limited, Chief Financial Officer, Sri Lanka Telecom Limited and Director SLT Hong Kong Limited. He has served as a Member of several Committees of the Institute of Chartered Accountants of Sri Lanka and was an ex officio member of the International Leasing Association.

Mr. Sirimane serves on the Boards of some of the subsidiaries of The Colombo Fort Land & Building Group and also holds several other Directorships.

He is a Fellow of the Institute of Chartered Accountants of Sri Lanka and also holds a Masters in Business Administration from the University of Swinburne, Victoria, Australia.

SANJEEV RAJARATNAM - DIRECTOR

B.Sc., CA

Mr. Sanjeev Rajaratnam was appointed to the Board in May 2017. He holds a Bachelor of Science Degree in Business Administration from Boston College, U.S.A. and is a member of the Institute of Chartered Accountants in Australia. He has been associated with overseas companies in the field of Finance. He was appointed Joint Managing Director of E.B. Creasy & Company PLC in April 2018 and holds other Directorships in The Colombo Fort Land & Building Group.

Risk Management Review

OVERVIEW

Risk management involves identifying potential risks faced by the Group and implementing proper risk management techniques to mitigate such risks.

The Colombo Fort Land & Building Group PLC is involved in a diverse range of business activities. Whilst this diversification provides a hedge against the positive correlation of business and environmental risks, it also exposes the Group to a wider range of risks and opportunities. Therefore, a disciplined approach to risk management is important in order to ensure successful execution of strategic objectives and to express acceptance towards risk management which has been adequately compensated.

COMPANY'S APPROACH TO RISK

Risk management is an important function of our Group. The Group reviews and assesses significant risks on a regular basis and has implemented an oversight programme to ensure that there is a system of internal controls in place. It is more important to identify risks that may prevent a business from realising its potential, and to manage them in order to minimise adverse effects and maximise positive outcomes.

The risk management process involves identifying the risks, analysing and evaluating the risks and treating such risks by taking steps to reduce and eliminate the losses which may be faced by the Group. As a part of the Risk Management process, at the Group level, the Board reviews its strategies, processes, procedures and guidelines on a continuous basis to effectively identify, assess and respond to such risks.

The Group assesses risk at the individual transaction level and evaluates aggregated risk at the customer, industry, geographic and collateral-type levels, where appropriate. Risk assessment and risk management are the responsibilities of management. The risk infrastructure is designed to identify, evaluate and mitigate risks within each of the following categories;

RISK FACTORS

Strategic Risk

Strategic risk relates to the Group's future business plans and strategies, and includes risks associated with the markets and industries in which the Group operates, demand for products and services, competitor threats, technology and product innovation, mergers and acquisitions and public policy.

Operational Risk

Operational risk relate to the risk arising from the execution of business operations. The Group has established sound internal control systems in all its operations and continuously reviews and monitors those procedures to ensure accountability and transparency in all its operations.

The Group faces a number of operational risks on an ongoing basis, including: Stock management; Supply chain management; Key supplier failure; and IT security. The Group is continuously focusing on improving its controlling and monitoring processes to ensure smooth functioning of all its operations.

Financial Risk

Financial risk relates to the ability to meet financial obligations and mitigate credit risk, liquidity risk and exposure to broad market risks, including volatility in foreign currency exchange rates, interest rates and commodity prices. Liquidity risk is the risk of being unable to accommodate liabilities at maturity, fund asset growth and meet contractual obligations through access to funding at reasonable market rates. Credit risk is the risk of financial loss arising from a customer or counterparty failing to meet contractual obligations.

Legal and Compliance

Legal and compliance risk relates to changes in the Government and regulatory environment, compliance requirements with policies and procedures, including those relating to financial reporting, environmental health and safety and intellectual property risks. Government and regulatory risk is the risk that the Government or Regulators' actions which will impose additional cost or cause the Group to change its business models or practices.

New Business and Acquisitions

Innovation is encouraged across CFLB businesses and activities. Therefore, it is important that all elements of new business initiatives are well understood before commencement. All new business initiatives must be approved by all Directors prior to commencement. The new business approval process is a formal process whereby all relevant risks (e.g. market, credit, equity, legal, compliance, taxation, accounting, operational and systems issues) are reviewed to ensure that the transaction or operation can be managed properly and will not create unknown or unwanted risks for CFLB in the future.

Credit Risk

Credit Risk is defined as the risk of a counterparty failing to complete its contractual obligations when they fall due. The consequent loss is either the amount of the loan being unpaid, or the loss incurred in replacing a trading contract with a new counterparty.

Business Risk

New entrants into the markets and the intensification of competition from existing players in these markets, variation in consumer spending patterns and effects of the weather conditions for seasonal businesses are the significant business risks that the Group encounters.

Corporate Governance

The Colombo Fort Land & Building PLC's (CFLB) Corporate Governance policy has ensured transparency and accountability towards our valuable stakeholders. The core objective of all Corporate Governance rules and regulations is to ensure that the interests of all stakeholders are reasonably safeguarded. Thus, the Board strives to take all possible steps to comply with best practices on Corporate Governance as it builds trust among stakeholders and establishes a basis for responsible conduct.

Our values have been applicable at all levels and this guarantees the business transparency towards our valuable stakeholders and corporate society.

THE BOARD

Board Composition

At the end of the financial year the Board comprised of one Executive Director and seven Non-Executive Directors of whom three are Independent. The Directors possess the necessary expertise in the fields of finance, corporate management and audit exposure with varied business and professional experience in order to direct, lead and control the Company's business activities successfully.

Mr. A. Rajaratnam - Chairman - Non-Executive
Mr. S.D.R. Arudpragasam - Deputy Chairman - Non-Executive
Mr. Anushman Rajaratnam - Group Managing Director -Executive
Mr. A.M. de S. Jayaratne - Independent Non-Executive
Mr. R. Seevaratnam - Independent Non-Executive
Ms. A.K. Gunawardhana - Independent Non-Executive
(Resigned w.e.f 15.01.2019)
Mr. C.P.R. Perera - Independent Non-Executive
Mr. P.M.A. Sirimane - Group Finance Director - Non-Executive
Mr. Sanjeev Rajaratnam - Non-Executive

Decision Making of the Board

The Board discusses matters relating to formulation and implementation of sound business strategies, ensuring an effective system to secure integrity of information, internal controls and risk management.

In addition to the decisions taken at Board Meetings, matters are referred to the Board and decided by resolutions in writing. The Board collectively and the Directors individually, act in accordance with the laws of the country, which are applicable to the business enterprise.

Board Responsibilities

- Formulation of short and long term strategies towards sustainable growth.
- Enhancing shareholder value.
- Identifying principal risks of the business.
- Overseeing systems of internal control.
- Approval of interim and annual financial statements.

- Ensuring compliance with laws and regulations.
- Authorising all material contracts, acquisitions or disposal of subsidiaries and approving capital projects.

Company Secretary and Independent Professional Advice

The Company and all the Directors may seek advice from Corporate Managers & Secretaries (Private) Limited (CMSL) who are qualified to act as Secretaries as per the provisions of the Companies Act No. 07 of 2007. CMSL assists the Board in ensuring that Board procedures are followed and that relevant rules and regulations are complied with. The Board in discharging its duties seeks independent professional advice from external parties when necessary.

Chairman's Role

The Chairman is a Non-Executive Director and is responsible for steering the Board to preserve order and to facilitate the effective discharge of Board functions. He conducts Board proceedings in a manner which always ensures the following:

- The effective participation of Directors.
- Encourages an effective contribution from Directors within their respective capabilities, for the benefit of the Company.
- Ascertains the views of Directors on issues under consideration.

The Board is in complete control of the Company's affairs and is alert to its obligation to all shareholder and other stakeholders.

Financial Acumen

The Board includes seven finance professionals who possess the knowledge and competence to offer the Board the necessary guidance on matters of finance.

Board Balance

Except for one Executive Director all Directors on the Board are Non-Executives of whom, three are Independent Directors. The Directors with a blend of experience in the fields of finance, business management and audit exposure possessing a high standing of integrity and business acumen, constitute a balanced Board. This enables individual Directors to make a significant contribution towards the Board's decision making process. Further, the balanced structure of the Board makes the strategic decision making process more effective which ultimately facilitates build up of sustainable value for shareholders and all its other stakeholders.

Independent Directors on the Board have declared that they are Independent of management and free of any business or other relationship that could materially interfere with or could reasonably be perceived to materially interfere with the exercise of their unfettered and independent judgements. All Non-Executive Directors have also submitted signed and dated declarations of their independence or non-independence to the Board.

The Board makes a determination annually as to the independence or non-independence of each Non-Executive Director based on such declarations made on the defined criteria and other information available to the Board. The names of Directors determined to be “Independent” are set out in the Annual Report.

Mr. A.M. de S. Jayaratne, Mr. C.P.R. Perera and Mr. R. Seevaratnam are Directors of several subsidiaries of The Colombo Fort Land & Building PLC. Mr. A.M. de S. Jayaratne and Mr. C.P.R. Perera have served on the Board of some subsidiaries for a period exceeding nine years. These Independent Directors are also on the Boards of certain companies which has a significant shareholding in another and also serve on the Boards of some companies of which majority of the Directors serve on the Board of another, within the CFLB Group of companies. Mr. A.M. de S. Jayaratne and Mr. R. Seevaratnam have served on the Board of the Listed Entity for over a period of nine years. However, the Board having taken into consideration all other circumstances listed in the Rules pertaining to the Criteria for Defining Independence is of the view that the said Directors are nevertheless Independent.

Nomination Committee and Appointments to the Board

There is a formal and transparent procedure for the appointment of new Directors to the Board, which is in accordance with the recommendations made by the Nomination Committee, in consultation with the Chairman and in compliance with the provisions of the Articles of Association of the Company and the Rules on Corporate Governance.

The Nomination Committee comprises of Mr. A.M. de S. Jayaratne, Chairman, Mr. R. Seevaratnam, Independent Non-Executive Directors and Mr. S.D.R. Arudpragasam, Non-Executive Director.

Upon the appointment of a new Director to the Board, the Company makes the required disclosures to the shareholders by making announcements to the Colombo Stock Exchange.

Re-election of Directors

The Company's Articles of Association require two of the Directors in Office (other than those appointed to the Office of Chairman Chief Executive, Managing or Joint Managing Director) to retire at each Annual General Meeting. The Directors to retire in each year are those who have been longest in office since their last election or appointment. Retiring Directors are eligible for re-election by the shareholders.

DIRECTORS' REMUNERATION

Remuneration Committee and the Remuneration Procedure

The Remuneration Committee comprises of Mr. A.M. de S. Jayaratne, Chairman, Mr. R. Seevaratnam, Independent Non-Executive Directors and Mr. S.D.R. Arudpragasam, Non-Executive Director.

All managerial and secretarial services are provided by Corporate Managers & Secretaries (Private) Limited to whom a fee is paid.

The Remuneration Committee Report is set out on page 16 of this report.

RELATIONS WITH SHAREHOLDERS

Constructive use of Annual General Meeting (AGM) and Conduct of General Meetings

The Board makes use of the Annual General Meeting/General Meetings to communicate with shareholders and does encourage their active participation. The Board considers the AGM/General Meetings as an opportunity to communicate and maintain an appropriate dialogue with its shareholders and welcomes their suggestions. It also enables shareholders to meet and discuss Company matters with the Directors.

Major Transactions

In compliance with the requirements under Section 185 of the Companies Act No. 07 of 2007, the Directors take necessary measures to disclose to shareholders all proposed corporate transactions, which if entered into, would materially alter/vary the Company's net asset base.

ACCOUNTABILITY AND AUDIT

Financial Reporting and Going Concern

The Board undertakes the responsibility for the preparation and presentation of financial statements and ensures that they are prepared and presented in accordance with the Sri Lanka Accounting Standards adopted by The Institute of Chartered Accountants of Sri Lanka and the requirements of the Companies Act No. 07 of 2007. The Board values the timely publication of annual and quarterly results and other price-sensitive information enabling shareholders to make effective economic decisions and strives to take all possible steps to comply with the statutory requirements and procedures laid down by the Colombo Stock Exchange and the Securities and Exchange Commission with regard to those publications.

The Annual Report of the Board of Directors presents a balanced and understandable assessment of the Company's financial position, performance and future prospects.

The Directors, after making necessary inquiries and reviews of the Company's financial performance, position, future cash flows and potential borrowing facilities, have a reasonable expectation that the Company has adequate resources to continue as “a going concern” in the foreseeable future. Further, the Directors do not intend either to liquidate or cease its operations and therefore, the “going concern assumption” adopted in the preparation of the financial statements is appropriate.

All statutory and material declarations are highlighted in the Annual Report of the Board of Directors.

Corporate Governance contd.

Compliance with Legal Requirements

The Board is conscious of its responsibility to the shareholders, the Government and the Society in which it operates and is unequivocally committed to upholding ethical behaviour in conducting its business. The Board strives to ensure that the Company and its Subsidiaries comply with the laws and regulations of the Country.

Internal Control

The Company maintains a sound internal control system to safeguard the shareholders' investment and the Company's assets. The Board is responsible for ensuring the Company has in place an effective system of internal controls and periodical reviews are held to identify any deviations that may need corrective action. The observations of the Audit Committee are reported to the Board for appropriate action.

Audit Committee

The Audit Committee for the financial year ended 31st March, 2019 comprised of three Non-Executive Directors of whom two were Independent. The Chairman of the Committee is an Independent Non-Executive Director. The members of the Committee possess financial and industry experience to assist the Board in discharging its duties effectively.

The Report of the Audit Committee is set out on pages 13 and 14 of this Annual Report.

Related Party Transactions Review Committee

The Related Party transactions are disclosed in Note 30 on pages 130 to 135.

The Report of the Related Party Transactions Review Committee appears on page 15.

The Company's compliance status with Section 7 and 9 of the Colombo Stock Exchange Listing Rules on Corporate Governance which is mandatory for listed entities is disclosed on pages 8 to 12.

ADHERENCE TO THE CORPORATE GOVERNANCE RULES OF THE COLOMBO STOCK EXCHANGE FOR LISTED COMPANIES

CSE Rule No.	Subject	Applicable Requirement Status	Compliance	Applicable Section in the Annual Report
7.10.1 (a)	Non-Executive Directors	Two or at least one third of the total number of Directors should be Non-Executive Directors.	Complied	Corporate Governance
7.10.2 (a)	Independent Directors	Two or one third of Non-Executive Directors, whichever is higher, should be Independent.	Complied	Corporate Governance
7.10.2 (b)	Independent Directors	Each Non-Executive Director should submit a declaration of Independence / Non-Independence in the prescribed format.	Complied	Corporate Governance
7.10.3 (a)	Disclosure relating to Directors	The Board shall annually make a determination as to the Independence or Non-Independence of each Non-Executive Director and names of Independent Directors should be disclosed in the Annual Report.	Complied	Corporate Governance
7.10.3 (b)	Disclosure relating to Directors	The basis for the Board to determine a Director is Independent, if criteria specified for Independence is not met.	Complied	Corporate Governance
7.10.3 (c)	Disclosure relating to Directors	A brief resume of each Director should be included in the Annual Report containing information on the nature of his/her expertise in relevant functional areas.	Complied	Directors' Profiles
7.10.3 (d)	Disclosure relating to Directors	Provide a brief resume of new Directors appointed to the Board with details specified in Rule 7.10.3(a), (b) and (c) mentioned above.	Not Applicable	No appointments during the year
7.10.5	Remuneration Committee	A Listed Company shall have a Remuneration Committee in conformity with the following; (a) Composition (b) Function (c) Disclosure in the Annual Report	Complied	Corporate Governance and Remuneration Committee Report

CSE Rule No.	Subject	Applicable Requirement Status	Compliance	Applicable Section in the Annual Report
7.10.6	Audit Committee	The Company shall have an Audit Committee.	Complied	Corporate Governance and Audit Committee Report
7.10.6 (a)	Composition of Audit Committee	- Shall comprise of a minimum of two Independent Non-Executive Directors or Non-Executive Directors a majority of whom shall be Independent, which ever shall be higher. - A Non-Executive Director shall be appointed as the Chairman of the Committee. - Unless otherwise determined by the Audit Committee the Chief Executive Officer and the Chief Financial Officer shall attend Audit Committee Meetings. - The Chairman of the Audit Committee or one member should be a member of a professional accounting body.	Complied Complied Complied The Group Managing Director attends meetings Complied	Audit Committee Report
7.10.6 (b)	Audit Committee Functions	Functions shall include; a. Overseeing the preparation, presentation and adequacy of disclosures in the Financial Statements in accordance with Sri Lanka Accounting Standards. b. Ensuring Compliance with financial reporting requirements, information requirements of the Companies Act and other relevant financial reporting related regulations and requirements. c. Overseeing the processes to ensure that the internal controls and risk management are adequate to meet the requirements of the Sri Lanka Auditing Standards. d. Assessment of the Independence and performance of the External Auditors. e. Making recommendations to the Board pertaining to appointment, re-appointment and removal of External Auditors, and approving the remuneration and terms of engagement of External Auditors.	Complied Complied Complied Complied Complied	Audit Committee Report
7.10.6 (c)	Disclosure in the Annual Report	a. Names of Directors comprising the Audit Committee. b. The Audit Committee shall make a determination of the Independence of the Auditors and disclose the basis for such determination. c. The Annual Report shall contain a Report of the Audit Committee setting out the manner of compliance with their functions.	Complied Complied Complied	Audit Committee Report
9.1	Related Party Transactions - Shareholder Approval	The Listed entity shall obtain prior approval from the shareholders by way of a Special Resolution for the Related Party Transactions listed below;		

Corporate Governance contd.

CSE Rule No.	Subject	Applicable Requirement Status	Compliance	Applicable Section in the Annual Report
9.1.1	Non-Recurrent Transactions	(a) Any Related Party Transaction of a value equal to, or more than: i. 1/3 of the Total Assets of the entity as per the latest Audited Financial Statements of the entity; or ii. 1/3 of the Total Assets of the entity as per the latest Audited Financial Statements of the entity, when aggregated with other non-recurrent transactions entered into with the same Related Party during the same financial year.	Not Applicable Not Applicable	Not Applicable Not Applicable
9.1.2	Recurrent Transactions	(a) Any recurrent Related Party Transaction of value equal to, or more than i. 1/3 of the gross revenue (or equivalent term for revenue in the Income Statement) and in the case of group entity consolidated group revenue of the Entity as per the latest Audited Financial Statements of the entity; or ii. 1/3 of the gross revenue (or equivalent term for revenue in the Income Statement) and in the case of group entity consolidated group revenue of the entity as per the latest Audited Financial Statements of the entity, when aggregated with other recurrent transactions entered into with the same Related Party during the same financial year. and iii. the transactions are not in the ordinary course of the business and in the opinion of the Related Party Transactions Review Committee, are on terms favourable to the Related Party than those generally available to the public	Not Applicable Not Applicable Not Applicable	Not Applicable Not Applicable Not Applicable
9.2	Related Party Transactions Review Committee	A listed Company shall have a Related Party Transactions Review Committee (RPTRC) in Conformity with the following:		
9.2.1	Review of Transactions	Except for transactions set out in Rule 9.5, all other Related Party Transactions should be reviewed by the Related Party Transactions Review Committee	Complied	Related Party Transactions Review Committee Report
9.2.2	Composition	The Committee shall comprise a combination of Non-Executive Directors and Independent Non- Executive Directors and may also include Executive Directors at the option of the Listed Entity. One Independent Non-Executive Director shall be appointed as Chairman.	Complied Complied	Related Party Transactions Review Committee Report
9.2.3	Related Party Transactions Review Committee of the Parent Company	In a situation where both the parent company and the subsidiary are Listed Entities, the RPTRC of the parent company may be permitted to function as the RPTRC of the Subsidiary. However, if the Parent Company is not a Listed Entity, then RPTRC of the Parent Company is not permitted to act as the RPTRC of the subsidiary. The Subsidiary shall have a separate RPTRC.	Not Applicable	Not Applicable

CSE Rule No.	Subject	Applicable Requirement Status	Compliance	Applicable Section in the Annual Report
9.2.4	Committee Meetings	The Committee shall meet at least once a calendar quarter	The Committee has met five times	Related Party Transactions Review Committee Report
	Documentation of minutes	The Committee shall ensure that the minutes of all meetings are properly documented and communicated to the Board of Directors.	Complied	Related Party Transactions Review Committee Report
9.2.5	Professional and Expert Advice	Directors of the Committee should ensure that they have, or have access to, enough knowledge or expertise to assess all aspects of proposed Related Party Transactions, and where necessary, they should obtain appropriate professional and expert advice from an appropriately qualified person.	Complied	Related Party Transactions Review Committee Report
9.3	Disclosures			
9.3.1	Immediate Disclosures	i. The Listed Entity shall make an immediate announcement to the exchange: of any Non-Recurrent Related Party Transaction with value exceeding 10% of the equity or 5% of the total assets whichever is lower, of the entity as per the latest Audited Financial Statements. or of the latest transaction if the aggregate value of all Non-Recurrent Related Party Transactions entered into with the same Related Party during the same Financial year amounts to 10% of the equity or 5% of the total assets whichever is lower, of the entity as per the latest Audited Financial Statements. ii. Listed entity shall disclose subsequent non-recurrent transactions which exceeds 5% of the equity of the entity, entered into with the same Related Party during the financial year.	Not Applicable	All the Non- Recurrent transactions were below the disclosure threshold

Corporate Governance contd.

CSE Rule No.	Subject	Applicable Requirement Status	Compliance	Applicable Section in the Annual Report
9.3.2	Disclosure in the Annual Report	a) Disclosure of Non-Recurrent Related Party Transactions if aggregate value of the Non- Recurrent Related Party Transactions exceeds 10% of the equity or 5% of the Total Assets, whichever is lower, of the Listed Entity as per the latest Audited Financial Statements, the information must be presented in the Annual Report in accordance with the prescribed format under 9.3.2 (a) of the Listing Rules. b) Disclosure of Recurrent Related Party Transactions If the aggregate value of the recurrent Related Party Transactions exceeds 10% of the gross revenue/ income (or equivalent term in the Income Statement and in the case of group entity consolidated revenue) as per the latest Audited Financial Statements. The Listed entity must disclose the aggregate value of Recurrent Related Party Transactions entered into during the financial year in the Annual Report in accordance with the prescribed format under 9.3.2 (b) of the Listing Rules. c) Report by the Related Party Transactions Review Committee d) A declaration by the Board of Directors	Not Applicable Not Applicable Complied Complied	All the Non- Recurrent transactions were below the disclosure threshold All the Recurrent transactions were below the disclosure threshold Related Party Transactions Review Committee Report Related Party Transactions Review Committee Report and Annual Report of the Board of Directors
9.4	Acquisition and Disposal of Assets from/ to Related Parties			
9.4.1		The Listed Entity nor any of its subsidiaries without obtaining prior approval from the shareholders by way of a special resolution, should not acquire or dispose of from / to any Related Party an asset/assets amounting to value which exceeds 1/3 of the total assets of the Entity (a substantial asset) as per latest Audited Financial Statements	Not Applicable	Not Applicable
9.4.4		The members of the Related Party Transactions Review Committee should obtain competent independent advice from independent professional experts with regard to the value of the substantial assets of the Related Party Transaction under consideration.	Not Applicable	Not Applicable
9.4.5		The competent independent advice obtained in terms of Rule 9.4.4 above should be circulated with the notice of meeting to obtain the shareholder approval as set out in Rule 9.4.1 above.	Not Applicable	Not Applicable

Audit Committee Report

The responsibilities of The Colombo Fort Land & Building PLC's Audit Committee are governed by the Rules and Regulations which are approved and adopted by the Board. The Board fulfils its overall responsibility to the shareholders in relation to the integrity of the Company's financial reporting process in accordance with the Companies Act and other legislative reporting requirements including adequacy of disclosures in the financial statements in accordance with the Sri Lanka Accounting Standards.

ROLE OF THE AUDIT COMMITTEE

The role of the Audit Committee is to assist the Board in fulfilling its oversight responsibilities in relation to the integrity of the financial statements of the Company and the Group.

The Audit Committee reviews and advises the Company to ensure that the Financial Reporting system is in adherence with the Sri Lanka Accounting Standards and other regulatory and statutory requirements. It also reviews the adequacy of internal controls and the business risks and the independence of the Company's External Audit function.

The Audit Committee has reviewed and discussed the Group's quarterly and annual financial statements prior to publication, with the management and External Auditors. The review included ascertaining compliance of same with the Sri Lanka Accounting Standards, the appropriateness and changes in accounting policies and material judgemental matters. The Committee also discussed with the External Auditors and management, any matters communicated to the Committee by the External Auditors in their reports to the Committee on the audit for the year.

The Committee also reviews the financial reporting system adopted by the Group in the preparation of its Quarterly and Annual Financial Statements to ensure reliability of the processes and consistency of the accounting policies and methods adopted and compliance thereof with the Sri Lanka Accounting Standards laid down by The Institute of Chartered Accountants of Sri Lanka. The methodology included obtaining statement of compliance by the Heads of Finance and Directors-in-Charge of subsidiaries. The Committee recommends the Financial Statements to the Board of Directors for its deliberation and issuance. The Committee in its evaluation of the Financial Reporting System also recognised the adequacy of the content and the quality of routine management information and reports forwarded to its members.

The Committee's responsibilities pertain to the Group as a whole and in discharging its responsibilities, the Committee places reliance on the work of other Audit Committees in the Group without prejudicing the independence of those Committees. However, to the extent, and in a manner it considers appropriate, the Committee provides feedback to those entities for their consideration and necessary action.

The Committee obtained independent input from the External Auditors on the effects of several new Sri Lanka Accounting Standards that came into effect this year and satisfied themselves that the Company and the Group have adapted accordingly.

COMPOSITION

The Audit Committee for the financial year ended 31st March, 2019 comprised of three Non-Executive Directors of whom two were independent. The Chairman of the Committee, Mr. R. Seevaratnam, an Independent Non-Executive Director, is a Fellow member of the Institute of Chartered Accountants of Sri Lanka (FCA) and England & Wales. The members of the Committee are named below.

Mr. R. Seevaratnam - Chairman - Independent Non-Executive
Mr. A.M. de S. Jayaratne - Member - Independent Non-Executive
Mr. S.D.R. Arudpragasam - Member - Non-Executive

The Committee has a blend of experience in the commercial sector with financial expertise, audit exposure and high standing of integrity and business acumen in order to carry out their role efficiently and effectively.

The Company's Secretaries, Corporate Managers & Secretaries (Private) Limited function as the Secretaries to the Audit Committee.

MEETINGS AND ATTENDANCE

The Audit Committee has met on eight occasions during the financial year ended 31st March, 2019 and the attendance was as follows:

Mr. R. Seevaratnam - Chairman (8/8)
Mr. A.M. de S. Jayaratne (8/8)
Mr. S.D.R. Arudpragasam (6/8)

Representatives from Corporate Managers & Secretaries (Private) Limited, Managers & Secretaries, the Group Managing Director and other Directors and Senior Management Personnel are invited to the meetings as and when required. The proceedings of the Audit Committee are regularly reported to the Board.

Audit Committee Report contd.

TERMS OF REFERENCE

The Committee is governed by specific terms of reference set out in the Audit Committee Charter. The Committee focuses on the following objectives in discharging its responsibilities taking into consideration the terms of reference together with the requirements of the Listing Rules of the Colombo Stock Exchange.

- a) Risk Management.
- b) Efficiency of the system of internal controls.
- c) Independence and objectivity of the External (Statutory) Auditors.
- d) Appropriateness of the principal accounting policies used.
- e) Financial Statement integrity.

COMPLIANCE

The Audit Committee reviewed the activities and the financial affairs of the Company and its Subsidiaries and the financial reporting system adopted in the preparation of the Quarterly and Annual Financial Statements to ensure reliability of the processes, appropriateness and consistency of the accounting policies and methods adopted in order to comply with the requirements of the Sri Lanka Accounting Standards (SLFRS/LKAS), the Companies Act No. 07 of 2007 and other relevant statutory and regulatory requirements. The Committee also reviewed the quarterly and year end Financial Statements and have recommended their adoption to the Board of Directors.

GROUP INTERNAL AUDIT

The Committee assessed the adequacy of existing internal controls and risk management procedures and has recommended to the Board additional controls and risk mitigating strategies that could be implemented to strengthen the existing internal control system.

Further, the Committee has reviewed the routine operations of the Company and assessed the future prospects of its business operations and accordingly ensures that the going concern assumption used in the preparation of the financial statements, is appropriate.

A few companies of the Group have outsourced the internal audit function in order to strengthen the internal control measures.

EXTERNAL AUDIT

The Company has appointed KPMG, Chartered Accountants as its External Auditor for the financial year ended 31st March, 2019 and the services provided by them are segregated between audit/assurance services and other advisory services such as tax consultancy. The Committee has reviewed the progress and conduct of the statutory audit function and discussed the audit related issues with the Auditors. The Committee has also negotiated with the External Auditors on the quantum of their fees and incidental expenses.

The Committee after evaluating the independence and performance of the External Auditors has recommended to the Board the reappointment of KPMG, Chartered Accountants, for the financial year ending 31st March, 2020 subject to the approval of the Shareholders at the Annual General Meeting of the Company.

CONCLUSION

The Audit Committee is satisfied that the effectiveness of the organisational structure of the Group and Company in the implementation of the accounting policies and operational controls provide reasonable assurance that the affairs of the Group and Company are managed in accordance with accepted policies and that assets are properly accounted for and adequately safeguarded.



R. Seevaratnam
Chairman
Audit Committee

30th August, 2019

Related Party Transactions Review Committee Report

The Related Party Transactions Review Committee (RPTRC) is entrusted with the responsibility of ensuring that the interests of the Shareholders are taken into consideration when entering into a Related Party Transactions.

COMPOSITION

The Related Party Transactions Review Committee of the Company comprises of the following members:

Mr. R. Seevaratnam	- Chairman - Independent /
	Non-Executive Director
Mr. A.M. de S. Jayaratne	- Member - Independent/
	Non-Executive Director
Mr. S.D.R. Arudpragasam	- Member - Non-Executive Director

The Company's Secretaries, Corporate Managers & Secretaries (Private) Limited, function as the Secretaries to the Related Party Transactions Review Committee.

MEETINGS OF THE COMMITTEE

The Related Party Transactions Review Committee met on five occasions during the financial year ended 31st March, 2019 and the attendance was as follows:

Mr. R. Seevaratnam - Chairman	(4/5)
Mr. A.M. de S. Jayaratne	(5/5)
Mr. S.D.R. Arudpragasam	(5/5)

In addition to these Meetings certain Related Party Transactions were referred to the RPTRC and have been reviewed and recommended by Resolutions in writing.

The activities and views of the Committee have been communicated on a regular basis to the Board of Directors and the Minutes of the Committee Meetings at Meetings are tabled of the Board.

FUNCTIONS OF THE COMMITTEE:

- To identify the persons/entities considered to be Related Parties.
- Review all proposed Related Party Transactions. (Except for transactions which are exempted)
- Advise Management on Related Party Transactions and where necessary direct the transactions for Board approval / Shareholder approval as deemed appropriate.
- Obtain updates on previously reviewed Related Party Transactions from Senior Management and approve any material changes.
- Establish guidelines for Senior Management to follow in ongoing dealings with Related Parties.
- Review and assess on an annual basis the transactions for Compliance against the Committee guidelines.
- Ensuring that immediate market disclosures and disclosures in the Annual Report are made as required by the applicable rules and regulations.

CONCLUSION

The Related Party Transactions Review Committee has reviewed the Related Party Transactions entered into during the financial year under review and has communicated its comments and observations to the Board of Directors.

The Board of Directors have also declared in the Annual Report that there were no recurrent or non-recurrent related party transactions which exceeded the respective thresholds mentioned in Section 9 of the Colombo Stock Exchange Listing Rules and that the Company has complied with the requirements of the Listing Rules on Related Party Transactions.



R. Seevaratnam
Chairman
Related Party Transactions Review Committee

30th August, 2019

Remuneration Committee Report

The Remuneration Committee of The Colombo Fort Land & Building PLC consists of the following members:

Mr. A.M. de S. Jayaratne - Chairman / Independent Non-Executive

Mr. R. Seevaratnam - Member / Independent Non-Executive

Mr. S.D.R. Arudpragasam - Member / Non-Executive

The main function of the Remuneration Committee is to assist the Board in developing and administering an equitable and transparent method for setting policy on the overall human resources strategy of the Group.

The Company does not have any employees and as such does not require the Remuneration Committee to decide on Executive compensation. The individual Group Companies have their own Remuneration Committees.

The Remuneration Committee meets on the same day as the Audit Committee of CFLB only if it is required, to give guidance and recommendations to any of the Remuneration Committees of its subsidiaries.



A.M. de S. Jayaratne
Chairman
Remuneration Committee

30th August, 2019

Annual Report of the Board of Directors

The Board of Directors of The Colombo Fort Land & Building PLC present their Report on the affairs of the Company together with the Audited Financial Statements for the year ended 31st March, 2019.

The details set out herein provide the pertinent information required by the Companies Act No. 07 of 2007, and the Colombo Stock Exchange Listing Rules and are guided by recommended best practices.

GENERAL

The Company was re-registered on 3rd July, 2008 as required under the Companies Act No. 07 of 2007.

PRINCIPAL ACTIVITIES AND BUSINESS REVIEW

The principal activities of the Company together with those of its subsidiary companies have been described in the Notes to the Financial Statements in this Annual Report. A review of the Company's business and its performance during the year with comments on financial results is contained in the Chairman's Review which together with the Financial Statements reflects the state of affairs of the Company.

The Directors to the best of their knowledge and belief confirm that the Company has not engaged in any activities that contravene laws and regulations.

FINANCIAL STATEMENTS

The Financial Statements of the Company are given on pages 29 to 148.

INDEPENDENT AUDITORS' REPORT

The Independent Auditors' Report on the Financial Statements is given on page 22 to 28.

ACCOUNTING POLICIES

The accounting policies adopted in the preparation of Financial Statements are given on pages 35 to 54.

INTEREST REGISTER

Directors' Interest in Transactions

The Directors have made general disclosures as provided for in Section 192(2) of the Companies Act No. 07 of 2007. These have been entered in the Interest Register which is maintained by the Company. The Company carries out transactions in the ordinary course of business with entities in which a Director of the Company is a Director and the said transactions are disclosed in Note 30 'Related Party Transactions', on pages 130 to 135.

The Directors have no direct or indirect interest in any other contract or proposed contract with the Company.

DIRECTORS' INTEREST IN SHARES

Directors of the Company who have an interest in the shares of the Company are required to disclose their shareholdings and any acquisitions/disposals to the Board in compliance with Section 200 of the Companies Act.

Details pertaining to Directors' direct shareholdings are set out below:

Name of Director	No. of shares as at 31.03.2019	No. of shares as at 31.03.2018
Mr. A. Rajaratnam	-	500
Mr. S.D.R. Arudpragasam	176,000	176,000
Mr. A.M. de S. Jayaratne	500	500
Mr. R. Seevaratnam	-	-
Mr. Anushman Rajaratnam	-	-
Ms. A.K. Gunawardhana (Resigned w.e.f. 15.01.2019)	N/A	25,000
Mr. C.P.R. Perera	10,000	10,000
Mr. S. Rajaratnam	-	22,043
Mr. P.M.A. Sirimane	-	-

DIRECTORS' REMUNERATION

Key management personnel compensation in respect of the Company for the financial year 2018/2019 is given in Note 7 to the Financial Statements on page 56.

CORPORATE DONATIONS

No donations were made by the Company during the year.

DIRECTORATE

The names of the Directors who held office during the financial year are given below. Brief profiles of the Directors currently in office appear on page 4.

Mr. A. Rajaratnam	- Chairman
Mr. S.D.R. Arudpragasam	- Deputy Chairman
Mr. Anushman Rajaratnam	- Group Managing Director
Mr. A.M. de S. Jayaratne	
Mr. R. Seevaratnam	
Mr. C.P.R. Perera	
Mr. P.M.A. Sirimane	- Group Finance Director
Mr. Sanjeev Rajaratnam	
Ms. A.K. Gunawardhana	- (Resigned w.e.f. 15.01.2019)

Ms. A.K. Gunawardhana Resigned from the Board of Directors with effect from 15th January, 2019.

In terms of Articles 85 and 86 of the Articles of Association Mr. S.D.R. Arudpragasam and Mr. P.M.A. Sirimane retire by rotation and being eligible offer themselves for re-election.

Annual Report of the Board of Directors contd.

Mr. A.M. de S. Jayaratne who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

Mr. A. Rajaratnam who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

Mr. R. Seevaratnam who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

Mr. C.P.R. Perera who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

CORPORATE GOVERNANCE

The Corporate Governance Principles adhered to by the Company are given on pages 6 to 12.

AUDITORS

The Financial Statements of the Company for the year have been audited by Messrs. KPMG, Chartered Accountants, who retire at the forthcoming Annual General Meeting. The retiring Auditors have expressed their willingness to continue as Auditors of the Company and are recommended for reappointment. A resolution to reappoint them and to authorise the Directors to determine their remuneration will be proposed at the Annual General Meeting. They were paid Rs. 1,134,000/- (2017/18 - Rs.1,050,000/-) as audit fees by the Company. In addition, they were paid Rs. 142,000/- (2017/18 - Rs.132,000/-) by the Company for non-audit related work, which consists mainly of fees for tax compliance services.

As far as the Directors are aware the Auditors do not have any relationship (other than that of an Auditor) with the Company. The Auditors do not have any interest in the Company.

REVENUE

The revenue of the Company for the year was Rs. 128.59 million (2017/18 - Rs.86.33 million).

RESULTS

The Company made a net profit before tax of Rs. 29.07 million against a profit of Rs. 109.41 million in the previous year. The detailed results are given in the Statement of Profit or Loss & Other Comprehensive Income on page 29.

INVESTMENTS

The Cost of Investments in Quoted Securities held as at 31st March, 2019 were Rs. 1,224.41 million (2017/18 - Rs.1,222.29 million) and the Market Value of such Investments were Rs. 2,810.28 million (2017/18 - Rs.3,058.78 million). The detailed investment portfolio is given in Notes 14, 15 and 16 to the Financial Statements on pages 78 to 100.

PROPERTY, PLANT & EQUIPMENT

During 2018/19, the Company invested Rs. 0.59 million in Property, Plant & Equipment (2017/18 - Rs.13.65 million). Further, your Directors are of the opinion that the net amounts at which Property, Plant & Equipment appear in the Statement of Financial Position, are not greater than their market value as at 31st March, 2019.

STATED CAPITAL

In compliance with the Companies Act No. 07 of 2007, the Financial Statements reflect the Stated Capital of the Company. The Stated Capital is the total of all amounts received by the Company in respect of issue of shares.

The Stated Capital of the Company as at 31st March, 2019 was Rs. 327 million represented by 180,000,000 issued and fully paid Ordinary Shares.

RESERVES

The total reserves of the Company as at 31st March, 2019 amounted to Rs. 1,086.05 million (2017/18 - Rs.1,096.66 million). The Reserves comprise, Property Development Reserve of Rs. 10 million (2017/18 - Rs.10 million), General Reserve of Rs. 0.5 million (2017/18 - Rs.0.5 million), Reserve of Rs. 0.71 million (2017/18 - Rs.1.22 million) and the accumulated profit of Rs. 1,074.84 million (2017/18 - Rs.1,084.94 million). The movements are shown in the Statement of Changes in Equity in the Financial Statements.

TAXATION

In terms of the Inland Revenue Act No. 24 of 2017 the Company is liable to pay income tax at the rate of 28% for the Year of Assessment 2018/19. The details of the Income Tax Computation are given in Note 8 to the Financial Statements on pages 57 to 60.

RELATED PARTY TRANSACTIONS

During the financial year there were no recurrent or non-recurrent related party transactions which exceeded the respective thresholds mentioned in Section 09 of the Colombo Stock Exchange Listing Rules and the Company has complied with the requirements of the Listing Rules on Related Party Transactions.

The Related Party Transactions presented in the Financial Statements are disclosed in Note 30 from page 130 to 135.

SHARE INFORMATION

Information relating to earnings, net assets, market value per share and share trading is given on pages 150 and 151.

EVENTS AFTER THE REPORTING DATE

No Circumstances have arisen since the Reporting date that would require adjustments to or disclosure in the Financial Statements other than those disclosed in Note 37 to the Financial Statements on page 145.

CAPITAL COMMITMENTS AND CONTINGENT LIABILITIES

Capital Commitments and Contingent Liabilities as at the Reporting date are disclosed in Notes 34 and 35 to the Financial Statements on pages 141 to 143.

EMPLOYMENT POLICY

All operational services are provided by Corporate Managers & Secretaries (Private) Limited, Managers and Secretaries, to whom a fee is paid.

SHAREHOLDERS

It is the Company's policy to endeavour to ensure equitable treatment to its shareholders.

STATUTORY PAYMENTS

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments due to the Government have been paid or where relevant, provided for.

ENVIRONMENTAL PROTECTION

The Group's business activities can have direct and indirect effects on the environment. It is the Group's policy to minimise any adverse effect its activities have on the environment and to promote co-operation and compliance with the relevant authorities and regulations. The Directors confirm that the Group has not undertaken any activities which have caused or are likely to cause detriment to the environment.

INTERNAL CONTROL

The Directors acknowledge their responsibility for the Company's system of internal control. The system is designed to give assurance regarding the safeguarding of assets, the maintenance of proper accounting records and the reliability of financial information generated.

GOING CONCERN

The Directors, after making necessary inquiries and reviews of the Company's future prospects and risks, cash flows and borrowing facilities, have a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future. Therefore, the going concern basis has been adopted in the preparation of the Financial Statements.

For and on behalf of the Board,



S.D.R. Arudpragasam
Director



Anushman Rajaratnam
Director

By Order of the Board,



Corporate Managers & Secretaries (Private) Limited
Managers & Secretaries

Colombo
30th August, 2019

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Independent Auditor's Report



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(Chartered Accountants)
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TO THE SHAREHOLDERS OF THE COLOMBO FORT LAND & BUILDING PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of The Colombo Fort Land & Building PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at 31 March 2019, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information as set out on pages 29 to 148.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at 31 March 2019, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics), and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the company financial statements and the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the company financial statements and the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

KPMG, a Sri Lankan partnership and a member firm of the KPMG network of independent member firms affiliated with KPMG International Cooperative ("KPMG International"), a Swiss entity.

M.R. Mihular FCA	P.Y.S. Perera FCA	C.P. Jayatilake FCA
T.J.S. Rajakarier FCA	W.W.J.C. Perera FCA	Ms. S. Joseph FCA
Ms. S.M.B. Jayasekara ACA	W.K.D.C. Abeyratne FCA	S.T.D.L. Perera FCA
G.A.U. Karunaratne FCA	R.M.D.B. Rajapakse FCA	Ms. B.K.D.T.N. Rodrigo FCA
R.H. Rajan FCA	M.N.M. Shameel ACA	Ms. C.T.K.N. Perera ACA

Principals - S.R.I. Perera FCMA(UK), LLB, Attorney-at-Law, H.S. Goonewardene ACA



Measurement of Biological Assets	
Refer to the significant accounting policy in Note 3.9.9 and Explanatory Note 10.4 & 10.6 to the financial statements	
Risk Description	Our response
The Group has reported consumable biological assets carried at fair value less estimated cost to sell at harvest, amounting to Rs. 1,989 Million and bearer biological assets amounting to Rs. 5,806 Million as at 31 March 2019. The commercially cultivated timber trees on estates managed by the Group classify as consumable biological assets and are measured at each reporting date at fair value less estimated cost to sell at harvest. The trees younger than 5 years (if any) are carried at cost less impairment as the fair value cannot be reliably measured. The valuation of consumable biological assets requires significant levels of judgments and technical expertise in selecting appropriate valuation models and assumptions. Changes in the key assumptions used such as discount rate, estimation of height/girth of trees used to arrive volume of timber and value per cubic meter used for the valuation of consumable biological assets, could have a material impact on the fair value gain or loss for the year and the carrying value of consumable biological assets as of the reporting date. Management engaged a subject matter expert who is an incorporated valuer and a member of The Institute of Valuers of Sri Lanka to perform an independent valuation of the consumer biological assets of the Group as at reporting date. Bearer biological assets mainly include mature and immature tea, rubber and oil palm trees in identified plantation fields. Inappropriate transfer from immature to mature plantations has a significant impact on the carrying value of the bearer plants and the reported profits as capitalisation of costs will cease from the point of transfer and the mature plantations are depreciated over the useful lives of the plants.	Our audit procedures included for Consumable Biological Assets, - Evaluating the competence, qualifications, capabilities and objectivity of the independent valuer. - Obtaining estate wise census books of timber trees and comparing the number of timber trees recorded in the census book with the valuation report to ensure the completeness and accuracy of the data. We also evaluated the accuracy of valuation formulae contained in the valuation report. - Physically verifying the actual girth and height pertaining to a selected sample of trees during our estate visits, in order to ascertain the accuracy of the average girth and height used in the valuation report. - Challenging the key assumptions and methodology used in the valuation, in particular the discount rate, estimated height and average market price by comparing with industry norms that are generally accepted in determining volume of timber. - Verifying the mathematical accuracy of the consumable biological assets valuation. Assessing the adequacy of the disclosures in the Financial Statements, including the description and appropriateness of the inherent degree of subjectivity and the key assumptions.

Independent Auditor's Report contd.



As per the industry practice, transfer of immature plantations to mature plantation fields happens at the point of commencement of commercial harvesting. The actual point at which commercial harvesting could start depends on the soil condition, weather patterns and plant breed. We considered measurement of biological assets as a key audit matter because the valuation of consumable biological assets involved significant judgment exercised by the management and independent external valuation expert and were subjected to a significant level of estimation uncertainty and management bias. Further, immature to mature transfer required significant management judgment in determining the point at which a plant is deemed ready for commercial harvesting.	Our audit procedures included for Bearer Biological Assets: - Assessing the processes and controls in place to ensure; proper capitalisation of the expenses incurred relating to immature plantations, timely transfer of matured plants to respective matured plantation categories and triggers of impairment (if any) are on a timely basis. - Obtaining a schedules of costs incurred and capitalised under immature plantations as well as cost transferred to mature plantations by each estate and reconciled these balances to the general ledger on sample basis test reconciling items and obtained explanations from management for any significant variances identified. - On a sample basis, testing immature to mature cost transfer worksheet for selected estate to check whether the amounts transferred during the year was consistent with the Group accounting policy and industry norms. - Assessing the adequacy of the related disclosures in the Financial Statements and consistency with the accounting policies.
Retirement Benefit Obligations	
Refer to the significant accounting policy in Note 3.5 and Explanatory Note 27 to the financial statements	
Risk Description	Our response
As at 31 March 2019, the Group calculated and recorded a Retirement Benefit Obligation of Rs. 3,139 Million for its qualified employees. These benefits were made available to the employees based on Sri Lankan labour law. The valuation of the Group's retirement benefit obligation requires significant judgment and estimation to be applied across numerous assumptions, including salary increases and discount rate. Small changes in those assumptions could have a significant effect on the financial performance and financial position of the Group. Management engaged an independent actuary to assist them in the computation of retirement benefit obligation. We considered the computation of the retirement benefit obligation to be a key audit matter due to the magnitude of the amounts recognized in the financial statements as well as estimation uncertainty involved in determining the amounts.	Our audit procedures included, - Assessing the competency, objectivity and capabilities of the independent actuary engaged by the management. - Testing the samples of the employees' details used in the computation to the human resource records. - Evaluating the reasonableness of the total annual salaries used in the computation by comparing to the historical data. - Challenging the other key assumptions used in the valuation, in particular the discount rate, inflation rate, mortality rates and future salary increases. - Comparing the discount rate, inflation rate, mortality rate and future salary increases to market available data. - Involving internal valuation specialist to verify the accuracy of the retirement benefit obligation. - Evaluating the adequacy of the disclosures in financial statements.



Revaluation of Freehold Lands	
Refer to the significant accounting policy in Note 3.3 and Explanatory Note 10 to the financial statements.	
Risk Description	Our response
The Group has revalued its freehold lands and reported a carrying value of Rs. 10,325 Million as at 31 March 2019 and recognized a revaluation gain of Rs. 6,713 Million for the year ended 31 March 2019. The group has engaged external professional valuers with appropriate expertise to determine the fair value/revalue of the freehold lands in accordance with recognized industry standards. We identified this as a key audit matter because of the magnitude of the amounts recognized in the financial statements and significant judgments and estimates involved in assessing the fair value of the freehold lands.	Our audit procedures included, - Assessing the competency, objectivity and capabilities of the independent external valuers engaged by the management. - Discussion with management and the external valuers and compare the key assumptions used against externally published market comparable, where applicable or with other benchmark data and challenging the reasonableness of key assumptions based on our knowledge. - Engaging our own internal resources to assess the reasonability of the valuation technique, per perch and per square feet prices. - Assessing the appropriateness of the valuation technique used by the external valuers taking in to account the profile of the land. - Assessing the adequacy of disclosures made in relation to the revaluation of land in the Financial Statements, including the description and appropriateness of the inherent degree of subjectivity and key assumptions used.
Impairment of Trade Receivables	
Refer to the significant accounting policy in Note 3.1.2 and Explanatory Note 19 to the financial statements.	
Risk Description	Our response
As disclosed in Note 19 to the Financial Statements, the group has recognized trade receivables balance of Rs. 6,449 Million as at 31 March 2019, after netting off of provision for impairment of Rs. 518 Million. With the application of SLFRS 9 – Financial Instruments, the Group has estimated provision for impairment based on the expected credit losses to be incurred, which is estimated by taking into account the credit history of the customers, current and forecasted market and economic conditions, all of which involves a significant degree of management judgment. We identified impairment of trade receivables as a key audit matter for our audit, as it requires management to exercise subjective judgement in making assumptions and estimates for the assessment of impairment allowance on trade receivables.	Our audit procedures included, - Evaluating the appropriateness of the impairment methodology adopted by the Group in accordance with SLFRS 9 and challenging the key assumptions and evaluating the reasonableness of the key judgments and methodology used by the management with the assistance of our specialists. - Evaluating the completeness, accuracy and relevance of data used in preparation of the impairment provision and transition adjustments. - Comparing the economic factors used in the models to market information to assess whether they are aligned with the market and economic development. - Evaluating the adequacy of the Group's disclosures regarding the degree of judgments and estimation involved in arriving at the provision for impairment of trade receivables and transition adjustments.

Independent Auditor's Report contd.



Assessment of the going concern, impairment of investments in subsidiaries and goodwill	
Refer to the significant accounting policy in Note 3.3.8 and Explanatory Note 13, 14 & 36 to the financial statements.	
Risk Description	Our response
At 31 March 2019, the Group recorded Rs. 880 Million as goodwill and the Company recorded Rs. 1,436 Million as investments in subsidiaries. As required by relevant accounting standards, at 31 March 2019 the management performed an impairment assessment on goodwill by allocating it to the respective cash generating units and performed the impairment assessment for investments in subsidiaries with indicators of impairment and determined their recoverable amounts based on value-in-use calculations. As disclosed in going concern Note 36 to the financial statements, Kotagala Plantations PLC and Agarapatana Plantations Ltd., has incurred a net loss of Rs. 1,076 Million and Rs. 103 Million respectively during the year ended 31 March 2019 and as of that date, accumulated losses amounted to Rs. 490 Million and Rs. 1,175 Million respectively. However, the directors of these Components are of the opinion that the going concern assumption is valid in preparation of financial statements due to the feasibility of management plans and cash flow forecast. In assessing the Group's ability to continue to operate as a going concern the Directors of the Group prepared a cash flow forecast which required the exercise of significant management judgments. We identified impairment of investment in subsidiaries and goodwill as a key audit matter along with the going concern assessment of above subsidiaries due to the significant degree of management judgment is involved in making this assessment and in forecasting the future cash flows of the companies which could have significant impact on the financial statements.	Our audit procedures included, • Evaluating the indications of possible impairment of investments in subsidiaries and goodwill. • Assessing the credibility of business plan and cash flow forecasts which were used by the management for the assessment of recoverability of the investments in subsidiaries and goodwill. • Evaluating the going concern of significant components and assessing the implication on the group financial statements through discussion with the component auditor • Obtaining the forecasted cash flows of the subsidiaries and assessing the reasonableness of the discounted cash flow models, principles and accuracy of the forecasts and challenging the assumptions used and the valuation technique applied. • Assessing the adequacy of disclosures made in the financial statements with respect to the investments in subsidiaries and equity accounted investees including disclosure relating to going concern of the subsidiary.



Carrying value of Inventories of the Group	
Refer to the significant accounting policy in Note 3.3.9 and Explanatory Note 18 to the consolidated financial statements.	
Risk Description	Our response
The Group has recorded inventories amounting to Rs. 6,990 Mn at 31 March 2019. The Group has significant amount of inventory and judgment is exercised with regard to categorisation of stocks as obsolete and/or slow moving to be considered for provision; estimates are then involved in arriving at provisions against cost in respect of slow moving and obsolete inventories to arrive valuation based on lower of cost and net realizable value. Given the level of judgements and estimates involved this is considered to be a key audit matter.	Our audit procedures included, • Testing key controls over inventory valuation and controls designed to identify slow moving and obsolete inventories. • Comparison of inventory levels, by product group, to sales data to corroborate whether slow moving and obsolete inventories had been appropriately identified and challenge the categorisation as obsolete or slow moving. • On sample basis, physically verify the inventories as at reporting date. • Assessing the realisations of inventories during the period and after the period end, in particular of clearance categories, and compare these to the expected recoveries for inventory categorized as obsolete and/or slow moving at the period end date. • Assessing whether the accounting policies had been consistently applied and the adequacy of the disclosures in respect of the judgement and estimation made in respect of inventory provisioning.

Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Independent Auditor's Report contd.



As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company and the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 2599.

CHARTERED ACCOUNTANTS

Colombo, Sri Lanka

30 August 2019

Statement of Profit or Loss & Other Comprehensive Income

For the year ended 31st March,	Notes	GROUP		COMPANY	
		2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000
Revenue	4	41,689,356	43,293,386	128,595	86,331
Cost of Sales		(34,991,333)	(34,530,194)	-	-
Gross Profit		6,698,023	8,763,192	128,595	86,331
Other Income	5.1	938,728	1,419,043	93,461	132,640
Distribution Expenses		(2,396,202)	(3,174,662)	-	-
Administrative Expenses		(4,599,775)	(4,178,843)	(83,678)	(74,255)
Other Expenses	5.2	(563,877)	(317,931)	(34,500)	441
Net Finance Cost	6	(3,476,738)	(2,652,547)	(74,808)	(35,751)
Share of Results of Equity					
Accounted Investees (Net of Tax)	15.1	(6,889)	6,729	-	-
Share of Results of Joint Venture	15.2	46,659	(20,697)	-	-
Profit/(Loss) before Tax	7	(3,360,071)	(155,716)	29,070	109,406
Income Tax Expense	8	195,450	(152,561)	(6,385)	1,244
Profit/ (Loss) for the Year		(3,164,621)	(308,277)	22,685	110,650
Other Comprehensive Income					
Items that will not be reclassified to Profit or Loss					
Actuarial Gains/(Losses) on Defined Benefit Plans		1,830	(266,416)	-	-
Tax on Other Comprehensive Income		(24,015)	22,084		
Share of Other Comprehensive Income of					
Equity Accounted Investees (Net of tax)		(112,161)	6,641	-	-
Revaluation of Land		6,713,254	-		
Deferred Tax on Revaluation of Land		(1,675,576)	-		
Items that are or may be reclassified to Profit or Loss					
Available-for-Sale Financial Assets -Reclassified to profit or loss		-	(11,581)		
Change in Value of FVOCI Financial Assets		(15,955)	19,058	(509)	(125)
Exchange Differences on Translation of Foreign Operations		(3,295)	2,641	-	-
Other Comprehensive Income / (Loss) for the Year Net of Tax		4,884,082	(227,573)	(509)	(125)
Total Comprehensive Income/ (Loss) for the Year		1,719,461	(535,850)	22,176	110,525
Profit/(Loss) Attributable to:					
Owners of the Company		(2,173,801)	(499,967)	22,685	110,650
Non - Controlling Interest		(990,820)	191,690	-	-
Profit/(Loss) for the Year		(3,164,621)	(308,277)	22,685	110,650
Total Comprehensive Income Attributable to:					
Owners of the Company		511,909	(609,384)	22,176	110,525
Non - Controlling Interest		1,207,552	73,534	-	-
Total Comprehensive Income/ (Loss) for the Year		1,719,461	(535,850)	22,176	110,525
Earnings / (Loss) per Share (Rs.)	9	(12.08)	(2.78)	0.13	0.61

The Notes from pages 34 to 148 form an integral part of these Financial Statements.

Figures in brackets indicate deductions.

Statement of Financial Position

As at 31st March,	Notes	GROUP		COMPANY	
		2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000
ASSETS					
Non-Current Assets					
Property, Plant and Equipment	10	24,526,759	19,330,577	11,949	14,420
Biological Assets	10.6	1,988,592	1,777,139	-	-
Leasehold Property	11	409,438	443,421	-	-
Investment Property	12	1,973,439	644,860	804,233	803,539
Intangible Assets	13	973,367	1,060,195	-	-
Investments in Subsidiaries	14	-	-	1,435,593	1,448,404
Investments in Equity Accounted Investees	15.1	330,162	451,912	93,649	91,525
Investment in Joint Venture	15.2	333,802	287,143	-	-
Other Financial Assets	16	619,432	603,628	1,027	1,536
Employee Benefits	27	56,143	46,828	-	-
Deferred Tax Assets	17	462,906	384,453	-	-
Total Non-Current Assets		31,674,040	25,030,156	2,346,451	2,359,424
Current Assets					
Inventories	18	6,990,030	7,485,684	-	-
Fair Value gain on growing produce of bearer Biological Assets	10.5	10,974	16,326	-	-
Trade & Other Receivables	19	8,287,518	9,034,641	17,341	2,368
Amounts due from Related Parties	30	12,812	22,988	133,809	116,423
Loans Given to Related Parties	30	-	-	97,000	107,000
Income Tax Recoverable		185,818	180,096	-	-
Other Financial Assets	16.3	568,352	747,641	-	-
Cash & Cash Equivalents	20	944,281	2,025,118	14,451	128,735
Total Current Assets		16,999,785	19,512,494	262,601	354,526
Assets Held for Sale	21	67,365	60,000	-	-
Total Assets		48,741,190	44,602,650	2,609,052	2,713,950
EQUITY AND LIABILITIES					
Equity Attributable to Equity Holders of the Parent					
Stated Capital	22	327,000	327,000	327,000	327,000
Capital Reserves	23	20,058	20,058	10,000	10,000
Reserves		5,181,961	4,779,872	1,076,052	1,086,663
Equity Attributable to Owners of the Company		5,529,019	5,126,930	1,413,052	1,423,663
Non - Controlling Interest		4,220,461	3,159,291	-	-
Total Equity		9,749,480	8,286,221	1,413,052	1,423,663
Non-Current Liabilities					
Loans and Borrowings	24	7,700,093	7,055,392	107,813	166,462
Deferred Income-Capital Grants	25	553,922	571,160	-	-
Deferred Tax Liabilities	26	2,281,509	1,129,441	195,260	188,875
Employee Benefits	27	3,139,229	2,871,135	-	-
Rent Received In Advance	28	24,640	17,920	-	-
Total Non-Current Liabilities		13,699,393	11,645,048	303,073	355,337
Current Liabilities					
Trade & Other Payables	29	9,921,146	7,771,268	59,567	40,395
Amounts due to Related Parties	30	1,044,949	665,198	728,592	659,862
Loans and Borrowings	24	10,849,988	12,542,010	46,576	71,129
Rent Received in Advance	28	10,164	8,772	10,164	8,772
Income Tax Payable		363,605	388,236	48,028	48,528
Bank Overdraft	20	3,102,465	3,295,897	-	106,264
Total Current Liabilities		25,292,317	24,671,381	892,927	934,950
Total Liabilities		38,991,710	36,316,429	1,196,000	1,290,287
Total Equity and Liabilities		48,741,190	44,602,650	2,609,052	2,713,950
Net Asset per Share (Rs.)		30.72	28.48	7.85	7.91

It is certified that the Financial Statements have been prepared in compliance with the requirements of the Companies Act No. 07 of 2007.



M.V.M. Paulraj

Director

Corporate Managers & Secretaries (Private) Limited

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.

Approved and signed for and on behalf of the Board,



S.D.R. Arudpragasam

Director

Colombo

30th August, 2019



Anushman Rajaratnam

Director

The Notes from pages 34 to 148 form an integral part of these Financial Statements.

Figures in brackets indicate deductions.

Statement of Changes in Equity

GROUP	Equity Attributable to Equity Holders of the Parent										Total
	Stated Capital	Property Development Reserve	Capital Redemption Reserve Fund	AFS Reserve	FVOCI Reserve/ Reserve	General Reserve	Foreign Currency Translation Reserve	Revaluation Reserve	Accumulated Profit / (Loss)	Total	
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance as at 01st April, 2017	327,000	15,190	4,868	1,036,244	84,453	(1,208)	-	5,420,257	6,886,805	4,003,925	10,890,730
Profit / (Loss) for the year	-	-	-	-	-	-	-	(499,967)	(499,967)	191,690	(308,278)
Other Comprehensive Income for the Year	-	-	-	9,954	-	2,641	-	(122,013)	(109,418)	(118,156)	(227,573)
Dividend Paid - 2016/2017	-	-	-	-	-	-	-	(27,000)	(27,000)	-	(27,000)
Effect of change in percentage holdings in subsidiaries	-	-	-	-	-	-	-	(649,379)	(649,379)	(448,816)	(1,098,195)
Net of Acquisition of Subsidiary	-	-	-	-	-	-	-	-	-	(75,761)	(75,761)
Deferred Tax on Revaluation of Freehold Land (Note 8.4.1)	-	-	-	-	-	-	-	(474,111)	(474,111)	(203,192)	(203,192)
Subsidiary Dividend to Non-Controlling Interest	-	-	-	-	-	-	-	-	-	3,159,291	8,286,221
Balance as at 31st March, 2018	327,000	15,190	4,868	1,046,198	84,453	1,433	-	3,647,788	5,126,930	(82,639)	(82,639)
Adjustment on initial application of SLFRS 9	-	-	-	-	-	-	-	(82,639)	(82,639)	-	-
Adjustment on initial application of SLFRS 15	-	-	-	-	-	-	-	-	-	(36,492)	(36,492)
Adjustment to Associate Share of Equity - SLFRS 9	-	-	-	-	-	-	-	(181)	(181)	-	(181)
Adjusted Balance as at 01st April 2018	327,000	15,190	4,868	1,046,198	84,453	1,433	-	3,564,967	5,044,110	3,122,800	8,166,909
Profit / (Loss) for the year	-	-	-	-	-	-	-	(2,173,801)	(2,173,801)	(990,820)	(3,164,621)
Other Comprehensive Income for the Year	-	-	-	(55,102)	-	-	-	2,868,970	2,685,710	2,198,372	4,884,082
Dividend Paid - 2017/2018	-	-	-	-	-	-	-	(27,000)	(27,000)	-	(27,000)
Effect of change in percentage holdings in subsidiaries	-	-	-	-	-	-	-	-	-	-	-
Subsidiary Dividend to Non-Controlling Interest	-	-	-	-	-	-	-	-	-	-	-
Balance as at 31st March, 2019	327,000	15,190	4,868	991,096	84,453	1,433	-	2,868,970	1,236,009	5,529,019	9,749,480

COMPANY	Equity Attributable to Equity Holders of the Parent						Total
	Stated Capital	Property Development Reserve	General Reserve	AFS Reserve	FVOCI Reserve/ Reserve	Accumulated Profit / (Loss)	
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance as at 01st April, 2017	327,000	10,000	501	1,174,090	1,343	1,512,934	1,512,934
Profit for the year	-	-	-	110,650	-	110,650	110,650
Other Comprehensive Income for the Year	-	-	-	(125)	-	(125)	(125)
Deferred Tax on Revaluation Surplus of Land	-	-	-	(172,796)	-	(172,796)	(172,796)
Dividend Paid - 2016/2017	-	-	-	(27,000)	-	(27,000)	(27,000)
Balance as at 31st March, 2018	327,000	10,000	501	1,084,944	1,218	1,423,663	1,423,663
Adjustment on initial application of SLFRS 9	-	-	-	(5,787)	-	(5,787)	(5,787)
Balance as at 01st April 2018 - SLFRS 9	327,000	10,000	501	1,079,157	1,218	1,417,876	1,417,876
Profit for the year	-	-	-	22,685	-	22,685	22,685
Other Comprehensive Income for the Year	-	-	-	(509)	-	(509)	(509)
Dividend Paid	-	-	-	(27,000)	-	(27,000)	(27,000)
Balance as at 31st March, 2019	327,000	10,000	501	1,074,842	709	1,413,052	1,413,052

The Notes from pages 34 to 148 form an integral part of these Financial Statements.
Figures in brackets indicate deductions.

FVOCI Reserve - Fair Value through Other Comprehensive Income Reserve
AFS Reserve - Available-for-sale Reserve

Statement of Cash Flows

For the year ended 31st March,	Notes	GROUP		COMPANY	
		2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000
Cash Flows from Operating Activities					
Profit before Working Capital Changes	A	1,564,604	3,593,985	31,237	20,398
(Increase)/Decrease in Inventories		382,453	(505,797)	-	-
(Increase)/Decrease in Trade & Other Receivables		915,455	(1,031,008)	(14,801)	867
(Increase)/Decrease in Amounts due from Related Parties		10,176	97,485	(24,762)	64,163
Increase/(Decrease) in Trade & Other Payables		2,159,927	626,682	18,888	(9,164)
Increase/(Decrease) in Amounts due to Related Parties		379,751	259,622	8,729	(57,548)
Cash Generated from Operating Activities		5,412,366	3,040,970	19,291	18,716
Income Tax Paid		(347,068)	(391,293)	(500)	(2,454)
Interest Expenses Paid		(3,211,118)	(2,761,829)	(94,580)	(85,397)
Gratuity Paid		(234,125)	(407,489)	-	-
Rent Income Received		64,771	34,706	42,245	30,955
Net Cash Generated from/(used in) Operating Activities		1,684,826	(484,934)	(33,544)	(38,180)
Cash Flows from Investing Activities					
Acquisition of Property, Plant & Equipment,					
Investment Property & Biological Assets		(2,350,114)	(1,748,665)	(4,534)	(94,002)
Acquisition of Intangible Assets		(16,976)	(13,757)	-	-
Proceeds from Disposal of Property, Plant & Equipment		1,009,249	740,920	-	-
Loans given to Related Parties		-	-	-	(110,000)
Settlements of Loans Due from Related Parties		-	-	10,000	358,500
Acquisition of subsidiaries		-	(342,434)	(22,223)	(359,854)
Acquisition of Joint Venture		-	(36,570)	-	-
Acquisition of Held for trading financial assets		(11,936)	(40,683)	-	-
Proceeds from Disposal of Financial Assets Held for trading		22,666	92,852	-	-
Acquisition of Held to Maturity Investments		-	-	-	-
Net Disposal/Acquisition of Other Investments		3,326	(44,158)	-	74,584
Acquisition and Disposal of Subsidiary Shares from /to NCI		-	(1,098,195)	-	-
Interest Income Received		111,259	117,840	20,753	50,887
Dividend Income Received		52,665	134,775	72,661	118,936
Net Cash Generated from/(used in) Investing Activities		(1,179,861)	(2,238,075)	76,657	39,051
Cash Flows from Financing Activities					
Capital Grants Received		6,429	15,869	-	-
Increase/(Decrease) in Other Short-Term Loans		(1,548,850)	1,029,912	-	-
Increase/(Decrease) in Loan Due to Related Parties		-	-	60,000	(8,200)
Repayment of Lease Rentals		(137,043)	(70,592)	(2,171)	(543)
Receipt of Interest-bearing Borrowings		5,436,426	4,919,591	-	103,250
Redemption of Debenture		(250,000)	-	-	-
Right Issue of Shares by Subsidiary		-	161,274	-	-
Repayment of Interest-bearing Borrowings		(4,762,442)	(2,826,542)	(81,962)	(54,130)
Dividend Paid		(27,000)	(27,000)	(27,000)	(27,000)
Dividend Paid to Non Controlling Interests		(109,890)	(203,192)	-	-
Net Cash Generated from/(used in) Financing Activities		(1,392,370)	2,999,320	(51,133)	13,377
Net Increase/(Decrease) in Cash & Cash Equivalents		(887,405)	276,310	(8,020)	14,248
Cash & Cash Equivalents at the beginning of the year	20	(1,270,779)	(1,547,089)	22,471	8,223
Cash & Cash Equivalents at the end of the year	20	(2,158,184)	(1,270,779)	14,451	22,471

The Notes from pages 34 to 148 form an integral part of these Financial Statements.

Figures in brackets indicate deductions.

For the year ended 31st March,	GROUP		COMPANY	
	2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000
A. Profit before Working Capital Changes				
Profit Before Tax	(3,360,071)	(155,716)	29,070	109,406
Adjustments for ;				
Depreciation and Amortisation	1,258,471	1,281,751	6,312	4,106
Dividend Income	(52,665)	(134,775)	(72,601)	(70,643)
Amortisation of Rent Income	(56,658)	(38,177)	(40,852)	(22,370)
Interest Expense	3,211,118	2,761,829	95,795	86,754
Amortisation of Intangible Assets	47,340	47,770	-	-
Amortisation of Capital Grants	(23,667)	(22,704)	-	-
Gain on Disposal of Property, Plant & Equipment	(208,500)	(467,298)	-	-
Exchange Loss on Translation of Foreign Currency Loan	71,782	20,660	-	-
Interest Income	(111,259)	(117,840)	(20,987)	(51,003)
Provision for Retirement Gratuity	503,953	476,770	-	-
Share of (Profit)/Loss of Equity Accounted Investees	(46,659)	(6,729)	-	-
Share of results of Joint Ventures	6,889	20,697	-	-
Net Gain on Disposal of FVOCI/				
Available-for-Sale Financial Assets	-	(31,608)	-	-
(Gain) / Loss on Disposal of Investments in Subsidiaries	-	-	-	(35,411)
Change in Fair Value of Held For Trading Financial Investments	168,559	(40,208)	-	-
Impairment of Other Financial Assets non current	1,933	4,845	-	-
Provision for/(Reversal of) Impairment in Value of Investments	-	-	32,910	(441)
Impairment Loss/(Reversal of Impairment Loss)				
on Trade & Other Receivables	123,265	103,637	-	-
Impairment Loss/(Reversal of Impairment Loss)				
on Related Party Receivables	-	-	1,590	-
Change in Fair Value of Biological Assets	(196,834)	(243,287)	-	-
Write off during the year	72,307	134,902	-	-
Impairment/(Reversal of Impairment Loss) on Inventories	113,201	3,131	-	-
Creditors No Longer Payable Written Back	(10,049)	(3,666)	-	-
Impairment of Goodwill	56,465	-	-	-
Reversal of Provision for Bad Debts on Trade Receivables	(4,317)	-	-	-
Unclaimed Dividend Written Back	-	-	-	-
	1,564,604	3,593,985	31,237	20,398

Notes to the Financial Statements

1. REPORTING ENTITY

The Colombo Fort Land & Building PLC is a public limited liability company incorporated and domiciled in Sri Lanka. The registered office and principal place of business of the Company is located at No. 8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 1.

The ordinary shares of the Company are listed on the Colombo Stock Exchange. In the Annual Report of the Board of Directors and in the financial statements, 'the Company' refers to The Colombo Fort Land & Building PLC as the Parent Company and 'the Group' refers to the companies whose accounts have been consolidated therein.

The principal activities of the Company include real estate and property development, management of an investment portfolio and provision of management services. The companies within the Group are engaged in;

- a) Real estate and property development.
- b) Manufacture and marketing of chemicals, paints, hardware, building materials and packaging.
- c) Manufacture and marketing of consumer disposables, food & beverage products and marketing and distribution of pharmaceuticals.
- d) Marketing of motor vehicles & accessories and providing vehicle maintenance services.
- e) Tourist hotels and inbound tour operations.
- f) Production, processing and marketing of tea, rubber and desiccated coconut.
- g) Management of investment portfolios.
- h) Provision of management services.

2. BASIS OF PREPARATION

2.1 Statement of Compliance

The financial statements of the Company and the consolidated financial statements of the Group have been prepared in accordance with Sri Lanka Accounting Standards (SLFRSs/LKASs) adopted by The Institute of Chartered Accountants of Sri Lanka (CA) and the requirements of the Companies Act No.07 of 2007 and Sri Lanka Accounting and Auditing Standards Act No.15 of 1995.

The financial statements of the Company and the consolidated financial statements of the Group comprise the Statement of Profit or Loss and Other Comprehensive Income, Statement of Financial Position, Statement of Changes in Equity and Statement of Cash flows together with the Accounting Policies and Notes to the financial statements.

This is the first set of the financial statements in which SLFRS 15 Revenue from Contracts with Customers and SLFRS 9 Financial

Instruments have been applied. Changes to significant accounting policies are described in Note 3

The financial statements of the Group and the Company for the year ended 31st March, 2019 were authorised for issue by the Board of Directors on 30th August, 2019.

2.2 Basis of Measurement

The consolidated financial statements have been prepared on an accrual basis and under the historical cost basis, except for measurement of the following material items in the Statement of Financial Position:

- Derivative financial instruments are measured at fair value.
- Non-derivative financial instruments at fair value through profit or loss are measured at fair value.
- Non-derivative Financial instruments at fair value through Other Comprehensive Income are measured at fair value.
- Class of land under Property, Plant & Equipment is valued under Revaluation model.
- Biological assets (managed timber) are measured at fair value less costs to sell.
- Defined benefit assets are measured at the present value of the defined benefit obligations.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an ordinary transaction between market participants at the measurement date.

When measuring fair value of an asset or liability, the Group uses observable market data as far as possible. Fair Values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques.

Level 1 inputs: are unadjusted quoted prices in active markets for identical assets or liabilities.

Level 2 inputs: are inputs other than quoted prices included within Level 1 that are observable for the asset or liability either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3 inputs: are inputs that are not based on observable market data (unobservable inputs).

If inputs used to measure the fair value of an asset or liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

2.3 Functional and Presentation Currency

The financial statements are presented in Sri Lankan rupees, which is the Group's functional currency. All financial information presented in Sri Lankan rupees has been rounded to the nearest thousand, except when otherwise indicated.

2.4 Use of Estimates, Judgments and Assumptions

The preparation of financial statements of the Group and the Company in conformity with SLFRSs/LKASs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses and the disclosure of contingent liabilities at the reporting date. Judgments and estimates are based on historical experience and other factors including expectations that believe to be reasonable under circumstances. Actual results may differ from those estimates and judgmental decisions.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

Judgments, estimates and assumptions made by management in the application of SLFRSs/LKASs that could have a significant effect on the financial statements are mentioned below.

	Policy No.	Note No.
Valuation of Property, Plant and Equipments	3.3.1	10
Valuation of Leasehold Properties	3.9.1	11
Valuation of Investment Properties	3.3.6	12
Valuation of Intangible Assets	3.3.8	13
Deferred Tax Assets	3.8.2	17
Valuation of Employee Benefit Liabilities	3.5	27
Provisions, Contingent Assets and Liabilities	3.6	35

3. SIGNIFICANT ACCOUNTING POLICIES

Comparative information has where necessary been reclassified to conform to the current year's presentation.

3.1 Changes in Significant Accounting Policies

The Group applies SLFRS 15 – "Revenue from Contracts with Customers" and SLFRS 9 "Financial Instruments" from 01 April, 2018.

Due to the transition method chosen by the Group in applying these standards, comparative information throughout these financial statements has not been restated to reflect the requirement of the standard.

The effect of initially applying these standards is mainly attributed to the following;

- Earlier recognition of revenue with a right of return;
- An increase in impairment losses recognised on financial assets.

3.1.1 SLFRS 15 - Revenue from Contracts with Customers

SLFRS 15 establishes a comprehensive framework for determining whether, how much and when revenue is recognized. It replaced LKAS 18 Revenue, LKAS 11 Construction contracts and related interpretations. Under SLFRS 15, revenue is recognized when a customer obtains control of the goods or services. Determining the timing of the transfer of control-at a point in time or over time-requires judgment.

The Company has adopted SLFRS 15 using the cumulative effect method (without practical expedients), with the effect of initially applying this standard recognized at the date of initial application (i.e. 1st April 2018). Accordingly, the information presented for 2017/2018 has not been restated – i.e. it is presented, as previously reported, under LKAS 18, and related interpretations, additionally, the disclosures requirements in SLFRS 15 have not generally been applied to comparative information.

The following table summarizes the impact, net of tax, of transition to SLFRS 15 on retained earnings as at 1st April 2018.

In Rs'000	Impact of adopting SLFRS 15 on opening balances - Group
Retained Earnings	
Refund liability	(189,185)
Right to recover returned assets	148,754
Sales with right of return	38,176
Free issues	44,463
Impact as at 1st April, 2018	82,639

The following table summarises the impact of adopting SLFRS 15 on the Group's statement of financial position as at 31st March 2019 and its statement of profit or loss and OCI for the year then ended for each of the line items affected. There was no material impact on the Group's statement of cash flows for the year ended 31st March 2019.

Notes to the Financial Statements contd.

Impact on the Statement of Financial Position

For the year ended Group	31-Mar-19		
	As reported Rs.000'	SLFRS 15 Adjustments Rs.000'	Amount without adopting SLFRS 15 Rs.000'
Total non-current assets	31,677,040	-	31,677,040
Current Assets		-	-
Inventories	6,990,030	(89,196)	7,079,226
Other current Assets	10,009,755	-	10,009,755
Total Assets	48,741,190	(89,196)	48,830,386
Equity	9,749,480	60,741	9,688,739
Non Current Liabilities	13,699,393	-	13,699,393
Current Liabilities			
Trade and other payables	9,921,146	(149,937)	10,071,083
Other Current Payables	15,371,171	-	15,371,171
Total liabilities	48,741,190	(89,196)	48,830,386

Impact on the consolidated statement of profit or loss and OCI		31-Mar-19		
Group	Note	As reported Rs.000'	SLFRS 15 Adjustments Rs.000'	Amount without adopting SLFRS 15 Rs.000'
Revenue	a	41,689,356	(60,781)	41,750,137
Cost of Sale	a	(34,991,333)	(62,644)	(34,928,689)
Other Income		938,728	-	938,728
Distribution expenses		(2,396,202)	101,527	(2,497,729)
Other expenses		(563,877)	-	(563,877)
Profit/ (Loss) for the Year		(3,164,621)	(21,898)	(3,142,723)

a. Under LKAS 18, revenue was recognised when a reasonable estimate of the return could be made, provided that all other criteria for revenue recognition were met. If a reasonable estimate could not be made, then revenue recognition was deferred until the return period lapsed or a reasonable estimate of returns could be made. Under SLFRS 15, revenue is recognised to the extent that is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur.

3.1.2 SLFRS 9 – Financial Instruments

SLFRS 9 sets out requirements for recognising and measuring financial assets, financial liabilities and some contracts to buy or sell non-financial items. This standard replaces LKAS 39 Financial Instruments: Recognition and Measurement.

As a result of the adoption of SLFRS 9, the Group has adopted consequential amendments to LKAS 1 Presentation of Financial Statements, which require impairment of financial assets to be presented in a separate line item in the statement of profit or loss and OCI.

Additionally, the Group has adopted consequential amendments to SLFRS 7 Financial Instruments: Disclosures that are applied to disclosures about 2018/2019 but have not been generally applied to comparative information.

The following table summarises the impact, net of tax, of transition to SLFRS 09 on the opening retained earnings (for a description about the transition method).

In Rs.000'	Impact of adopting SLFRS 9 on opening balance
Group	
Retained Earnings	
Recognition of expected credit losses under SLFRS 9	(94,280)
Impact as at April 2018	(94,280)
Company	
Retained Earnings	
Recognition of expected credit losses under SLFRS 9	(5,787)
Impact as at April 2018	(5,787)

i. Classification and measurement of financial assets and financial liabilities

SLFRS 9 contains three principal classification categories for financial assets: measured at amortised cost, FVOCI and FVTPL. The classification of financial assets under SLFRS 9 is generally based on the business model in which a financial asset is managed and on its contractual cash flow characteristics. SLFRS 9 eliminates the previous LKAS 39 categories of held to maturity, loans and receivables and available for sale.

SLFRS 9 largely retains the existing requirements in LKAS 39 for the classification and measurement of financial liabilities.

The adoption of SLFRS 9 has not had a significant effect on the Group's accounting policies related to financial liabilities.

The following table and the accompanying notes below explain the original measurement categories under LKAS 39 and the new measurement categories under SLFRS 9 for each class of the Group's financial assets and financial liabilities as at 1 April 2018.

The effect of adopting SLFRS 09 on the carrying amounts of financial asset at 1 April 2018 relates solely to the new impairment requirements.

In Rs.000'		Original classification under LKAS 39	New classification under SLFRS 9	Original carrying amount under LKAS 39	New carrying amount under SLFRS 9
Group	Note				
Financial assets					
Other investments - debt securities		Held to maturity	Amortised cost	-	-
Other investments - equity securities		Available for sale	Fair value through other comprehensive income	603,628	603,628
Trade and other receivables	(a)	Loans and receivables	Amortised cost	6,578,489	6,484,209
Amounts due from related parties		Loans and receivables	Amortised cost	22,988	22,988
Cash and cash equivalents		Loans and receivables	Amortised cost	2,025,118	2,025,118
Total financial assets				9,230,223	9,135,943
Financial liabilities					
Loans and borrowings		Other financial liabilities	Other financial liabilities	19,597,402	19,597,402
Trade and other payables		Other financial liabilities	Other financial liabilities	7,771,268.0	7,771,268
Amounts due to related parties		Other financial liabilities	Other financial liabilities	665,198	665,198

Notes to the Financial Statements contd.

- a. Trade and other receivables that were classified as loans and other receivables under LKAS 39 are now classified at amortized cost. An increase of Rs. 94 Mn in the allowance for impairment was recognized in the opening retained earnings of the Group at 1st April 2018 on transition to SLFRS 9

In Rs.000' Company	Note	Original classification under LKAS 39	New classification under SLFRS 9	Original carrying amount under LKAS 39	New carrying amount under SLFRS 9
Financial Assets					
Other investments - debt securities		Held to maturity	Amortised cost		
Other investments - equity securities		Available for sale	Fair value through other comprehensive income	1,536	1,536
Trade and other receivables	(a)	Loans and receivables	Amortised cost	2,368	2,368
Amounts due from related parties		Loans and receivables	Amortised cost	223,423	217,636
Short term investments		Held to maturity	Amortised cost	-	-
Cash and cash equivalents		Loans and receivables	Amortised cost	128,735	128,735
Total financial assets				356,062	350,275
Financial Liabilities					
Loans and borrowings		Other financial liabilities	Other financial liabilities	237,591	237,591
Trade and other payables		Other financial liabilities	Other financial liabilities	40,395	40,395
Amounts due to related parties		Other financial liabilities	Other financial liabilities	659,862	659,862
Total financial liabilities				937,848	937,848

- a. Amounts due from related companies that were classified as Loans and receivables under LKAS 39 are now classified at amortized cost. An increase of Rs.5.79 Mn. in the allowance for impairment over these receivables was recognized in the opening retained earnings of the company as at 1st April 2018 on transition to SLFRS 9.

The following table summarises the carrying amounts of financial assets under LKAS 39 to the carrying amounts under SLFRS 9 on transition to SLFRS 9 on 1 April 2018.

In Rs.000' Group	LKAS 39 carrying amount at 31st March 2018	Reclassification	Remeasurement	SLFRS 9 carrying amount at 1st April 2018
Financial Assets				
Amortised cost				
Amounts due from related companies				
Brought forward: Loans and receivables	22,988			
Remeasurement				
Carried Forward : Amortised cost		22,988		22,988
Cash and cash equivalents				
Brought forward : Loans and receivables	2,025,118			
Remeasurements				
Carried Forward: Amortized cost		2,025,118		2,025,118
Trade and other Receivables				
Brought forward : Loans and receivables	6,578,489			
Remeasurements			(94,280)	
Carried Forward: Amortized cost				6,484,209
Total amortised cost				8,532,315
Financial Assets				
FVOCI				
Other Investments – Equity Securities				
Brought forward: Available – for sale	603,628			
Reclassified to: FVOCI- equity		(603,628)		
Total FVOCI				603,628

In Rs.000' Company	LKAS 39 carrying amount at 31st March 2018	Reclassification	Remeasurement	SLFRS 9 carrying amount at 1st April 2018
Financial Assets				
Amortised cost				
Amounts due from related companies	223,423			
Brought forward: Loans and receivables	-			
Remeasurement			(5,787)	217,636
Carried Forward : Amortised cost				
Cash and cash equivalents	128,735			
Brought forward : Loans and receivables				
Remeasurements				
Carried Forward: Amortized cost		128,735		128,735
Trade and other Receivables	2,368			
Brought forward : Loans and receivables				
Remeasurements			-	
Carried Forward: Amortized cost		2,368		2,368
Total amortised cost				348,739
Financial Assets				
FVOCI				
Other Investments – Equity Securities				
Brought forward: Available – for sale	1,536			
Reclassified to: FVOCI- equity		1,536		
Total FVOCI				1,536

ii Impairment of financial assets

SLFRS 9 replaces the 'incurred loss' model in LKAS 39 with an 'expected credit loss' (ECL) model. The new impairment model applies to financial assets measured at amortised cost, contract assets and debt investments at FVOCI, but not to investments in equity instruments. Under SLFRS 9, credit losses are recognised earlier than under LKAS 39.

For assets in the scope of the SLFRS 9 impairment model, impairment losses are generally expected to increase and become more volatile. The Group has determined that the application of SLFRS9's impairment requirements at 1 April 2018 results in an additional allowance for impairment as follows.

In Rs 000'	Impact of adopting SLFRS 9 on opening balance	
Loss allowance at 31 March 2018 under LKAS 39	Group	Company
Additional impairment recognised at 1 April 2018	(394,678)	-
Amount due from related parties	-	(5,787)
Other investments- Debt Securities	-	-
Short Term Investments	-	-
Trade and other Receivables	94,280	-
Loss allowance at 1 April 2018 under SLFRS 9	94,280	(5,787)

Notes to the Financial Statements contd.

iii. Transition

Changes in accounting policies resulting from the adoption of SLFRS 9 have been applied retrospectively, except as described below.

- The Group has used an exemption not to restate comparative information for prior periods with respect to classification and measurement (including impairment) requirements. Differences in the carrying amounts of financial assets and financial liabilities resulting from the adoption of SLFRS 9 are recognised in retained earnings and reserves as at 1 April 2018. Accordingly, the information presented for 2017/2018 does not generally reflect the requirements of SLFRS 9, but rather those of LKAS 39.
- The following assessments have been made on the basis of the facts and circumstances that existed at the date of initial application.
- The determination of the business model within which a financial asset is held.
- The designation and revocation of previous designations of certain financial assets and financial liabilities as measured at FVTPL.
- The designation of certain investments in equity instruments not held for trading as at FVOCI.
- If an investment in a debt security had low credit risk at the date of initial application of SLFRS 9, then the Group has assumed that the credit risk on the asset had not increased significantly since its initial recognition.

3.2 Basis of Consolidation

The consolidated financial statements (referred to as the 'Group') comprise of the financial statements of the Group, its Subsidiaries and the Group's interest in equity accounted investees.

Business combinations are accounted for using acquisition method as at the acquisition date, which is the date on which control is transferred to the Group. In assessing control, the Group takes into consideration potential voting rights that currently are exercisable.

Losses within a subsidiary are attributed to the non-controlling interest even if that results in a deficit balance. A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, it;

- Derecognises the assets (including goodwill) and liabilities of the subsidiary.
- Derecognises the carrying amount of any non-controlling interest.
- Derecognises the cumulative translation differences, recorded in equity.
- Recognises the fair value of the consideration received.
- Recognises the fair value of any investment retained.
- Recognises any surplus or deficit in profit or loss in the Statement of Profit or Loss and Other Comprehensive Income.
- Reclassifies the Parent's share of components previously recognised in other comprehensive income to profit or loss or retained earnings, as appropriate.

The Group measures goodwill at the acquisition date as the fair value of the consideration transferred including the recognised amount of any non-controlling interests in the acquiree, plus if the business combination is achieved in stages, the fair value of the pre-existing equity interest in the acquiree less the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed, all measured as of the acquisition date. When the excess is negative, a bargain purchase gain is recognised immediately in profit or loss.

The Group elects on a transaction-by-transaction basis whether to measure non-controlling interests at fair value, or at their proportionate share of the recognised amount of the identifiable net assets, at the acquisition date. Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

In a business combination achieved in stages, the Group remeasures its previously held equity interest in the acquiree at its acquisition-date fair value and recognises the resulting gain or loss, if any, in the Statement of Profit or Loss and Other Comprehensive Income.

3.2.1 Acquisitions of Non-Controlling Interest

Acquisitions of non-controlling interests are accounted for as transactions with owners, in their capacity as owners and therefore no goodwill is recognised as a result. Adjustments to non-controlling interests arising from transactions that do not involve the loss of control are based on a proportionate amount of the net assets of the subsidiary.

3.2.2 Subsidiaries

Subsidiaries are those entities controlled by the Group. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. The Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

The Group considers all relevant facts and circumstances in assessing whether it has power over an investee which includes; the contractual arrangement with the other vote holders of the investee, rights arising from other contractual arrangements and the Group's voting rights and potential voting rights over the investee.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Entities that are subsidiaries of another entity which is a subsidiary of the company are also treated as subsidiaries of the company. The financial statements of subsidiaries are included in the consolidated financial statements from the date of acquisition, being the date on which the Group obtains control, and continues to be consolidated until the date when such control ceases.

The accounting policies of subsidiaries have been changed when necessary to align them with the policies adopted by the Group

The following companies in which the Group's effective holding is less than 50% have been consolidated as the group has the practical ability to direct the relevant activities of these entities, unilaterally.

Company Name	Holding
Muller and Phipps (Ceylon) PLC	30.72%
Laxapana Batteries PLC	30.89%
Marawila Resorts PLC	40.31%
C.W. Mackie PLC	37.84%
Agarapatana Plantations Limited	41.46%
Lankem Developments PLC	47.30%
Sigiriya Village Hotels PLC	42.18%
Beruwala Resorts PLC	48.97%
York Arcade Holdings PLC	49.99%

Loss of Control

On the loss of control, the Group derecognises the assets and liabilities of the subsidiary, any non-controlling interests and other components of equity relating to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in profit or loss in the Statement of Profit or Loss and Other Comprehensive Income. If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently it is accounted for as an equity-accounted investee or as an available-for-sale financial asset depending on the level of influence retained.

3.2.3 Investments in Equity Accounted Investees (Associates and Jointly Controlled Entities)

Associates are those entities in which the Group has significant influence, but not control, over the financial and operating policies. Significant influence is presumed to exist when the Group holds between 20% and 50% of the voting power of another entity.

Joint ventures are arrangements in which the Group has joint control and have rights to the net assets of the arrangement. The group has Joint Control in a venture when there is contractually agreed sharing of control of the venture and the decisions about the relevant activities of the venture require the unanimous consent of the parties sharing control.

Associates and Joint ventures are treated as equity accounted investees and are accounted for using the equity method.

Under the equity method Investments in equity-accounted investees are recognised initially at cost, which includes transaction costs. The carrying amount of the investment is adjusted at each reporting date to recognise changes in the Group's share of net assets of the equity-accounted investees arising since the acquisition date. Goodwill relating to the equity-accounted investees is included in the carrying amount of the investment. Dividends declared by the equity-accounted investees are recognised against the equity value of the Group's investment.

The income statement reflects the Group's share of the results of operations of the equity accounted investees. When there is a change recognised directly in the Other Comprehensive Income or equity of the entity, the Group recognises its share of any changes, when applicable, in the statement of profit or loss and Other Comprehensive Income or the changes in equity. Unrealised gains and losses resulting from transactions between the Group and the equity-accounted investees are eliminated to the extent of the interest in the equity-accounted investees.

The Group's share of profit or loss of equity accounted investees is shown on the face of the income statement and represents profits or loss after tax of the entity.

Notes to the Financial Statements contd.

Adjustments are made if necessary, to the financial statements of the equity accounted investees to bring the accounting policies in line with those of the Group. After application of the equity method, the Group determines whether it is necessary to recognise an impairment loss on its investment in its equity accounted investee. The Group determines at each reporting date whether there is any objective evidence that the investment in the equity accounted investee is impaired. If this is the case, the Group calculates the amount of impairment as the difference between the recoverable amount of the equity-accounted investees and its carrying value and recognises the amount in 'share of losses of an equity accounted investee' in the income statement.

Upon loss of significant influence over the associate or the joint control over the joint venture, the Group measures and recognises any retained investment at its fair value. Any difference between the carrying amount of the equity accounted investee disposed and the fair value of the retaining investment and the proceeds from disposal is recognised in the income statement.

Non-Controlling Interest

Non-controlling interest which represents the portion of profit or loss and net assets not held by the Group, are shown as a component of profit or loss for the year in the Consolidated Statement of Profit or Loss and Other Comprehensive Income and as a component of equity in the Consolidated Statement of Financial Position, separately from the Parent's shareholders' equity.

Summarised financial information in respect of subsidiaries that have non-controlling interests that are material to the reporting entity (i.e., the Group) is disclosed separately when applicable.

3.2.4 Other Long-Term Investments

Investment in companies where the Group's holding is less than 20% and where the Group does not exercise significant influence and/or control over the financial and operating policies/decisions are accounted for on the basis stated in 3.4 below. The income from these investments is recognised only to the extent of dividend received.

3.2.5 Profits and Losses

The total profits and losses of the Company and its subsidiaries for the period are included in the consolidation. The proportion of the profit or loss after taxation attributable to non-controlling interest shareholders of the subsidiaries is shown as a component of profit for the period in the Consolidated Statements of Comprehensive Income.

3.2.6 Assets and Liabilities

All assets and liabilities of the Company and its subsidiaries are included in the Consolidated Statement of Financial Position. Non-controlling interest which represents the proportion of interest attributable to non-controlling interest of subsidiaries in the net

assets employed by the Group is disclosed as a component of equity in the Consolidated Statement of Financial Position, separately from the Parent shareholders' equity.

3.2.7 Transactions Eliminated on Consolidation

All intra group balances and transactions, income and expenses and profits and losses resulting from intra group transactions that are recognised in assets, liabilities, income and expenses are eliminated in preparing the consolidated financial statements.

3.2.8 Reporting Date

All subsidiaries and equity accounted investees of the Group have a common financial year as the Parent Company other than Sunquick Lanka Property (Private) Limited. Whose financial year ends on 31st December. Group incorporates the results of Sunquick Lanka Property (Private) Limited up to 31st March in the Group's financial statements.

3.2.9 Foreign Currency Transactions

All foreign currency transactions are translated to Sri Lankan Rupees at the exchange rates prevailing at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated into local currency at the exchange rate at that date.

Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to the functional currency at the exchange rate at the date that the fair value was determined. Non-monetary items in a foreign currency that are measured based on historical cost are translated using the exchange rate at the date of the transaction.

Foreign currency differences arising on retranslation are recognised in the Statement of Profit or Loss and Other Comprehensive Income.

3.3 Property, Plant & Equipment

3.3.1 Recognition and Measurement

Items of property, plant & equipment except freehold land are measured at cost less accumulated depreciation and accumulated impairment losses. From 31 March 2019, freehold land of the Group is recognised at revalued amount and such revaluation will be assessed once in three years.

Cost includes expenditure that is directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the following:

- The cost of materials and direct labour
- Any other costs directly attributable to bringing the assets to a working condition for their intended use

- When the entity has an obligation to remove the asset or restore the site an estimate of the costs of dismantling and removing the items and restoring the site on which they are located
- Capitalised borrowing costs

When parts of an item of property, plant & equipment have different useful lives, they are accounted for as separate items (major components) of property, plant & equipment.

Any gain or loss on disposal of an item of property, plant & equipment (calculated as the difference between the net proceeds from disposal and the carrying amount of the item) is recognised in the Statement of Profit or Loss and Other Comprehensive Income.

Upon transition to SLFRSs/LKASs the Group elected to apply the optional exemption to use the previous revaluation as deemed cost on 1st April, 2011, the date of transition.

3.3.2 Subsequent Expenditure

The cost of replacing part of an item of property, plant & equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The carrying amount of those parts that are replaced is derecognised in accordance with the derecognition policy given below. The costs of the day-to-day servicing of property, plant & equipment are recognised in profit or loss as incurred.

3.3.3 Derecognition and Depreciation

Derecognition

Items of property, plant & equipment are derecognised upon replacement, disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset is included in the Statement of Profit or Loss and Other Comprehensive Income in the year the asset is derecognised.

Depreciation

Depreciation is calculated on a straight-line basis over the estimated useful lives of each part of an item of property, plant & equipment. Assets held under finance leases are depreciated over the shorter of the lease term and the useful lives of equivalent owned assets. Freehold land is not depreciated.

Depreciation of an asset begins when it is available for use and ceases at the earlier of the dates on which the asset is classified as held for sale or is derecognised.

Provision for depreciation is calculated by using a straight-line method on the cost or valuation of all property, plant & equipment, other than freehold land, in order to write off such amounts over the estimated useful economic life of such assets.

The estimated useful lives of assets are as follows:

Assets	Years
Freehold Buildings	10 - 40
Plant & Machinery	04 - 13 1/3
Motor Vehicles	04 - 05
Office Equipment	08 - 10
Furniture & Fittings	08 - 10
Computer Equipment	04 - 05
Sanitation, Water Supply and Electricity	20
Mature Plantations - Tea	33 1/3
Mature Plantations - Rubber	20
CTC Machinery	20
Freehold Buildings on Leasehold Lands	Over the lease period or estimated useful life whichever is shorter
Linen, Cutlery & Crockery	On replacement basis / 4 years

The useful life and residual value of assets are reviewed, and adjusted if required, at the end of each financial year.

3.3.4 Finance Leases

Property, plant & equipment on finance leases, which effectively transfer to the Group substantially all the risk and benefits incidental to ownership of the leased items, are classified as leasehold assets under the property, plant & equipment and stated at an amount equal to the lower of their fair value and the present value of minimum lease payments at the inception of the lease, less the accumulated depreciation. Depreciation is made over the remaining lease or the useful life of the asset, whichever is shorter.

3.3.5 Operating Leases

Leases, where the lessor effectively retains substantially all of the risks and benefits of ownership over the term of the lease, are classified as operating leases. Lease payments are recognised as an expense in the Statement of Profit or Loss and Other Comprehensive Income over the term of the lease.

3.3.6 Investment Property

Investment property is property held either to earn rental income or for capital appreciation or for both, but not held for sale in the ordinary course of business, used in the production or supply of goods or services or for administrative purposes.

Cost includes expenditure that is directly attributable to the acquisition of the investment property. The cost of self constructed investment property includes the cost of materials and direct labour, any other costs directly attributable to bringing the investment property to a working condition for their intended use and capitalised borrowing costs.

Notes to the Financial Statements contd.

Upon transition to SLFRSs/LKASs the Group elected to apply the optional exemption to use fair value as at the date of transition, 1st April 2011 as deemed cost. Consequently, investment property is measured at deemed cost less accumulated depreciation and any impairment losses. Depreciation is recognised on a straight-line basis over the estimated useful life of the investment property.

Investment properties are derecognised when disposed of, or permanently withdrawn from use because no future economic benefits are expected. Any gains or losses on retirement or disposal are recognised in the Statement of Profit or Loss and Other Comprehensive Income in the year of retirement or disposal. Transfers are made to and from investment property only when there is a change in use in accordance with the criteria listed in LKAS 40 - Investment Property.

Where Group companies occupy a significant portion of the investment property of a subsidiary, such investment properties are treated as property, plant & equipment in the consolidated financial statements, and accounted for in accordance with LKAS 16 - Property, Plant & Equipment.

3.3.7 Borrowing Costs

Borrowing costs are recognised as an expense in the period in which they are incurred except those that are directly attributable to the acquisition, construction or production of a qualifying asset that takes a substantial period of time to get ready for its intended use or sale, where it is capitalised as a part of the cost of that asset.

3.3.8 Intangible Assets

An intangible asset is initially recognised at cost, if it is probable that future economic benefit will flow to the enterprise, and the cost of the asset can be measured reliably.

Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses.

Intangible assets with finite lives are amortised over the useful economic life, from the date that they are available for use and assessed for impairment whenever there is an indication that the intangible asset may be impaired.

The amortisation period and the amortisation method for an intangible asset with finite useful life is reviewed at least once at each financial year end.

Intangible assets with indefinite useful lives are tested for impairment annually either individually or at the cash-generating unit level.

Goodwill

Goodwill arising on an acquisition represents the excess of the cost of acquisition over the fair value of net assets acquired. Goodwill is measured at cost less accumulated impairment losses.

Gain from bargain purchase arising on an acquisition represents the excess of the fair value of the net assets acquired over the cost of acquisition. Gain from bargain purchase is recognised immediately in the Statement of Profit or Loss and Other Comprehensive Income.

Software

All computer software cost incurred, which are not internally related to associate hardware, which can be clearly identified, reliably measured and its probable that they will lead to future economic benefits, are included in the Statement of Financial Position under the category of intangible assets.

3.3.9 Inventories

Inventories are measured at lower of cost and estimated net realisable value.

In general, cost is determined on weighted average basis other than in following companies whose cost of inventory is determined on first-in, first out basis (FIFO).

E.B. Creasy & Company PLC
Candy Delights Limited
Laxapana Batteries PLC
C.W. Mackie PLC - Import items

The cost includes all expenses incurred in acquiring the inventories and bringing them to their existing condition. In the case of finished products, cost includes all direct expenditure and production overheads based on the normal level of activity.

Net realisable value is the estimated selling price in the ordinary course of business less the estimated selling expenses and where applicable, cost of conversion from their existing state to the finished condition.

Provision is made for obsolete, slow moving and defective inventories where necessary.

3.3.10 Non-Current Assets Held for Sale

Non-current assets that are expected to be recovered primarily through a disposal rather than through continuing use are classified as held for sale. Immediately before classification as held for sale, these assets (or components of a disposal group) are re-measured in accordance with the Group's accounting policies. Thereafter the assets (or disposal group) are measured at the lower of their carrying amount and fair value less cost to sell. Any impairment loss on the above assets is first allocated to goodwill and then to

the remaining assets and liabilities on a pro-rata basis, except that no loss is allocated to inventories, financial assets, deferred tax assets, employee benefit assets and investment property, which are continued to be measured in accordance with the Group's accounting policies.

Impairment losses on initial classification as held for sale and subsequent gains or losses on re-measurement are recognised in the income statement. Gains are not recognised in excess of any cumulative impairment loss. Once classified as held for sale, intangible assets and property, plant and equipment are no longer amortised or depreciated, and any equity-accounted investee is no longer accounted.

3.4 Financial Instruments

3.4.1 Recognition and Initial Measurement

Trade receivables and debt securities issued are initially recognised when they are originated. All other financial assets and financial liabilities are initially recognised when the Company becomes a party to the contractual provision of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, for an item not at FVTPL, transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

3.4.2 Classification and subsequent measurement

3.4.2.1 Financial Assets

(i) Policy applicable from 1 April 2018. On initial recognition, a financial asset is classified as measured at: amortised cost; FVOCI – debt investment; FVOCI – equity instrument; or FVTPL.

Financial assets are not reclassified subsequent to their initial recognition unless the group changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

A debt investment is measured at FVOCI if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and

- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

On initial recognition of an equity investment that is not held for trading, the Group may irrevocably elect to present subsequent changes in the investment's fair value in OCI. This election is made on an investment-by-investment basis.

All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. This includes all derivative financial assets. On initial recognition, the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

a. Business model assessment

The Group makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realising cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Company's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated - e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity.

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Group's continuing recognition of the assets.

Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

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b. Assessment whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Group considers:

- contingent events that would change the amount or timing of cash flows;
- terms that may adjust the contractual coupon rate, including variable-rate features;
- prepayment and extension features; and
- terms that limit the Group's claim to cash flows from specified assets (e.g. non-recourse features)

A prepayment feature is consistent with the solely payments of principal and interest criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable additional compensation for early termination of the contract. Additionally, for a financial asset acquired at a discount or premium to its contractual par amount, a feature that permit or requires prepayment at an annual amount that substantially represent the contractual par amount plus accrued (but unpaid) contractual interest (which may also include reasonable additional compensation for early termination) is treated as consistent with this criterion if the fair value of the prepayment feature is insignificant at initial recognition.

c. Subsequent measurement and gains and losses

Financial assets at FVTPL	These assets are subsequently measured at fair value. Net gains and losses including any interest or dividend income, are recognised in profit or loss.
Financial assets at amortised cost	These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.
Debt investments at FVOCI	These assets are subsequently measured at fair value. Interest income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognised in profit or loss. Other net gains and losses are recognised in OCI. On derecognition gains and losses accumulated in OCI are reclassified to profit or loss.
Equity investments at FVOCI	These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss

(ii) Policy applicable before 01st April 2018

The Group classified its financial assets into one of the following categories:

- loans and receivables ;
- held to maturity;
- available for sale; and
- at FVTPL, and within this category as:
 - held for trading;
 - derivative hedging instruments; or
 - designated as at FVTPL.

Subsequent measurement of gains and losses

Financial assets at FVTPL	Measured at fair value and changes therein, including any interest or dividend income, were recognised in profit or loss.
Held-to-maturity financial assets	Measured at amortised cost using effective interest method.
Loans and receivables	Measured at amortised cost using the effective interest method.
Available for sale financial assets	Measured at fair value and changes therein, other than impairment losses, interest income and foreign currency differences on debt instruments, were recognised in OCI and accumulated in the fair value reserve. When these assets were recognised, the gain or loss accumulated in equity was reclassified to profit or loss.

3.4.2.2 Financial Liabilities

(i) Classification, subsequent measurement and gains and losses

Financial liabilities are classified as measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held- for-trading, it is a derivative or it is designated as such on initial recognition. Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognised in profit or loss. Other financial liabilities are subsequently measured at amortised cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

3.4.3 De-recognition

3.4.3.1 Financial Assets

The Group derecognises a financial asset when the contractual rights to the cash flows from the financial: asset expire, or it transfers the rights to receive the, contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Group neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

The Group enters into transactions whereby it transfers assets recognised in its statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets. In these cases, the transferred assets are not derecognised.

3.4.3.2 Financial Liabilities

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire. The Group also derecognises a financial liability when its terms are modified and the cash flows of the modified are substantially different, in which case a new financial liability based on the modified terms is recognised at fair value.

On de-recognition of a financial liability, the difference between the carrying amount extinguished and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognised in profit or loss.

3.4.4 Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

3.4.5 Impairment

3.4.5.1 Non-derivative Financial Assets

(i) Policy applicable from 1 April 2018

The Group recognises loss allowances for Expected Credit Loss (ECL) on:

- financial assets measured at amortised cost;
- debt investments measured at FVOCI; and
- contract assets.

Notes to the Financial Statements contd.

The Group measures loss allowance at an amount equal to lifetime ECLs, except for the following, which are measured at 12-months ECLs:

- debt securities that are determined to have low credit risk at the reporting date; and
- other debt securities and bank balances for which credit risk (i.e. the risk of default occurring over the expected life of the financial instrument) has not increased significantly since initial recognition.

Loss allowance for trade receivables and contract assets are always measured at an amount equals to life time ECLs.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Group considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group's historical experience and informed credit assessment and including forward-looking information.

The Group assumes that the credit risk on a financial asset has increased significantly if it is more than 30 days past due.

The Group considers a financial asset to be in default when:

- the borrower is unlikely to pay its credit obligation to the Group in full, without recourse by the Group to actions such as realising security (if any is held); or
- the financial asset is more than 180 days past due.

The Group considers a debt security to have low credit risk when its credit risk rating is equivalent to the globally understood definition of 'investment grade'.

Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument.

12-month ECLs are the portion of ECLs that result from default events that are possible within the 12 months after the reporting date (or a shorter period if the expected life of the instrument is less than 12 months).

The maximum period considered when estimating ECLs is the maximum contractual period over which the Group is exposed to credit risk.

Measurement of ECLs

ECLs are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive).

ECLs are discounted at the effective interest rate of the financial asset.

Credit-impaired financial assets

At each reporting date, the Group assesses whether financial assets carried at amortised cost and debt securities at FVOCI are credit-impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data;

- significant financial difficulty of the borrower;
- a breach of contract such as default or being more than 90 days past due;
- the restructuring of a loan or advance by the Group on terms that the Group would not consider otherwise;
- it is probable that the borrower will enter bankruptcy or other financial reorganisation; or
- the disappearance of an active market for a security because of financial difficulties.

Presentation of allowance for ECL in the statement of financial position

Loss allowances for financial assets measured at amortised cost are deducted from the gross carrying amount of the assets.

For debt securities at FVOCI, the loss allowance is charged to profit or loss and is recognised in OCI.

Write-off

The gross carrying amount of a financial asset is written off when the Group has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. For individual customers, the Group has a policy of writing off the gross carrying amount when the financial asset is 180 days past due based on historical experience of recoveries of similar assets. For corporate customers, the Group individually makes an assessment with respect to the timing and amount of write-off based on whether there is a reasonable expectation of recovery. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's procedures for recovery of amounts due.

(ii) Policy applicable before 1 April 2018

Financial assets not classified as at FVTPL were assessed at each reporting date to determine whether there was objective evidence of impairment.

Objective evidence that the financial asset were impaired included:

- default by a debtor;
- restructuring of an amount due to the Group on terms that the Group would not consider otherwise;

- indication that a debtor or issuer would enter bankruptcy;
- adverse changes in the payment status of borrowers or issuers;
- the disappearance of an active market for a security because of financial difficulties; or
- observable data indicating that there was a measurable decrease in the expected cash flows from a group of financial assets

3.4.5.2 Non-financial assets

At each reporting date, the Group reviews the carrying amounts of its non-financial assets (other than biological assets, investment property, inventories and deferred tax assets) to determine whether there is any indication of impairment. If any such indicator exists, then the asset's recoverable amount is estimated. Goodwill is tested annually for impairment.

For impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or CGUs. Goodwill arising from a business combination is allocated to CGUs or groups of CGUs that are expected to benefit from the synergies of the combination.

The recoverable amount of an asset or CGU is the greater of its value in use and its fair value less costs to sell. Value in use is based on the estimated future cash flows, discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or CGU.

An impairment loss is recognised if the carrying amount of an asset or CGU exceeds its recoverable amount.

Impairment losses are recognised in profit or loss. They are allocated first to reduce the carrying amount of any goodwill allocated to the CGU, and then to reduce the carrying amounts of the other assets in the CGU on a pro rata basis.

An impairment loss in respect of goodwill is not reversed. For other assets, an impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have determined, net of depreciation or amortisation, if no impairment loss had been recognised.

3.5 Employee Benefits

(a) Defined Benefit Plans - Retirement Gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan.

The Group's net obligation in respect of defined benefit plans is calculated separately for each plan by estimating the amount of future benefit that employees have earned in return for their service in the

current and prior periods; that benefit is discounted to determine its present value. Any unrecognised past service costs and the fair value of any plan assets are deducted.

The defined benefit obligation is calculated annually by independent qualified actuaries using Project Unit Credit method (PUC) as recommended by LKAS 19 - Employee Benefits. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows.

The actuarial gain or losses arising from defined benefit plans are recognised immediately in Other Comprehensive Income.

However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for the gratuity payment to an employee arises only on the completion of 5 years of continued service.

Provisions have not been made for gratuity in the accounts of the Company as per LKAS 19 - 'Employee Benefits', since the Company did not employ any staff. All staff related services are provided by Corporate Managers & Secretaries (Pvt) Ltd.

(b) Defined Contribution Plan - Employees' Provident Fund & Employees' Trust Fund

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and has no legal or constructive obligation to pay further amounts. All employees who are eligible for Provident Fund Contributions and Trust Fund Contributions are covered by relevant contribution funds in line with respective statutes and regulations.

Obligations for contributions to defined contribution plans are recognised as an employee benefit expense in profit or loss in the periods during which related services are rendered by employees.

Contributions for Employees Provident Fund and Employees Trust Fund have not been made since the Company does not employ any staff.

3.6 Provisions, Contingent Assets and Contingent Liabilities

Provisions are made for all obligations present, legal or constructive obligations existing as at the reporting date when it is probable that such an obligation will result in an outflow of resources and a reliable estimate can be made of the quantum of the outflow.

All contingent liabilities are disclosed as a note to the financial statements unless the outflow of resources is remote.

Contingent assets are disclosed, where inflow of economic benefit is probable.

Notes to the Financial Statements contd.

3.7 Statement of Profit or Loss and Other Comprehensive Income

3.7.1 Revenue Recognition

As per SLFRS 15, Revenue from contracts with customers, revenue is recognized to the extent that it is probable that the economic benefits will flow to the company and the revenue can be reliably measured, regardless of when the payment is being made. Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes.

The nature and timing of the satisfaction of performance obligations in contract with customers, including significant payment terms, and the related revenue recognition policies are given below:

(a) Sale of Goods

Revenue recognition under SLFRS 15 (Applicable from 01st April 2018)

Customers obtain control of products when the goods are delivered to and have been accepted at their premises. Invoices are generated at that point in time. Invoices are usually payable within 30/60/90 days based on the product category

Revenue recognition under LKAS 18 (Applicable before 01st April 2018)

Revenue from the sale of good is recognized when the significant Risk and rewards of ownership of the goods have passed to the buyer with the group retaining neither a continuing managerial involvement to the degree usually associated with ownership, nor an effective control over the goods sold.

(b) Rendering of Services

Revenue from rendering of services is recognized in the accounting period in which the services are rendered or performed.

(c) Revenue from Hotel Services

Apartment revenue is recognised on the rooms occupied on a daily basis and food and beverage and other hotel related sales are recognised at the point of sale.

3.7.1.1 Other Sources of Revenue

(a) Dividend Income

Dividend Income is recognised in the Statement of Profit or Loss on the date when the entities right to receive payment is established.

(b) Finance Income

Finance income comprises interest income on funds invested (including available-for-sale financial assets), gains on the disposal of available-for-sale financial assets and Fair Value Gains on Financial Assets at fair value through Profit or Loss. Interest income is recognised as it accrues in profit or loss, using the effective interest method.

(c) Other Income - Other income recognised based on the actual basis

Gains and losses of a revenue nature on the disposal of Property, Plant and Equipment and other non-current assets are recognised by comparing the net sales proceeds with the carrying amount of the corresponding asset and are recognised net within 'other income' in the Statement of Profit or Loss.

3.7.2 Expenditure Recognition

All expenditure incurred in the running of the business and in maintaining the property, plant & equipment in a state of efficiency has been charged to Statement of Profit or Loss and Other Comprehensive Income in arriving at the profit for the year. Expenditure incurred for the purpose of acquiring and extending or improving assets of a permanent nature by means of which to carry on the business or for the purpose of increasing the earning capacity of the business has been treated as capital expenditure.

For the purpose of presentation of the Statement of Profit or Loss and Other Comprehensive Income, the "function of expenses" method has been adopted, on the basis that it presents fairly the elements of the Company and the Group's performance.

3.7.3 Finance Income and Finance Costs

Finance income comprises interest income on funds invested (including available-for-sale financial assets). Interest income is recognised as it accrues in the Statement of Profit or Loss and Other Comprehensive Income, using the effective interest method.

Finance costs comprise of all interest and other costs incurred in connection with borrowings, and are recognised as an expense in the period in which they are incurred, unless they are incurred in respect of qualifying assets in which case it is capitalised.

Foreign currency gains and losses are reported on a net basis as either finance income or finance cost depending on whether foreign currency movements are in a net gain or net loss position.

3.8 Income Tax Expenses

Income tax expense comprises of current and deferred tax. Income tax expense is recognised in Statement of Profit or Loss and Other Comprehensive Income except to the extent that it relates to items recognised directly in other comprehensive income or Changes in Equity, in which case it is recognised directly in the respective statement.

3.8.1 Current Tax

Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted at the reporting date and any adjustments to tax payable in respect of previous years.

The provision for income tax is based on the elements of income and expenditure as reported in the financial statements and computed in accordance with the provisions of the Inland Revenue Act, No.24 of 2017.

3.8.2 Deferred Tax

Deferred taxation is the tax attributable to the temporary differences that arise when taxation authorities recognise and measure assets and liabilities with rules that differ from those used in the financial statements.

Deferred tax is provided using the liability method, on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax assets are recognised for all deductible temporary differences, unused tax credits and tax losses carried forward to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences, the unused tax credits and tax losses carried forward can be utilised.

Deferred tax is not recognised for the following temporary differences:

- Taxable temporary differences arising on the initial recognition of goodwill
- Temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects either accounting or taxable profit
- Temporary differences related to investments in subsidiaries to the extent that they probably will not reverse in the foreseeable future.

Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised. Tax withheld in dividend income from subsidiaries and associates is recognised as an expense in the consolidated Statement of Profit or Loss and Other Comprehensive Income at the same time as the liability to pay the related dividend is recognised.

Deferred tax assets and liabilities recognised by individual companies within the Group are disclosed separately as assets and liabilities in the Group Statement of Financial Position and are not offset against each other.

3.9 Accounting Policies Which are Specific to the Business of Plantation Companies

The plantation companies in the Group adopt certain accounting policies, which differ from that of the Group since the nature of operation of the plantation companies is significantly different from that of the rest of the Group. Those accounting policies of plantation companies that significantly vary from the rest of the Group are given below:

3.9.1 Leasehold Properties

Leasehold properties comprise of leasehold rights of assets (bare lands and immovable lease assets) taken over from Janatha Estate Development Board (JEDB) / Sri Lanka State Plantation Corporation (SLSPC) on a long term basis.

Withdrawal of UITF Rulings in Plantation Sector

The Urgent Issue Task Force (UITF) rulings issued prior to 01st April, 2012 have been superseded by the Sri Lanka Accounting Standards with effect from 01st April, 2012. Consequently it is now required to treat transactions, in which any of UITF rulings applied, in accordance with the Sri Lanka Accounting framework effective from 01st April, 2012.

The Group has recorded Leasehold Property (Leasehold Right to the Land) and correspondent liability in terms of UITF ruling issued by The Institute of Chartered Accountants of Sri Lanka prior to 01st April, 2012. It has been superseded by the Statement of Recommended Practice (SORP) for Right-To-Use of Land on Lease which was approved by the Council of the Institute of Chartered Accountants of Sri Lanka on 19th December, 2012. Accordingly, the Leasehold Property is re-classified as "Right-To-Use of Land", corresponding net liability to lessor re-classified as "Liability to make lease payment". If facts or circumstances indicate that there would be a significant change in the liability to make lease payment since the previous reporting period, then the Group would elect to reassess the liability to make lease payment and right to use land at sufficient frequency to ensure that such liability and asset does not differ materially from its carrying amount.

Description of the Property	No. of Years
Bare Land of JEDB/SLSPC	53
Land Development Cost (Improvement to Land)	30
Buildings	25
Plant and Machinery	15
Water Projects and Sanitation	20
Mature Plantations - Tea	30
Mature Plantations - Rubber	30
Mature Plantations - Others	25
Road and Bridges	40
Fences and Securities	20
Power Augmentation	20
Vested Tea	30

Notes to the Financial Statements contd.

3.9.2 Permanent Land Development Costs

Permanent land development costs are those costs incurred to make major changes to land contours to build new access roads and other major infrastructure development. Such expenditure on leasehold land has been capitalised and amortised over the remaining lease period. Permanent impairments to land development costs are charged to the Statement of Profit or Loss and Other Comprehensive Income in full or reduced to the net carrying amounts of such asset in the year of occurrence after ascertaining the loss.

3.9.3 Limited Life Land Development Costs (Mature and Immature Plantations)

The cost of new planting, replanting, inter-planting and crop diversification incurred between the time of field development and being ready for commercial harvesting are classified as immature plantations. Further, the general charges incurred on the plantation are apportioned on the labour days spent on respective replanting and new planting, and capitalised on the immature areas. The remaining portion of the general charges is charged to the Statement of Profit or Loss and Other Comprehensive Income in the year in which it is incurred. No depreciation is provided for immature plantation.

The total expenditure incurred on perennial crops (Tea & Rubber) which come into bearing during the year have been transferred to mature plantations and depreciated over its useful life time. No depreciation has been charged on mature plantations in the year of transfer. Permanent impairments to land development costs are charged to the Statement of Profit or Loss and Other Comprehensive Income in full or reduced to the net carrying amounts of such assets in the year of occurrence after ascertaining the loss.

3.9.4 Borrowing Costs

Borrowing costs that are directly attributable to acquisition, construction or production of a qualifying asset, which takes a substantial period of time to get ready for its intended use or sale, are capitalised as a part of the asset.

Borrowing costs that are not capitalised are recognised as expenses in the period in which they are incurred and charged to the Statement of Profit or Loss and Other Comprehensive Income.

The amounts of the borrowing costs which are eligible for capitalisation are determined in accordance with LKAS 23 – “Borrowing Costs”.

Borrowing costs incurred in respect of specific loans that are utilised for field development activities have been capitalised as a part of the cost of the relevant immature plantation. The capitalisation will cease when the crops are ready for commercial harvest.

3.9.5 Infilling Cost on Bearer Biological Assets

Where infilling results in an increase in the economic life of the relevant field beyond its previously assessed standard of performance, the costs are capitalised in accordance with Sri Lanka

Accounting Standard No. 10.4 and depreciated over the useful life at rates applicable to mature plantation.

Infilling costs that are not capitalised have been charged to the Statement of Profit or Loss and Other Comprehensive Income in the year in which they are incurred.

3.9.6 Inventories

Finished Goods Manufactured from Agricultural Produce of Biological Assets.

These are valued at the lower of cost and estimated net realisable value, after making due allowance for obsolete and slow moving items. Net realisable value is the estimated selling price at which stocks can be sold in the ordinary course of business after allowing for cost of realisation and/or cost of conversion from their existing state to saleable condition.

Input Material	At average cost (Agarapatana Plantations Limited) At actual cost on FIFO basis (Kotagala Plantations PLC)
Growing Crop-Nurseries	At the cost of direct materials, direct labour and an appropriate proportion of directly attributable overheads less provision for overgrown plants.
Spares & Consumables	At actual cost on FIFO basis.
Produce Stocks	Estimated realisable price or since realised price

3.9.7 Grants and Subsidies

Grants are recognised where there is reasonable assurance that the grant will be received and all attaching conditions will be complied with. When the grant relates to an expense item, it is recognised as income over the period necessary to match the grant on a systematic basis to the costs that it is intended to compensate. Where the grant relates to an asset, it is set up as deferred income. Where the Group receives non-monetary grants, the asset and that grant are recorded at nominal amounts and are released to the Statement of Profit or Loss and Other Comprehensive Income over the expected useful life of the relevant asset by equal annual instalments.

3.9.8 Retirement Benefit Obligations

The Retirement Benefit Plan adopted is as required under the Payment of Gratuity Act No.12 of 1983 to eligible employees. This item is grouped under Retirement Benefit Obligations in the Statement of Financial Position.

All Workers and Staff

Provision of gratuity for all workers and staff is on actuarial basis, using the Projected Unit Credit (PUC) method. The present value of the defined benefit obligation is determined by discounting

the estimated future cash flows using the interest rates that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related liability. Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are recognised as income and expense in the period in which they arise. Past service costs are recognised immediately in the Statement of Profit or Loss and Other Comprehensive Income.

The actuarial valuation was carried out by a professionally qualified Actuaries as disclosed in Note 27.

The Group expects to carry out actuarial valuation once in every two years. The key assumptions used by the actuary include the following.

- Rate of Interest - 11% p.a. (Net of Tax)
- Salary Increment Rate - Staff 10% per annum Workers 16% once in two years
- Retirement Age - Staff 60 years Workers 60 years
- Daily Wage Rate - Rs. 500/- for workers

3.9.9 Biological Assets

Biological assets are classified as mature biological assets and immature biological assets. Mature biological assets are those that have attained harvestable specifications or are able to sustain regular harvests. Immature biological assets are those that have not yet attained harvestable specifications. Tea, rubber, other plantations and nurseries are classified as biological assets.

Biological assets are further classified as bearer biological assets and consumable biological assets. Bearer biological asset includes tea trees, those that are not intended to be sold or harvested, however used to grow for harvesting agricultural produce from such biological assets. Consumable biological assets include managed timber that are to be harvested as agricultural produce or sold as biological assets.

The entity recognise the biological assets when, and only when, the entity controls the assets as a result of past event, it is probable that future economic benefits associated with the assets will flow to the entity and the fair value or cost of the assets can be measured reliably.

The bearer biological assets are measured at cost less accumulated depreciation and accumulated impairment losses, if any, in terms of LKAS 16 – Property Plant & Equipment.

The managed timber is measured on initial recognition and at the end of each reporting period at its fair value less cost to sell in terms of LKAS 41. The cost is treated as approximation to fair value of young plants as the impact on biological transformation of such plants to price during this period is immaterial. The fair value of timber trees

are measured using Discounted Cash Flow (DCF) method taking into consideration the current market prices of timber, applied to expected timber content of a tree at maturity by an independent professional value.

The Main Variables in DCF Model Concerns;

Variable	Comment
Currency valuation	Rs.
Timber content	Estimate based on physical verification of girth, height and considering the growth of each species in different geographical regions. Factor all the prevailing statutory regulations enforced against harvesting of timber coupled with the forestry plan of the Company.
Economic useful life	Estimated based on the normal life span of each species by factoring the forestry plan of the Company.
Selling price	Estimated based on prevailing Sri Lankan market prices. Factor all the conditions to be fulfilled in bringing the trees into saleable condition.

Nursery cost includes the cost of direct materials, direct labour and an appropriate proportion of directly attributable overheads.

The gain or loss arising on initial recognition of biological assets at fair value less cost to sell and from a change in fair value less cost to sell of biological assets are included in the Statement of Profit or Loss and Other Comprehensive Income for the period in which it arises.

3.10 Statement of Cash Flows

The Statement of Cash Flows has been prepared using 'indirect method'. Interests paid are classified as operating cash flows while dividends paid are classified as financing cash flows. Interests and dividends received are classified as investing cash flows for the purpose of presentation of Statement of Cash Flows.

For the purpose of Statement of Cash Flows, cash & cash equivalents consist of cash at bank and in hand and short term deposits net of outstanding bank overdrafts.

3.11 Segmental Reporting

A segment is a distinguishable component of an enterprise that is engaged in either providing products or services (Business Segments) or in providing products or services within a particular economic environment (Geographic Segment) which is subject to risks and rewards that are different from those of other segments.

Segment information is presented in respect of the Group's business activities. The business segment has been identified as the primary segment of the Group as there are no distinguishable components to

Notes to the Financial Statements contd.

be identified as geographical segments for the Group. The business segments are reported based on the Group's management and internal reporting structure.

3.12 Related Party Transactions

Disclosures have been made in respect of the transactions between parties who are defined as related parties as per Sri Lanka Accounting Standards (LKAS) 24 – Related Party Disclosures.

3.13 Earnings per Share

The Group presents basic earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

3.14 Events after the Reporting Period

All material occurring events after the reporting period have been considered and appropriate adjustments to or disclosures have been made in the financial statements.

3.15 Financial Risk Management Policies

The Group's principal financial liabilities comprise of loans and borrowings, trade and other payables, and financial guarantee contracts. The main purpose of these financial liabilities is to finance the Group's operations and to provide guarantees to support its operations. The Group has loan and other receivables, trade and other receivables, and cash and short-term deposits that arrive directly from its operations. The Group also holds debt and equity instruments and enters into derivative transactions.

The Group is exposed to market risk, credit risk and liquidity risk. The Group's senior management monitors these risks. The Group's senior management is supported by an Audit Committee that advises on financial risks and the appropriate financial risk governance framework for the Group. The Audit Committee provides assurance to the Group's senior management that the Group's financial risk-taking activities are governed by appropriate policies and procedures and that financial risks are identified, measured and managed in accordance with group policies and group risk appetite.

The Group's objectives, policies and processes for measuring and managing risk from financial instruments and the management of capital are reported separately in Note 32 in conformity with Sri Lanka Financial Reporting Standards.

3.16 New Accounting Standards Issued but Not Effective as at the Reporting Date

The Institute of Chartered Accountants of Sri Lanka has issued New Accounting Standards for annual periods beginning after the current financial year.

Accordingly these standards have not been applied in preparing these financial statements and the Group plans to apply these standards as and when they become effective.

3.16.1 SLFRS 16 - Leases

SLFRS 16 replaces LKAS 17 Leases and related interpretations (IFRIC 4 Determining whether an arrangement contains a Lease, SIC-15 Operating leases - Incentives and SIC-27 Evaluating the substance of transactions involving the legal form of a lease). SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to account for all leases under a single on-balance sheet model similar to the accounting for finance leases under LKAS 17. The standard includes two recognition exemptions for lessees – leases of 'low-value' assets (e.g., personal computers) and short-term leases (i.e., leases with a lease term of 12 months or less). A lessee can choose to apply the standard using either a full retrospective or a modified retrospective approach.

The Directors of the company anticipate that the application of SLFRS 16 in the future may have no major impact on the amounts reported and disclosures made in these financial statements. This assessment is based on currently available information and may be subject to changes arising from further analysis.

3.16.2 Amendments to the existing accounting standards effective from 1st April 2019

A number of standards have been modified on miscellaneous points these include plan amendments, Curtailment or Settlements (Amendments to LKAS 19), annual improvements to IFRSs 2015-2017 Cycle (Amendments to SLFRS 3, SLFRS 11, LKAS 12, LKAS 23 and LKAS 28).

None of these amendments are expected to have a material effect on the Company's financial Statements.

For the year ended 31 March,	GROUP		COMPANY	
	2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000
4. REVENUE				
4.1 Summary				
Gross Revenue	43,561,830	45,700,276	128,595	86,331
Less: Revenue Related Taxes	(1,872,474)	(2,406,890)	-	-
Net Revenue	41,689,356	43,293,386	128,595	86,331
4.2 Business Segment Analysis				
Trading of Consumer Products	26,548,500	26,796,791	-	-
Trading of Industrial Products	10,736,485	11,549,810	-	-
Leisure	1,700,969	1,555,753	-	-
Plantations	7,264,624	8,542,754	-	-
Others	1,137,011	882,402	128,595	86,331
	47,387,589	49,327,510	128,595	86,331
Less: Inter-Segment Revenue	(5,698,233)	(6,034,124)	-	-
Net Revenue	41,689,356	43,293,386	128,595	86,331
5. OTHER INCOME / (EXPENSES)				
5.1 Other Income				
Gain on Disposal of Property, Plant and Equipment	208,500	467,298	-	-
Dividend Income	52,665	134,775	72,601	70,643
Sale of Rubber Trees	102,092	108,459	-	-
Sale of Timber & Scrap	39,061	60,490	-	-
Amortisation of Grants and Subsidies	23,667	22,704	-	-
Net Gain on Disposal of FVOCI Financial Assets	-	31,608	-	-
Net Gain on Disposal of Subsidiaries / Associates	-	-	-	35,411
Commission Income	11,199	23,911	600	4,842
Reversal of Impairment Loss on Trade and other Receivables	4,317	-	-	-
Creditors No Longer Payable Written Back	10,049	3,666	-	-
Change in Fair Value of Biological Assets	196,834	243,286	-	-
Rental Income	139,357	124,162	-	-
Change in Fair Value of Financial Assets at fair value through profit or loss	-	40,208	-	-
Sundry Income	150,987	158,475	20,260	21,744
	938,728	1,419,042	93,461	132,640
5.2 Other Expenses				
Change in Fair Value of Financial Assets at fair value through profit or loss	168,559	-	-	-
Net Impairment of Inventories	113,201	3,131	-	-
Write off during the year	68,428	134,902	-	-
Impairment of Trade and Other Receivables	123,265	103,637	1,590	-
Impairment of Goodwill	56,465	-	-	-
Impairment loss on Property Plant and Equipment	3,879	-	-	-
Impairment/ (Reversal) of Investment in Subsidiaries	-	-	32,910	(441)
Impairment on Other Long Term Investments	1,933	4,845	-	-
Others	28,147	71,416	-	-
	563,877	317,931	34,500	(441)

Notes to the Financial Statements contd.

	GROUP		COMPANY	
	2019	2018	2019	2018
	Rs.'000	Rs.'000	Rs.'000	Rs.'000

6. NET FINANCE COSTS

Finance Income

Interest Income	111,259	117,840	20,987	51,003
Net Loss on Translation of Foreign Currency	(376,879)	(8,558)	-	-
Total	(265,620)	109,282	20,987	51,003

Finance Costs

Interest on Short-Term Loans - Related Parties	19,730	24,522	58,532	48,730
Interest on Loans	2,453,775	1,835,686	29,096	27,107
Interest on Finance Lease Obligation	10,731	31,629	931	264
Interest on JEDB/SLPC Estate Lease	64,951	79,550	-	-
Debenture Interest	103,520	121,854	-	-
Interest on Bank Overdraft	391,019	447,371	7,236	10,653
Other Interest	309,532	342,654	-	-
Amount Capitalised	(142,140)	(121,437)	-	-
	3,211,118	2,761,829	95,795	86,754
	3,476,738	2,652,547	74,808	35,751

7. PROFIT/(LOSS) BEFORE TAX

Is stated after charging all expenses including the following:

Audit Services

KPMG	25,102	24,059	1,134	1,050
Other Auditors	16,636	16,101	-	-

Non-Audit Services

KPMG	3,480	801	142	132
Other Auditors	2,594	2,524	-	-
Amortisation of Intangible Assets (Note 13)	47,340	47,770	-	-
Depreciation and Amortisation (Note 7.1)	1,251,801	1,281,751	6,312	4,106
Director's Remuneration	525,189	499,257	12,113	12,000
Staff Costs (Note 7.2)	8,182,733	8,335,326	-	-
Donations	10,011	6,059	50	50

7.1 Depreciation and Amortisation

Property, Plant & Equipment (Note 10.1 & 10.2)	1,202,977	1,233,403	3,059	1,685
Leasehold Property (Note 11)	27,313	28,524	-	-
Investment Property (Note 12)	21,511	19,824	3,253	2,421
	1,251,801	1,281,751	6,312	4,106

7.2 Staff Costs

Salaries and Wages	6,945,431	7,107,246	-	-
Defined Contribution Plan Cost - EPF & ETF	733,349	751,310	-	-
Defined Benefit Plan Cost - Retiring Gratuity	503,953	476,770	-	-
	8,182,733	8,335,326	-	-

Notes to the Financial Statements contd.

For the year ended 31st March,	GROUP		COMPANY	
	2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000
8. INCOME TAX EXPENSE				
Current Tax Expense				
Taxation on Profit for the Year (Note 8.1)	234,184	374,774	-	9,283
Under/(Over) Provision on Taxation in respect of previous years	37,464	837	-	-
	271,648	375,611	-	9,283
Deferred Tax Expense				
Origination / (Reversal) of Temporary Differences	(467,098)	(223,050)	6,385	(10,527)
	(195,450)	152,561	6,385	(1,244)
8.1 Taxation on Profit for the Year				
Reconciliation of Accounting Profit to Income Tax Expense				
Profit / (Loss) before Tax	(3,360,071)	(155,716)	29,070	109,406
Intra-Group Adjustments	(138,673)	832,492	-	-
	(3,498,744)	676,776	29,070	109,406
Aggregate Disallowed Expenses	4,012,868	2,309,339	54,307	22,998
Aggregate Allowable Items	(2,111,141)	(2,558,005)	(9,793)	(168,166)
Tax Exempt (Income)/Loss	(220,107)	(920,857)	(72,601)	-
Tax Losses utilised during the year	(428,990)	-	(983)	-
Assessable/Statutory Income/(Loss)	(2,246,114)	(492,748)	-	(35,762)
Other Source of Income	51,278	422,396	-	51,003
Tax Losses utilised during the year	-	(336,047)	-	(17,851)
Taxable Income/(Loss)	(2,194,836)	(406,399)	-	33,152
Income Tax @ 28%	206,816	297,016	-	9,283
Income Tax @ 20%	2,100	22,764	-	-
Income Tax @ 10 % & 12%	417	54,993	-	-
Income Tax @ 14%	24,851	-	-	-
Income Tax at Other Rates	-	-	-	-
Current Income Tax Expenses	234,184	374,774	-	9,283
Tax Losses B/F	10,500,237	9,740,501	44,732	26,821
Adjustment in respect of prior year	640,563	(456,001)	(7,637)	-
Tax Loss during the year	1,626,295	1,551,784	-	35,762
Tax Losses utilised during the year	(428,990)	(336,047)	(983)	(17,851)
Tax Loss C/F	12,338,105	10,500,237	36,112	44,732

8.2 Income Tax Expense

The income tax provision for the current year of The Colombo Fort Land & Building PLC, its subsidiaries and equity accounted investees which are resident in Sri Lanka has been calculated on their adjusted profits at 28% in terms of the Inland Revenue Act No. 24 of 2017 thereto (other than in respect of companies / activities set out in Notes 8.2.1 and 8.2.2 below).

Tax status of companies in the Group which are;

* enjoying income tax exemptions (Note 8.2.1)

* enjoying concessionary tax rates (Note 8.2.2)

on profit/income earned from ordinary activities of business.

Notes to the Financial Statements contd.

8.2.1 Exemption from income tax

Company	Activity	Statute	Period
Waverly Power (Private) Limited	Profit and income from Mini Hydro Power Project	According to the Extra ordinary gazette notification issued under section 194 of the Inland Revenue Act No. 24 of 2017, exemption granted under Section 160 of Inland Revenue Act No. 10 of 2006 and subsequent amendments thereto	The income tax would be exempted up to the year of assessment 2018/19.
York Hotels (Kandy) Limited	Hotel operations	Section 17 of the G.C.E.C. Law No. 04 of 1978.	10 years from the year in which the company commences to make profits or within 5 years from the year the company commenced commercial operations, which ever is earlier. The Company is also entitled to a concessionary rate of tax at 2% of its turnover for 15 years immediately after the expiry of the said 10 years tax holiday. However, BOI has given a notice of cancellation and termination of all rights, privileges and benefits conferred on the enterprise under the conduct and operation of the project with effect from 23rd November 2002.

8.2.2 Companies liable to tax at concessionary rates

Company	Activity	Statute
Agrapatana Plantations Limited	Profits from agricultural undertaking	As per the Inland Revenue Act No. 24 of 2017 (ACT) , in the case of a company predominantly conducting an agricultural business, the applicable income tax rate is 14%. As per the above ACT "Predominantly" is defined as 80% or more calculated based on gross income. The "Agriculture Business" is defined in section 195 (1) as business of producing agricultural, horticultural or any animal produce and includes an undertaking for the purpose of rearing livestock or poultry. Based on the legal expert opinion obtained, the management is of the view that the Company is predominantly engaged in agricultural business.
Ceymac Rubber Limited	Profits from exports activities	Liable for income tax at the concessionary rate of 14% under predominary concept on export activities and same rate will be applicable for entire taxable income as a single tax rate.
Kotagala Plantations PLC	Profits from agricultural undertaking	As per the Inland Revenue Act No. 24 of 2017 (ACT), which is effective from year of assessment 2018/19 the company is liable to pay income tax at the rate of 14% for it's business income, since the management as assessed that the company is predominantly conducting an agricultural buisness.
Beruwala Resorts PLC	Hotel operations	14% in terms of First Shedule of under Inland Revenue Act No. 24 of 2017.
Galle Fort Hotel Limited	Hotel operations	14% in terms of First Shedule of under Inland Revenue Act No. 24 of 2017.
Marawila Resorts PLC	Hotel operations	14% in terms of First Shedule of under Inland Revenue Act No. 24 of 2017.
Sigiriya Village Hotels PLC	Hotel operations	14% in terms of First Shedule of under Inland Revenue Act No. 24 of 2017.

Company	Activity	Statute
Lak Kraft (Private) Limited	Hotel operations	14% in terms of First Shedule of under Inland Revenue Act No. 24 of 2017.
B.O.T Hotel Services (Private) Limited	Hotel operations	14% in terms of First Shedule of under Inland Revenue Act No. 24 of 2017.
Sherwood Holidays Limited	Hotel operations	14% in terms of First Shedule of under Inland Revenue Act No. 24 of 2017.
Lanka Special Steels Limited	Manufacturing, Importing and Exporting galvanised wire.	20 % under BOI Law No. 04 of 1978 and in terms of the Agreement Registration Number 322

The income earned from activities other than mentioned above are liable to income tax at the rate of 28%.

8.3 Lankem Paint Limited, Lankem Chemicals Limited, Lankem Research Limited, Lankem Consumer Products Limited, Lankem Export Limited, Nature's Link Limited, Sun Agro Farms Limited, Sun Agro Food Limited, Lankem Technology Services Limited, Associated Farms (Private) Limited, and Lankem Agrochemicals Limited were non-operative during the year.

8.4 Changes Applicable to the Group under Inland Revenue Act No.24 of 2017

8.4.1 Revaluation of Freehold Land

The group elected to apply the optional exception to use the previous revaluation as deemed cost on 1st April 2011, the date of SLFRS transition. The pre transition revaluation surplus was transferred to retained earnings as at that date.

As per section 6 and Chapter IV of the Inland Revenue Act No. 24 of 2017, freehold land used for business or investment purpose would be liable to tax at the time of realization. Deferred tax is recognized on the revaluation of freehold land which are treated as capital assets used in the business for tax purpose. In accordance with Sri Lanka Accounting Standards, the deferred tax impact has been charged to retained earnings as the related surplus has been previously added to retained earnings.

Freehold land which are treated as investment assets for tax purposes has not been considered for deferred tax, since the Act requires the market value as at 30th September 2017 to be considered as cost. The deemed cost at which the freehold land treated as investment assets are recognised in the financial statements below the market value of these respective lands as at 30th September 2017 and will not be liable for tax on the pre transition surplus on disposal of these lands.

8.4.2 Tax Loss Carried Forward

As per the Gazette notification issued in relation to the transitional provisions, any unclaimed losses as at 31st March 2018, is deemed to be a loss incurred for the year of assessment commencing on or after 1st April, 2018 and shall be carried forward up to 6 years. Accordingly the Group has evaluated the recoverability of unclaimed losses through taxable profit forecasts and deferred tax assets have been recognized accordingly.

Notes to the Financial Statements contd.

8.5 Deferred Tax Assets/Liabilities

Deferred tax has been calculated by applying the rate of 28% for subsidiaries which are liable for income tax at the standard rate. The subsidiaries which are liable for income tax at reduced rates (below the standard rate) have computed deferred tax at the reduced rates.

- (i) No Provision has been made for deferred tax in the Financial Statements of York Hotels (Kandy) Limited, as no material temporary differences have arisen during the year which are expected to reverse in the future.
- (ii) The subsidiaries which are liable for income tax at reduced rates (below the standard rate) for the assessment year 2018/19 have computed the deferred tax at the tax rate of 14%.
- (iii) No Deferred tax assets have been recognised in the Financial Statements of subsidiaries, namely, Agarapatana Plantations Limited, Colombo Fort Hotels Limited, Lankem Ceylon PLC, Lankem Exports (Private) Limited, Lankem Consumer Products Limited, Lankem Research Limited, Lankem Paints Limited, Kelani Valley Canneries Limited, SunAgro Foods Limited, SunAgro Farms Limited, Muller & Phipps (Ceylon) PLC, Lankem Developments PLC, Ceytra Limited and Ceymac Rubber Limited in respect of tax losses carried forward because it is not probable that future taxable profit will be available against which these companies can utilise the benefit therefrom. The tax losses carried forward are as follows;

Unrecognised Deferred Tax Assets	2019 Rs. Mn.	2018 Rs. Mn.
Agarapatana Plantations Limited	58.8	48.8
Colombo Fort Hotels Limited	1.2	4.8
Lankem Ceylon PLC	495.5	615.1
Lankem Developments PLC	38.9	33.7
Lankem Exports (Private) Limited	8.7	8.7
Lankem Consumer Products Limited	53.9	53.8
Lankem Research Limited	1.6	1.5
Lankem Chemicals Limited	0.8	0.8
Lankem Paints Limited	25.3	25.5
Kelani Valley Canneries Limited	72.5	64.1
Muller & Phipps (Ceylon) PLC	23.1	25.9
SunAgro Foods Limited	99.6	85.4
SunAgro Farms Limited	16.5	16.5
Ceytra (Private) Limited	12.7	3.6

9. BASIC EARNINGS / (LOSS) PER SHARE

Basic Earnings / (Loss) per share is based on the Profit / (Loss) for the year attributable to equity holders of the Company / Group divided by weighted average number of Ordinary Shares in Issue during the year.

There were no potentially dilutive ordinary shares outstanding at any time during the year, hence diluted earnings per share is equal to the basic earnings per share.

For the year ended 31st March	GROUP		COMPANY	
	2019	2018	2019	2018
Profit / (Loss) attributable to				
Equity Holders of the Company (Rs.'000)	(2,173,801)	(499,967)	22,685	110,650
Weighted Average Number of Ordinary Shares (No.'000)	180,000	180,000	180,000	180,000
Basic Earnings / (Loss) Per Share (Rs.)	(12.08)	(2.78)	0.13	0.61

10. PROPERTY, PLANT & EQUIPMENT

10.1 GROUP

	Balance as at 01.04.2018	Revaluation	Additions during the Year	Disposals/ Write off/ Transfers during the Year	Transfer to Investment Property	Balance as at 31.03.2019
Cost	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Land (Access Roads)	69,315	-	-	-	-	69,315
Freehold						
Land (Note 10.3)	4,639,664	6,713,253	267,762	(32,107)	(1,263,330)	10,325,242
Buildings	6,292,844	-	433,045	(252,557)	(136,729)	6,336,603
Mature/Immature Plantations (Note 10.4.1)	6,945,376	-	719,634	(438,624)	-	7,226,386
Plant & Machinery	5,653,165	-	236,349	(288,911)	-	5,600,603
Motor Vehicles	1,340,842	-	114,513	(104,144)	-	1,351,211
Office Equipments	841,772	-	47,330	(29,468)	-	859,634
Furniture and Fittings	920,080	-	64,068	(10,498)	-	973,650
	26,703,058	6,713,253	1,882,701	(1,156,309)	(1,400,059)	32,742,644
Leasehold						
Buildings	132,421	-	285	(8,147)	-	124,559
Plant & Machinery	181,154	-	-	-	-	181,154
Motor Vehicles	269,810	-	-	(6,490)	-	263,320
Office Equipments	375	-	-	-	-	375
Furniture and Fittings	1,587	-	-	-	-	1,587
	585,347	-	285	(14,637)	-	570,995
Capital WIP*	570,572	-	210,728	(445,452)	-	335,848
Total Cost/Valuation	27,858,977	6,713,253	2,093,714	(1,616,398)	(1,400,059)	33,649,487

Notes to the Financial Statements contd.

	Balance as at 01.04.2018	Charge for the Year	Disposals/Write off during the Year	Transfer to Investment Property	Balance as at 31.03.2019
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Accumulated Depreciation and Impairment Losses					
Land (Access Roads)	26,468	2,523	-	-	28,991
Freehold					
Buildings	1,531,058	229,153	(205,056)	9,361	1,564,516
Mature/Immature Plantations (Note 10.4.1)	1,224,400	195,322	-	-	1,419,722
Plant & Machinery	3,098,830	451,528	(275,159)	-	3,275,199
Motor Vehicles	1,026,447	140,615	(95,841)	-	1,071,221
Office Equipments	581,795	82,864	(27,103)	-	637,556
Furniture and Fittings	689,163	56,239	(7,719)	-	737,683
	8,178,161	1,158,244	(601,878)	9,361	8,734,888
Leasehold					
Buildings	14,312	8,645	(6,518)	-	16,439
Plant & Machinery	105,312	10,367	-	-	115,679
Motor Vehicles	211,777	25,721	(6,490)	-	231,008
Office Equipments	312	-	-	-	312
Furniture and Fittings	1,587	-	-	-	1,587
	333,300	44,733	(13,008)	-	365,025
Total Depreciation	8,511,461	1,202,977	(623,886)	9,361	9,099,913
Carrying Value	19,347,517				24,549,574
Impairment	(16,939)	(5,875)	-	-	(22,815)
Total Carrying Value of Property, Plant & Equipment	19,330,577				24,526,759

Note ; The cost of fully depreciated Property Plant and equipment of the group which are still in use as at 31st March 2019 is Rs.2,846 million (2017/18 - Rs. 2,798 million)

a) Capital Work in Progress

*Amount Transferred from capital work in progress during the year is included in additions.

b) C W Mackie PLC

C W Mackie PLC has taken certain land and buildings on lease. In terms of the grant to the company dated 22 September 1964 under the Crown Lands Ordinance, premises No.34 and 36, D. R. Wijewardena Mawatha, Colombo 10 has been leased for a period of 60 years, 8 months and 10 days (being the residue of the unexpired term under Indenture of Lease by the Crown dated 10 June 1925 granting the Company a 99 year lease of the premises from the said date). At the time of handing over the possession of the premises, the Company is not entitled to any compensation in respect of the land, buildings or improvements thereon.

(c) Beruwala Resorts PLC

Beruwala Resorts PLC, a subsidiary, has constructed a building on a land which was leased out from Sri Lanka Tourism Development Authority for 30 years commencing from 1st August, 2007. The lease period will expire on 31st July, 2037. The Company has paid the lease rental of Rs. 2,754,000/- in year 2018/19 (2017/18 - Rs. 1,836,000/-).

(d) Sigiriya Village Hotels PLC

Sigiriya Village Hotels PLC, a subsidiary, has constructed a building on a land which was leased out from Sri Lanka Tourism Development Authority for 30 years commencing from 2nd September, 2009. The lease period will expire on 1st September 2039. The Company has paid the lease rental of Rs. 2,377,469/- in year 2018/19 (2017/18 - Rs. 2,377,469/-).

(e) Each company in the Group has evaluated both internal and external indications of impairment of long lived assets and has not identified presence of any of such indications at the end of the financial year.

10.2 Company

Cost / Valuation	Balance as at 01.04.2018 Rs.'000	Additions during the Year Rs.'000	Disposals during the Year Rs.'000	Transfers during the Year Rs.'000	Balance as at 31.03.2019 Rs.'000
Freehold					
Plant & Machinery	22	132	-	-	154
Motor Vehicle	15,019	-	-	-	15,019
Office Equipment	11,665	456	-	-	12,121
Furniture and Fittings	10,230	-	-	-	10,230
	36,936	588	-	-	37,524
Leasehold					
Motor Vehicle	12,500	-	-	-	12,500
	12,500	-	-	-	12,500
Total Cost	49,436	588	-	-	50,024
Accumulated Depreciation	Balance as at 01.04.2018 Rs.'000	Charge for the Year Rs.'000	Disposals during the Year Rs.'000	Transfers during the Year Rs.'000	Balance as at 31.03.2019 Rs.'000
Freehold					
Plant & Machinery	1	15	-	-	16
Motor Vehicle	15,019	-	-	-	15,019
Office Equipment	10,037	457	-	-	10,494
Furniture and Fittings	9,445	87	-	-	9,532
	34,502	559	-	-	35,061
Leasehold					
Motor Vehicle	514	2,500	-	-	3,014
	514	2,500	-	-	3,014
Total Accumulated Depreciation	35,016	3,059	-	-	38,075
Total Carrying Value of Property, Plant & Equipment	14,420				11,949

Notes to the Financial Statements contd.

10.3 Group

Company Name	Location	Extent Perches	No. of Buildings	Name of the Valuer	Latest Valuation	Market Value Rs.'000	Carrying Value Rs.'000
Marawila Resorts PLC Land	Marawila	4,346	52	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2019	1,180,700	1,180,700
Sigiriya Village Hotels PLC Land	Freehold : Mankani Trincomalee	1,322	-	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2019	231,400	231,400
	Leasehold : Sigiriya	2,685	39				
Galle Fort Hotel (Private) Limited Land	Galle Fort, Galle.	78	8	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2019	1,216,700	1,216,700
Beruwala Resorts PLC Land	Freehold : Moragalla, Beruwala.	3	-	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2019	1,112	267
	Leasehold : Moragalla, Beruwala.	1,262	24				
B.O.T. Hotel Services (Private) Limited Land	Kaparathota Road, Waligama.	491	1	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2019	525,550	525,550
Lankem Development PLC Land	Maguruwila Road, Gonawala.	89	-	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2019	19,800	19,800
Union Commodities (Private Limited) Land	No.79, Biyagama Road, Talwatta, Kelaniya	611	11	Mr. P.B. Kalugalagedara	31.03.2019	408,119	408,119
	No.120/9, Maya Mawatha, Kiribathgoda	11	-	Mr. P.B. Kalugalagedara	31.03.2019	3,150	3,150
Teacom (Private) Limited Land	Paddy Land- Ranawiru JA Chaminda Mawatha	1,016	-	Mr. P.B. Kalugalagedara	31.03.2019	12,700	12,700
Lankem Ceylon PLC Land	St. Anthony's Road, Ekala, Kuriduwatta.	476	11	Mr. P.P.T. Mohideen Chartered Valuer	31.01.2019	381,080	381,080
Land	Maguruwila Road, Gonawala.	868	18	Mr. P.P.T. Mohideen Chartered Valuer	31.01.2019	524,135	524,135
Land	Maduramaduru, Vembu, Puttlam	1,431	2	Mr. P.P.T. Mohideen Chartered Valuer	31.01.2019	30,000	30,000
E B Creasy & Company PLC Land	Sri Sangaraja Mawatha, Colombo 10.	238	2	Mr. P.B. Kalugalagedara Chartered Valuer	31.03.2019	2,925,000	2,925,000

Company Name	Location	Extent Perches	No. of Buildings	Name of the Valuer	Latest Valuation	Market Value Rs.'000	Carrying Value Rs.'000
Candy Delight Limited Land	Ekala, Ja-Ela.	160	-	Mr. P.B. Kalugalagedara Chartered Valuer	31.03.2019	68,000	68,000
Laxapana Batteries PLC Land	Homagama.	577	3	Mr. H.W.I.G.A. Weerakoon	31.03.2019	422,250	442,250
C.W. Mackie PLC Land	Scan Bottling Plant Munagama, Horana.	485	4	Mr. K.T.D. Thissera	31.03.2019	742,000	742,000
Ceymac Rubber Company Limited. Land	Industrial Estate Aramanagolla, Horana.	800	11				
Ceymac Rubber Company Limited. Land	Thebuwana, Narthupana	850	8				
Kelani Valley Canneries Limited Land	Kaluaggala, Hanwella	355	7				
CM Holdings PLC Land	297, Union Place, Colombo.	206	3	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2019	102,206	102,206
Colonial Motors (Ceylon) Limited Land	41/35, Nagahamulla Road, Thalagama, Battaramulla	133	2	Mr. N.B.S.A. Nanayakkara	25.03.2019	226,000	226,000
KIA Motors (Lanka) Limited Land	Pelawatta	109	-	Mr. P.P.T. Mohideen Chartered Valuer	31.12.2018	363,090	363,090
Land	Malabe	527	5	Mr. P.P.T. Mohideen Chartered Valuer	31.12.2018	500,745	500,745
Land	Colombo Road, Dhambokka, Boyagana, Kurunagala	140	1	Mr. P.P.T. Mohideen Chartered Valuer	31.12.2018	113,050	113,050
JF Packaging limited Land	Minuwangoda Road, Kotugoda	350	4	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2019	295,800	295,800
Ceylon Tapes (Private) Limited Land	Samagi Mawatha, Ja ela	45	3	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2019	13,500	13,500
Total							10,325,242

Notes to the Financial Statements contd.

10.4 Immature/Mature Plantations - Bearer Biological Assets

As at 31st March,

	2019 Rs.'000	2018 Rs.'000
Agarapatana Plantation Limited (APL) Bearer Biological Assets	2,338,679	2,225,066
Kotagala Plantation PLC (KPPLC)	3,467,986	3,495,910
	5,806,665	5,720,976

10.4.1 Mature/Immature Plantations - Bearer Biological Assets

Cost	Mature Plantations			Immature Plantations			Total	Total
	Tea Rs'000	Rubber Rs'000	Other Rs'000	Tea Rs'000	Rubber Rs'000	Other Rs'000	31.03.2019 Rs'000	31.03.2018 Rs'000
At the beginning of the year	2,478,348	1,819,501	438,498	1,228,302	604,342	376,385	6,945,376	6,745,362
Additions/Transfer in	199,269	157,766	13,162	167,381	123,083	58,973	719,634	812,297
Transfer out	-	-	-	(199,267)	(157,768)	(13,162)	(370,197)	(447,424)
Writing Off - Millewa Estate	-	-	-	-	-	(68,427)	(68,427)	(164,859)
Reclassification	-	-	-	(1,323)	-	1,323	-	-
At the end of the year	2,677,617	1,977,267	451,660	1,195,093	569,657	355,092	7,226,386	6,945,376
Depreciation								
At the beginning of the year	532,812	641,813	49,775	-	-	-	1,224,400	1,083,918
Charge for the year	77,718	95,016	22,588	-	-	-	195,322	186,534
Writing Off - Millewa Estate	-	-	-	-	-	-	-	(46,052)
At the end of the year	610,530	736,829	72,363	-	-	-	1,419,722	1,224,400
Carrying Value as at 31.03.2019	2,067,087	1,240,438	379,298	1,195,093	569,657	355,092	5,806,665	
Carrying Value as at 31.03.2018	1,847,030	1,107,967	361,511	1,238,839	747,592	358,503	-	5,720,976

a) These are investments in mature/immature plantations since the formation of the respective companies. The assets (including plantation assets) taken over by way of estate leases as given in the Note 11.1 and 11.2 to the Financial Statements. Further, investment in Immature Plantations taken over by way of leases are shown in the above Note. When such plantations become mature, the additional investments made since taking over to bring them to maturity are transferred from Immature to Mature under this Note. A corresponding movement, from Immature to Mature, in respect of the investment undertaken by JEDB/SLSPC on the same plantation prior to the leases are shown under Note 11.2 to the Financial Statements.

The Companies have elected to measure the bearer biological assets at cost using LKAS 16 - Property, Plant & Equipment.

b) Borrowing costs of Kotagala Plantations PLC, a subsidiary, amounting to Rs.23.6 million (2017/18- Rs.19.4 million) on tea and Rs.64.6 million (2017/18- Rs.50.5 million) on Rubber incurred on term loans and overdrafts utilised to finance replanting expenditure of tea and rubber have been capitalised. The average rate of interest for capitalisation was 17.41% (2017/18 - 13%). Capitalisation will cease when crops are ready for harvest.

c) Borrowing costs of Agarapatana Plantations Limited, a subsidiary, amounting to Rs.53.9 million (2017/18- Rs.51.5 million) have been capitalised as part of the cost of the immature plantations. The average rate of interest for capitalisation was 11.8% (2017/18 - 12.02%). Capitalisation will cease when crops are ready for harvest.

d) Other Immature Plantations of Kotagala Plantations PLC include other crops such as Cinnamon, Coconut, etc. and carried at cost less impairment.

10.4.1.1 The management conducted a physical verification of Other Bearer Biological Assets during the year ended 31st March 2019, and determined that the Other Bearer Biological assets amounting to Rs. 68,428,000/- should be written off, since these bearer plants are no longer expected to bear any produce as the project carried out to diversify into other bearer crops was determined to no longer be viable.

10.5 Fair Value Gain on Growing Produce of Bearer Biological Assets

As at 31st March,	2019 Rs.'000	2018 Rs.'000
At the beginning of the year-Restated	16,326	19,985
Change in Fair value less cost to sell	(5,352)	(3,659)
At the end of the year	10,974	16,326

10.6 Consumable Biological Assets

As at 31st March,	2019	2018
At the beginning of the year	1,777,139	1,521,779
Expenses on new planting (Net of Harvest)	9,267	8,415
Decreased due to harvesting	-	-
Gain arising from changes in fair value for the year	202,186	246,945
	1,988,592	1,777,139

Kotagala Plantations PLC and Agarapatana Plantations Limited has recognised managed trees as biological assets.

Kotagala Plantations PLC (KPPLC)

Managed trees include commercial timber plantations cultivated on estates. The cost of immature trees upto 5 years from planting are treated as approximate fair value particularly on the grounds of little biological transformation has taken place and impact of the biological transformation on price is not material. When such plantations become mature, the additional investment since taking over to bring them to maturity are transferred from Immature to mature.

The fair value of managed trees was ascertained by Mr.A.A.M Fathihu, (FIV), Incorporated Valuer.

Key assumptions used in valuation are as follows,

Variable	Comment
Timber Content	Estimated based on the girth, height and considering the growth and present age of the trees of each species in different geographical regions, factoring all the prevailing statutory regulations enforced against harvesting of timber coupled with forestry plan of the Company approved by the Forestry Department.
Economic Useful Life	Estimated based on normal life span of each species by factoring the forestry plan of the Company approved by the Forestry Department.
Selling Price	Estimated based on prevailing Sri Lankan market prices factoring all the conditions to be fulfilled in bringing the trees in to saleable condition.
Discount rate	Future cash flows are discounted at the rate of 14%, 15% & 16% (2017/18 - 14% - 16%)

The board of directors established that the fair value of consumable biological assets of the Company is comprised of only managed trees which fall under the purview of the forestry management plan of the company, since LKAS 41 is only applicable for managed agricultural activity in terms of the ruling issued by The Institute of Chartered Accountants of Sri Lanka.

During the year ended 31st March 2019, a physical verification of timber was carried out by the management covering all the estates and the actual number of trees available in the estates was ascertained. The actual number of commercially cultivated managed timber trees available as per the physical verification is included within the fair value of timber (consumable biological assets) for the year ended 31st March, 2019.

Notes to the Financial Statements contd.

Agarapatana Plantations Limited (APL)

Managed trees include commercial timber plantations cultivated on estates. The cost of Immature trees is treated as approximate fair value particularly on the grounds of little biological transformation has taken place and impact of the biological transformation on price is not material.

The fair value of managed trees was ascertained by the Independent, Incorporated Valuer Mr.A.A.M Fathihu, (FIV), for the current year in accordance with LKAS 41 - "Agriculture" using Discounted Cash Flow (DCF) method.

10.6.1 Measurement of Fair Value

a) The Future cash flows are determined by reference to current timber prices.

b) The fair value measurement for the consumable biological assets has been categorized as level 3 fair value based on inputs to the valuations used. Breakdown of the total gains recognized in respect of level 3 fair values of biological assets are given below.

As at 31st March	Group/Company	
	2019 Rs. `000	2018 Rs. `000
Change in fair value of consumable biological assets (Note 10.6)	202,186	246,945
Change in fair value of growing produce of bearer biological assets (Note 10.5)	(5,352)	(3,659)
Total gain for the year	196,834	243,286

c) Following table shows the valuation techniques used by Kotagala Plantations PLC in measuring level 3 fair value of consumable biological assets as well as the significant unobservable inputs used.

Kotagala Plantations PLC (KPPLC)

Type	Valuation technique used	Significant unobservable inputs	Inter relationship between Key unobservable inputs and fair value measurements
Mature Timber Mature timber older than 5 years with GBH > 18 inches	Discounted Cash Flows The Valuation model considers present value of future cash flows expected to be generated by the plantation from the timber content of managed timber plantation on a tree-to-tree basis Expected Cash flows are discounted using a high risk adjusted rate of; 14% - Trees age to harvest 5 years or below 15% - Trees age to harvest 6- 15 years 16% - Trees age to harvest 15 years or above comprising a risk free rate of 11.5%	Determination of Timber content Species planted in separate blocks as at Reporting date have been identified by a qualified forestry officer of the Company and the timber content has been estimated based on the age and current cubic content. Determination of Price of Timber Trees have been valued as per current timber prices per cubic meter which is the recent selling price of a cubic meter of the specific species.	The estimated fair value at the time of harvesting each specific species is sensitive to the following Variables; The estimated timber content The estimated price per cubic meter The estimated selling related costs The estimated maturity age The risk adjusted discounting rate

Agarapatana Plantations Limited (APL)

Type	Valuation Technique used	Significant unobservable inputs	Inter relationship between Key unobservable inputs and fair value measurements
Mature Timber	Discounted Cash Flows	Optimum Rotation (Maturity) - 25 years	Lower the rotation period, higher the fair value
		Volume at Rotation - 19.4- 88.5 cu.ft.	Higher the volume, higher the fair value
		Price per cu.ft. - Rs.235/- to Rs.760/-	Higher the price per cu.ft. higher the fair value.
		14.5% - Trees age to harvest 5 years or below	Higher the discount rate ,the lesser the fair value
		15.5% - Trees age to harvest 6- 15 years	
		16.5% - Trees age to harvest 15 years or above	

The valuations, as presented in the external valuation models based on net present values, take into account the long term exploitation of the timber plantations. Because of the inherent uncertainty associated with the valuation at fair value of the biological assets due to the volatility of the variables, their carrying value may differ from their realisable value. The Board of Directors retains their view that commodity markets are inherently volatile and that long term price projections are highly unpredictable. Hence, the sensitivity analysis regarding selling price and discount rate variations as included in this note allows every investor to reasonably challenge the financial impact of the assumptions used in the LKAS 41 against his own assumptions.

The biological assets of Agarapatana Plantations Limited are mainly cultivated in leased lands. When measuring the fair value of the biological assets it was assumed that these concessions can and will be renewed at normal circumstances. Timber content expects to realise in future, included in the calculation of the fair value, takes into account the age of the timber plants and not the expiration date of the lease.

10.6.2 Sensitivity Analysis

Sensitivity analysis on sales price and discounted Rate

The Future cash flows are determined by reference to current timber prices and the fair value measurement.

a) Sensitivity variation-sales price

Values as appearing in the Statement of Financial Position are very sensitive to price changes with regard to the average sales prices applied. Simulations made for timber show that a rise or decrease by 10% of the estimated future selling price has the following effect on the net present value of biological assets:

	Rs.	Rs.
	-10%	10%
Sensitivity effect on the carrying value of Biological Assets Rs.(000)	(215,239)	215,239

b) Sensitivity variation-discount rate

Values as appearing in the Statement of Financial Position are very sensitive to changes of the discount rate applied. Simulations made for timber trees show that a rise or decrease by 1% of the estimated discount rate has the following effect on the net present value of biological assets:

	Rs.	Rs.
	-1%	1%
Sensitivity effect on the net present value of Biological Assets Rs.(000)	99,269	(101,227)

Notes to the Financial Statements contd.

11. LEASEHOLD PROPERTY

	Balance as at 01.04.2018 Rs.'000	Additions During the Year Rs.'000	Disposal During the Year Rs.'000	Balance as at 31.03.2019 Rs.'000
Cost				
Leasehold Right to Bare Land of JEDB/SLSPC Estates (Note 11.1)				
Kotagala Plantations PLC (Note 11.1.a)	331,163	-	-	331,163
Agarapatana Plantations Limited (Note 11.1.b)	341,588	-	-	341,588
	672,751	-	-	672,751
Immovable Leased Assets of JEDB/SLSPC Estates (Other than Bare Land) (Note 11.2)				
Kotagala Plantations PLC (Note 11.2.a)	448,322	-	-	448,322
Agarapatana Plantations Limited (Note 11.2.b)	265,748	-	-	265,748
	714,070	-	-	714,070
Other Leasehold Assets				
SunAgro Farms Limited (Note 11.3)	2,555	-	-	2,555
	2,555	-	-	2,555
Total Cost	1,396,046	-	-	1,389,376
	Balance as at 31.03.2018 Rs.'000	Charge for the Year Rs.'000	Disposal During the Year Rs.'000	Balance as at 31.03.2019 Rs.'000
Accumulated Depreciation				
Leasehold Right to Bare Land of JEDB/SLSPC Estates				
Kotagala Plantations PLC (Note 11.1.a)	161,072	6,249	-	167,321
Agarapatana Plantations Limited (Note 11.1.b)	166,060	6,441	-	172,501
	327,132	12,690	-	339,822
Immovable Leased Assets of JEDB/SLSPC Estates (Other than Bare Land)				
Kotagala Plantations PLC (Note 11.2.a)	400,463	8,417	-	408,880
Agarapatana Plantations Limited (Note 11.2.b)	222,475	6,206	-	228,681
	622,938	14,623	-	637,561
Other Leasehold Assets				
SunAgro Farms Limited (Note 11.3)	2,555	-	-	2,555
Ceyflex Rubber Limited (Note 11.4)	-	-	-	-
	2,555	-	-	2,555
Total Depreciations	952,625	27,313	-	979,938
Carrying Value	443,421	(27,313)	-	409,438

11.1 Leasehold Right to Bare Land of Janatha Estate Development Board (JEDB)/Sri Lanka State Plantation Corporation (SLSPC) Estates.

a) Kotagala Plantations PLC

The leases of all 23 estates have been executed and will be retroactive from 22nd June, 1992. The leasehold rights to land on all these estates have been taken into the books of the Company as at 22nd June, 1992 immediately after formation of the Company, in terms of the ruling obtained from the Urgent Issues Task Force (UITF) of The Institute of Chartered Accountants of Sri Lanka. For this purpose, the Board decided at its meeting held on 8th March, 1995 that these bare lands would be revalued, at the value established for these lands, by the valuation Specialist Mr.D.R.Wickramasinghe, just prior to the formation of the Company. The value taken into the 22nd June, 1992, Statement of Financial Position and the amortisation of leasehold rights up to 31st March, 2019 are as follows.

"Right-To-Use of Land on Lease of JEDB/SLSPC Estates" as above was previously titled "Leasehold Right to Bare Land of JEDB/SLSPC Estates". The change is in order to comply with Statement of Recommended Practice (SoRP) issued by the Institute of Chartered Accountants of Sri Lanka dated 21 August 2013. Such leases have been executed for all estates for a period of 53 years.

This right-to-use land is amortized over the remaining lease term or useful life of the right whichever is shorter and is disclosed under non-current assets. The Statement of Recommended Practice (SoRP) for right-to-use of land does not permit further revaluation of right-to-use land.

Millewa estate was acquired by the Urban development authority of Sri Lanka on the 26th of October 2017. The Leasehold right to bare land was written off since the company no longer has control of the said estate.

Cost/Valuation	Life of the Asset	As at 22.06.1992 Rs.'000	Write off of Millewa	Balance 31.03.2019 Rs.'000	Balance 31.03.2018 Rs.'000
Right to use the Land of JEDB/SLSPC Estates	53 years	358,928	-	331,163	331,163
Amortisation	Balance as at 31.03.2018 Rs.'000	Charge for the Year Rs.'000	Write off of Millewa	Balance as at 31.03.2019 Rs.'000	Carrying Value as at 31.03.2019 Rs.'000
	161,072	6,249	-	167,321	163,842
					170,091

b) Agarapatana Plantations Limited

"Right-To-Use of Land on Lease" as above was previously titled "Leasehold Right to Bare Land". The change is in order to comply with Statement of Alternative Treatment (SoAT) issued by the Institute of Chartered Accountants of Sri Lanka dated 21 August 2013. Such leases have been executed for all estates for a period of 53 years.

This right-to-use land is amortized over the remaining lease term or useful life of the right whichever is shorter and is disclosed under non-current assets. The Statement of Alternative Treatment (SoAT) for right-to-use of land does not permit further revaluation of right-to-use land. These assets are taken into the Statement of Financial Position as at 22nd June 1992 and amortisation of the right to use of land up to 31st March 2019 are as follows.

Description	Cost / valuation as at 22.06.92 Rs.'000	Accumulated Amortisation 01.04.2018 Rs.'000	Amortisation During the Year Rs.'000	Accumulated Amortisation 31.03.2019 Rs.'000	Carrying Value as at 31.03.2019 Rs.'000	Carrying Value as at 31.03.2018 Rs.'000
Leasehold right to bare land of JEDB/SLSPC Estates	341,588	166,060	6,441	172,501	169,089	175,528

Notes to the Financial Statements contd.

11.2 Immovable Leased Assets of JEDB/SLSPC Estates (Other than Bare Land)

a) Kotagala Plantations PLC

The leases of all the 23 estates have been executed and will be retroactive from 22nd June 1992. The leasehold rights to land on all these estates have been taken into the books of the Company as at 22nd June 1992 immediately after formation of the Company, in terms of the ruling obtained from the Urgent Issue Task Force (UITF) of the Institute of Chartered Accountants of Sri Lanka based on then existing accounting standards. For this purpose, the Board decided at its meeting held on 8th March 1995 that these bare lands would be revalued, at the value established for these lands, by the valuation Specialist Mr. D R Wickramasinghe, just prior to the formation of the Company. The value taken into 22nd June, 1992, statement of Financial Position and the amortisation of leasehold rights up to 31st March 2019 are as follows,

Millewa estate was acquired by the Urban development authority of Sri Lanka on the 26th of October 2017. The Immovable leased assets were written off since the company no longer has control of the said estate.

	Life of the Asset	As at 22.06.92 Rs.'000	Balance 31.03.2018 Rs.'000	Balance 31.03.2019 Rs.'000
Revaluation				
Land Development Cost	30 years	6,712	6,360	6,360
Buildings other than Worker housing	25 years	26,519	25,174	25,174
Plant & Machinery	15 years	8,757	8,757	8,757
Water Projects and Sanitations	30 years	8,688	8,688	8,688
Mature Plantations		-	-	-
- Tea	30 years	69,767	227,655	227,655
- Rubber	30 years	61,138	163,548	163,548
- Others	25 years	-	8,140	8,140
Immature Plantations		-	-	-
- Tea		158,960	-	-
- Rubber		126,898	-	-
- Others		8,140	-	-
		475,579	448,322	448,322

	Balance as at 01.04.2018 Rs'000	Charge for the Year Rs.'000	Balance as at 31.03.2019 Rs.'000	Carrying Value As at 31.03.2019 Rs.'000	Carrying Value As at 31.03.2018 Rs.'000
Amortisation					
Land Development Cost	5,470	212	5,682	678	890
Buildings other than Worker Housing	25,174	-	25,174	-	-
Plant & Machinery	8,757	-	8,757	-	-
Water Projects and Sanitations	7,466	289	7,755	933	1,222
Mature Plantations					
- Tea	184,516	7,589	192,105	35,550	43,139
- Rubber	163,548	-	163,548	-	-
- Others	5,532	327	5,859	2,280	2,607
	400,463	8,417	408,880	39,441	47,858

Investment in Immature Plantations at the time of handing over to the Company by way of estate leases are shown under Immature Plantations as at 22nd June, 1992. Further investment in such plantations to bring them to maturity are shown under Note 10.4.

b) Agarapatana Plantation Limited

All the leases executed as at the year end will be retroactive to 22nd June 1992, the date of formation of the company. The leasehold right to bare land on all of these estates have been taken in to the books of the Company as at 22nd June 1992 immediately after the formation of the Company. The board decided at its meeting on 08 March 1995 that these assets would be taken at their book values as they appear in the books of JEDB/SLSPC on the day immediately preceding the date of formation of the Company. This right-to-use land is amortized over the remaining lease term or useful life of the right whichever is shorter and is disclosed under non current assets. The Statement of Recommended Practice (SoRP) for right-to-use of land does not permit further revaluation of right-to-use land. These assets are taken into the Statement of Financial Position as at 22nd June 1992 and depreciated as follows.

Description	Revaluation as at 22.06.92 Rs.'000	Transfers/ Immature to Mature (Adjustments) Rs.'000	Value as at 01.04.2018 Rs.'000	Accumulated Depreciation 01.04.2018 Rs.'000	Depreciation for the Year Rs.'000	Accumulated Depreciation 31.03.2019 Rs.'000	Carrying Value As at 31.03.2019 Rs.'000	Carrying Value As at 31.03.18 Rs.'000
Improvement to Land	5,406	-	5,406	4,640	181	4,821	585	766
Unimproved Land	998	-	998	-	-	-	998	998
Roads and Bridges	677	-	677	436	17	453	224	241
Buildings	62,634	-	62,634	62,634	-	62,634	-	-
Fences and Securities	49	-	49	49	-	49	-	-
Machinery	8,823	(620)	8,202	8,202	-	8,202	-	-
Water Supply	6,158	-	6,158	6,158	-	6,158	-	-
Power Augmentation	972	-	972	972	-	972	-	-
Coffee, Pepper, Cardamom	305	-	305	-	-	-	305	305
Mature Plantations	37,457	141,636	179,093	138,313	5,968	144,281	34,812	40,780
Vested Tea	1,223	-	1,223	1,040	40	1,080	143	183
Immature Plantations	141,636	(141,636)	-	-	-	-	-	-
Other Vested Assets	31	-	31	31	-	31	-	-
	266,369	(620)	265,748	222,475	6,206	228,681	37,067	43,273

Investment in Plantations assets which were immature at the time of handing over to the Company by way of estate leases are shown under Immature Plantations (revalued as at 22nd June, 1992).

However, since then all such investments in Immature Plantations attributable to JEDB/SLSPC period have been transferred to Mature Plantations. These mature tea were classified as bearer biological assets in terms of LKAS 41 - Agriculture. The carrying value of the bearer biological assets leased from JEDB/SLSPC is recognised at cost less amortisation. Further, investments in such plantations to bring them to maturity are shown in Note 10.4.

11.3 SunAgro Farms Limited

Sun Agro Farms Limited, a subsidiary of the Company acquired an agricultural land on 21st June, 2010 on a 29 year lease from the Department of Buddhist Affairs and this was amortized over the period of lease. However, the balance was impaired as at 31st March 2014.

11.4 Ceyflex Rubber Limited (Formerly known as Duramedical (Lanka) Limited)

Ceyflex Rubber Limited, a Subsidiary of the company, entered in to a Lease agreement with Board of Investment of Sri Lanka to hold the land for a period of 50 years commencing from 12th May 2016 to 11th May 2066 for a sum of USD 40,000 of non refundable lease premium and annual ground rent of USD 5,000 per annum.

Notes to the Financial Statements contd.

12. INVESTMENT PROPERTY

As at 31st March,	GROUP		COMPANY	
	2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000
Cost				
Balance as at Beginning of the Year	774,430	534,281	812,772	725,910
Prior year adjustment	(49,969)	-	-	-
Transfers from Property Plant and Equipment	1,400,059	240,149	-	-
Additions/(Disposals) during the year	-	-	3,263	86,862
Transfers from revaluation adjustment	(16,286)	-	-	-
Balance as at end of the Year	2,124,520	774,430	816,035	812,772
Accumulated Depreciation				
Balance as at Beginning of the Year	129,570	109,746	9,233	6,812
Charge for the Year	21,511	19,824	3,253	2,421
Transfers from revaluation adjustment	(16,286)	-	-	-
Balance as at end of the Year	151,081	129,570	12,486	9,233
Carrying Value	1,973,439	644,860	803,549	803,539
Capital Work in Progress	-	-	684	-
Total Carrying Value (Note 12.1)	1,973,439	644,860	804,233	803,539

12.1 Group

Company	Location	Extent	Carrying Value Rs.'000	Fair Value Rs.
The Colombo Fort land and Building PLC	York Arcade Building, Leyden Bastian Road, Colombo 01.	156,436 Sq ft	804,233	2,998 Mn
C.W. Mackie PLC	No. 36, D R Wijewardena Mw, Colombo 10	57,158 Sq ft	23,980	270.8 Mn
Sunquick Lanka Properties (Private) Limited	Munagama, Horana	2A,3R,33.07P	181,963	275 Mn
Union Commodities (Private) Limited	No.79, Biyagama Road, Talwatta, Kelaniya.	38,287 Sq ft	136,426	136 Mn
C M Holdings PLC	297, Colvin R De Silva Mw, Colombo 02.	31,757 Sq ft	669,693	2,670 Mn
York Hotel Kandy Limited	Halloluwa, Katugastota	6A,1R,36P	157,144	480 Mn
			1,973,439	

C. W. Mackie PLC

C. W. Mackie PLC has rented out a part of C. W. Mackie PLC building complex and value of land and buildings of that portion has been classified as 'investment property' and accounted on "cost model" as required by LKAS 40-Investment Property.

As per the valuation carried out on 31 March 2019, by Mr. K. T. D. Tissera, J. P. U. M., an independent professional valuer, Diploma in Valuation (Sri Lanka), F. R. I. C. S.(Eng.), F. I. V. (Sri Lanka), Chartered Valuation Surveyor, the properties of C. W. Mackie PLC and Sunquick Lanka Properties (Pvt) Ltd. were valued based on income method for existing use basis.

Rent income is included in the statement of comprehensive income of the Group was Rs. 118.3 Million (2018-99.89 Million) and the Direct operating expenses arising from investment property that generated rental income during the year was Rs. 21.1 Million (16.9 Million).

Union Commodities (Private) Limited

As per the valuation carried out by Mr. P.B. Kalugalagedara, an independent professional Valuer, fair value of the investment property is Rs. 136 million, as at 31st March, 2019. The properties were valued on an open market value for existing use basis.

C M Holdings PLC

The company and the group has initially accounted for the investment property at cost, and subsequently accounted for it under the cost model in accordance with the policy adopted by its ultimate parent. The investment property is depreciated using a straight line method over its estimated useful life of 20 years. The valuation of the freehold land and buildings was carried out by Mr. P.P.T. Mohideen, Chartered Valuation Surveyor and was valued at Rs.2,670 million as at 31st March 2019.

York Hotel (Kandy) Limited

As a result of change in the company's business plan, Land recognised as Property, Plant and Equipment previously has been classified as Investment Property and accounted on "Cost Model" as required by LKAS 40 - Investment Property. The company intends to hold the land for capital appreciation. The above investment property is situated at Halloluwa, Katugastota and the extent of the land is 6 A, 1 R & 36 P. The carrying amount of Investment Property as at 31st March 2019, amounted to Rs. 157.1 million.

As per the valuation carried out on 31st March 2019 by Mr. P.P.T. Mohideen, Chartered Valuation Surveyor, fair value of this investment property as at 31st March 2019 is Rs. 480 million.

12.2 Company

Investment properties of the Company consists of land amounting to Rs.621.62 million (2018 - Rs.621.62) and building amounting to Rs.182.61 million (2018 - Rs.181.91 million) as at the reporting date. The Company has adopted the cost model to value the investment properties.

Location	Extent Perches	Carrying Value Rs.'000	Fair Value Rs.'000
Fort - Colombo	153	804,233	2,997,900

The properties of the Company were valued by an independent valuer, Mr. P.P.T. Mohideen, Chartered Valuation Surveyor, B.Sc. (Hons) Estate Management & Valuation, Executive Diploma in Business Administration, FIV (Sri Lanka) and MRICS (England) and the fair value of the investment properties as at 31st March, 2019 was Rs.3.0 billion.

The rental income earned by the Company from the said properties is disclosed in Note 4 to the Financial Statements.

The Company has executed a Tertiary Mortgage Bond for Rs.100.0 million and a Quaternary Mortgage Bond for Rs.87.5 million over the property at No. 53-1/1, 53-2/1 and 57, Sir Baron Jayatilake Mawatha, Colombo – 1 belonging to the Company for the facilities granted to the Company.

13. INTANGIBLE ASSETS

As at 31st March,	GROUP	
	2019 Rs.'000	2018 Rs.'000
Goodwill on Acquisition (Note 13.1)	880,256	936,721
Trade Mark (Note 13.2)	389	2,752
Computer software (Note 13.3)	92,722	120,723
	973,367	1,060,195

13.1 Goodwill

At the beginning of the Year (Note 13.1.1)	936,721	826,520
Acquisition of Subsidiary	-	110,201
Impairment of Goodwill (Note 13.1.2)	(56,465)	-
At the end of the Year	880,256	936,721

Notes to the Financial Statements contd.

13.1.1 Goodwill on Acquisition

This represents the excess of the cost of acquisition of the net assets of the following Companies. The aggregated carrying amount of goodwill allocated to each company is as follows:

	GROUP	
	2019	2018
	Rs.'000	Rs.'000
Marawila Resorts PLC	-	-
Lankem Developments PLC	5,503	5,503
Consolidated Tea Plantations Limited (Note 13.1.2)	-	56,465
Lankem Paints Limited	3,528	3,528
Lankem Chemicals Limited	3,42	3,428
Lankem Tea and Rubber Plantations (Private) Limited	51,766	51,766
Agarapathana Plantations Limited	16,385	16,385
Candy Delights Limited	2,259	2,259
Sunagro Lifescience Limited	125	125
C. W. Mackie PLC	92,778	92,778
Galle Fort Hotel (Private) Limited	267,885	267,885
Ceylon Tapes Limited	14,190	14,190
Lanka Special Steel Limited	21,696	21,696
J.F.Packaging Limited	263,442	263,442
Sherwood Holidays Limited	27,070	27,070
Kiffs (Private) Limited	85,202	85,202
Alliance Five (Private) Limited	24,999	24,999
	880,256	936,721

13.1.2 Impairment of Goodwill

Based on impairment assessment, the following goodwill were impaired during the year 2018/ 2019.

Consolidated Tea Plantations Limited	56,465	-
	56,465	-

For the purpose of impairment testing, goodwill acquired from business combinations have been allocated to cash generating units (CGU) that is expected to benefit from the synergies of the combination . CGUs to which goodwill has been allocated have been tested for impairment annually, and whenever there is an indication that the unit may be impaired by comparing the carrying amount of the unit including the goodwill, with the recoverable amount of the unit. If the carrying amount of the unit exceeds the recoverable amount of the unit and the goodwill allocated to that unit has been regarded as impaired. The impairment loss has been allocated to reduce the carrying amount of any goodwill allocated to the CGU and then to other assets of the unit.

Carrying value of Goodwill as at the reporting date has been tested for impairment and no additional impairment losses were identified as at the reporting date. Details relating to goodwill impairment to date is disclosed above.

Methods used in estimating recoverable amounts are given below;

- (i) Business Growth - Based on historical growth rate & business plan
- (ii) Inflation - Based on current inflation & the percentage of the total cost subjected to the inflation
- (iii) Discount Rate - Average market borrowing rate adjusted for risk premium
- (iv) Margin - Based on current margin & business plan

As at 31st March,	GROUP	
	2019 Rs.'000	2018 Rs.'000
13.2 Trade Mark		
Cost		
As at the beginning of the Year	14,409	14,150
Additions/ disposal during the Year	52	259
As at the end of the Year	14,461	14,409
Amortisation		
As at the beginning of the Year	11,657	7,290
Amortised during the year	2,415	4,367
At the end of the Year	14,072	11,657
Carrying Value	389	2,752
13.3 Computer Software		
Cost		
As at the beginning of the Year	211,972	198,474
Additions during the Year	16,924	13,498
As at the end of the Year	228,896	211,972
Amortisation		
As at the beginning of the Year	91,249	47,846
Amortised during the year	44,925	43,403
At the end of the Year	136,174	91,249
Carrying Value	92,722	120,723

Notes to the Financial Statements contd.

14. INVESTMENTS IN SUBSIDIARIES

	Group Holding	Company Holding	No. of Shares	Cost	Fair Value	No. of Shares	Cost	Fair Value
As at 31st March,	2019	2019	2019	2019	2019	2018	2018	2018
	%	%		Rs.'000	Rs.'000		Rs.'000	Rs.'000

14.1 Company

14.1.1 Quoted Investments

Beruwala Resorts PLC	49.51	0.01	30,000	32	18	30,000	32	24
C M Holdings PLC	65.55	63.49	9,649,850	550,183	348,360	9,649,850	550,183	712,159
E.B. Creasy & Company PLC	59.90	52.99	1,343,610	35,228	2,001,979	1,343,610	35,228	1,612,332
Lankem Ceylon PLC	65.06	44.31	15,000,000	568,126	330,000	15,000,000	568,126	559,500
Marawila Resorts PLC	40.97	0.66	1,510,000	7,173	2,416	1,510,000	7,173	3,624
Muller & Phipps (Ceylon) PLC	30.72	0.02	60,030	91	36	60,030	91	60
York Arcade Holdings PLC	49.99	49.27	369,495	4,963	25,902	369,495	4,963	40,644
				1,165,796	2,708,711		1,165,796	2,928,343

14.1.2 Unquoted Investments

Agarapatana Plantations Limited	41.46	2.75	6,455,458	27,577	-	3,788,791	7,578	-
C.F. Travels Limited	100.00	100.00	1,500,000	15,000	-	1,500,000	15,000	-
Capital Leasing Company Limited	55.83	55.83	473,000	4,733	-	473,000	4,733	-
Colombo Fort Group Services (Pvt) Ltd	100.00	100.00	10,000	100	-	-	-	-
Colombo Fort Holdings Limited	100.00	100.00	3,500,000	35,000	-	3,500,000	35,000	-
Colombo Fort Properties Limited	100.00	99.70	1,000	10	-	1,000	10	-
Consolidated Tea Plantations Limited	83.38	52.44	21,500,000	240,500	-	21,500,000	240,500	-
Transways (Private) Limited	100.00	30.00	14,998	150	-	14,998	150	-
				323,070	-		302,971	-

Total Cost	1,488,866	1,468,767
Less: Provision for Impairment in Value of Investments (Note 14.2)	(53,273)	(20,363)
Carrying Value of Investment in Subsidiaries	1,435,593	1,448,404

	No. of Shares	Cost	Fair Value	No. of Shares	Cost	Fair Value
As at 31st March,	2019	2019	2019	2018	2018	2018
		Rs.'000	Rs.'000		Rs.'000	Rs.'000

14.1.3 Preference Shares

Transways (Private) Limited	103,110	1,031	-	103,110	1,031	-
Voyages Ceylon (Private) Limited	1,500,000	15,000	-	1,500,000	15,000	-
York Hotel Management Services Limited	650,000	6,500	-	650,000	6,500	-
York Tours Limited	318,000	3,180	-	318,000	3,180	-
Total		25,711			25,711	
Less: Provision for impairment in Value of Investments		(25,711)			(25,711)	
		-			-	

14.2 Provision for Impairment in Value of Investments

	2019 Rs.'000	2018 Rs.'000
Quoted Investments		
Muller & Phipps (Ceylon) PLC	55	31
Beruwala Resorts PLC	14	8
Marawila Resorts PLC	4,757	3,549
	4,826	3,588
Unquoted Investments		
C.F. Travels Limited	15,000	15,000
Capital Leasing Company Limited	1,615	1,615
Colombo Fort Properties Limited	10	10
Consolidated Tea Plantations Limited	31,672	-
Transways (Private) Limited	150	150
	48,447	16,775
	53,273	20,363

14.3 Group Companies Investments in Subsidiaries

Investor As at 31st March,	Investee	% Holding		No. of Shares	
		2019	2018	2019	2018
E. B. Creasy & Company PLC	Lankem Ceylon PLC	32.42%	32.42%	10,974,635	10,974,635
	Laxapana Batteries PLC	51.58%	51.58%	20,114,838	20,114,838
	Darley Butler & Co. Limited	100.00%	100.00%	4,999,964	4,999,964
	Candy Delights Limited*	100.00%	100.00%	569,998	569,998
	Filmpak Limited	100.00%	100.00%	150,000	150,000
	Group Three Associates Limited	100.00%	100.00%	1,200	1,200
	Island Consumer Suppliers Limited	100.00%	100.00%	119,999	119,999
	Corporate Systems Limited	99.93%	99.93%	10,000	10,000
	E B Creasy Logistic Limited	99.99%	99.99%	49,994	49,994
	York Hotel (Kandy) Limited	0.14%	0.14%	19,825	19,825
	Muller & Phipps (Ceylon) PLC	51.26%	51.26%	145,061,773	145,061,773
	Lanka Special Steel Limited	100.00%	100.00%	1,823,074	1,823,074
	Ceyflex Rubber Limited	100.00%	100.00%	7,100,000	7,100,000
Darley Butler & Company Limited	Lankem Ceylon PLC	1.59%	1.59%	536,614	536,614
	Laxapana Batteries PLC	0.00%	0.00%	6	6
	Agarapatana Plantations Limited	2.37%	2.37%	5,575,908	5,575,908
	Marawila Resorts PLC	0.00%	0.00%	188	188
	York Arcade Holdings PLC	0.60%	0.60%	4,500	4,500
Candy Delights Limited*	Lankem Ceylon PLC	0.07%	0.07%	23,337	23,337
	York Arcade Holdings PLC	0.33%	0.33%	2,500	2,500
Island Consumer Supplies (Private) Limited	Consolidated Tea Plantations Limited	0.00%	0.00%	1	1
	Sigiriya Village Hotels PLC	0.69%	0.69%	62,162	62,162
	Marawila Resorts PLC	0.07%	0.07%	156,000	156,000
	Colombo Fort Hotels Limited	6.91%	6.91%	233,620,000	233,620,000
	Beruwala Resorts PLC	0.01%	0.01%	30,000	30,000
	C M Holdings PLC	0.63%	0.63%	95,640	95,640
	Lankem Ceylon PLC	0.00%	0.00%	536	536
	York Arcade Holdings PLC	0.27%	0.27%	2,000	2,000
	Creasy Plantation Management Limited	41.00%	41.00%	122,993	122,993

Notes to the Financial Statements contd.

Investor As at 31st March,	Investee	% Holding		No. of Shares	
		2019	2018	2019	2018
Muller & Phipps (Ceylon) PLC	Pettah Pharmacy (Private) Limited	100.00%	100.00%	1,499,500	1,499,500
Pettah Pharmacy (Private) Limited	Colombo Fort Hotels Limited	0.94%	0.94%	31,880,000	31,880,000
	Beruwala Resorts PLC	0.01%	0.00%	30,000	30,000
Lankem Ceylon PLC	Lankem Development PLC	2.04%	2.24%	2,444,068	2,687,691
	Sigiriya Village Hotels PLC	23.15%	23.15%	2,083,760	2,083,760
	Marawila Resorts PLC	7.32%	7.32%	16,700,919	16,700,919
	Colombo Fort Hotels Limited	68.85%	68.85%	2,329,326,024	2,329,326,024
	Consolidated Tea Plantations Limited	47.56%	47.56%	19,500,001	19,500,001
	Lankem Tea and Rubber Plantations (Private) Limited	1.00%	1.00%	8,342	8,342
	Lankem Plantation Services Limited	60.00%	60.00%	179,993	179,993
	Beruwala Resorts PLC	0.00%	0.00%	-	-
	Lankem Exports Limited	100.00%	100.00%	9,997	9,997
	Lankem Paints Limited	100.00%	100.00%	1,999,993	1,999,993
	Lankem Consumer Products Limited	100.00%	100.00%	1,999,993	1,999,993
	Lankem Chemicals Limited	100.00%	100.00%	1,999,993	1,999,993
	Lankem Research Limited	100.00%	100.00%	250,000	250,000
	SunAgro LifeScience Limited	100.00%	100.00%	200,000	200,000
	SunAgro Farms Limited	100.00%	100.00%	1,199,996	1,199,996
	Associated Farms Limited	100.00%	100.00%	55,398	55,398
	Kotagala Plantations PLC	1.30%	1.22%	977,899	918,167
	C.W. Mackie PLC	55.34%	55.34%	19,916,811	19,916,811
	Lankem Technology Services Limited	100.00%	100.00%	4,999,995	4,999,995
	SunAgro Foods Limited	100.00%	100.00%	4,999,994	4,999,994
	C M Holdings PLC	2.23%	2.23%	338,547	338,547
	Waverly Power (Private) Limited	43.59%	43.59%	3,400,000	3,400,000
	Ceylon Tapes (Private) Limited	0.00%	0.00%	-	-
	J.F. Packaging Limited**	100.00%	100.00%	673,151	673,151
	Natures Link (Private) Limited	100.00%	100.00%	5,000,000	5,000,000
	Agrapathana Plantation Limited	0.75%	0.75%	1,760,204	1,760,204
Consolidated Tea Plantations Limited	Lankem Tea and Rubber Plantations (Private) Limited	98.98%	98.98%	826,088	826,088
	Kotagala Plantations PLC	48.11%	48.11%	36,187,500	36,187,500
	Lankem Developments PLC	49.80%	49.80%	59,762,295	59,762,295
	Union Commodities (Private) Limited	70.00%	70.00%	5,600,000	5,600,000
Lankem Tea and Rubber Plantations (Private) Limited	Colombo Fort Hotels Limited	8.58%	8.58%	290,214,792	290,214,792
	Marawila Resorts PLC	5.65%	6.05%	12,878,000	13,793,468
	Kotagala Plantations PLC	23.93%	23.93%	18,003,937	18,003,937
	KIA Motors (Lanka) Limited	15.00%	15.00%	9,000,000	9,000,000
Lankem Developments PLC	Marawila Resorts PLC	0.14%	0.14%	312,500	312,500
	Kotagala Plantations PLC	0.12%	0.12%	90,000	90,000
	Agarapatana Plantations Limited	61.87%	61.87%	145,394,302	145,394,302
	Waverly Power (Private) Limited	56.41%	56.41%	4,400,000	4,400,000

Investor As at 31st March,	Investee	% Holding		No. of Shares	
		2019	2018	2019	2018
Colombo Fort Hotels Limited	Beruwala Resorts PLC	65.58%	65.58%	393,497,345	393,497,345
	York Hotels (Kandy) Limited***	34.08%	34.08%	4,921,506	4,921,506
	Marawila Resorts PLC	41.06%	41.06%	93,624,955	93,624,955
	Sigiriya Village Hotels PLC	41.16%	41.16%	3,704,274	3,704,274
	Galle Fort Hotel (Private) Limited	100.00%	100.00%	10,384,214	10,384,214
	Lak Kraft (Private) Limited	99.11%	99.11%	222	222
	Sherwood Holidays Limited	100.00%	100.00%	7,791,920	7,791,927
	BOT Hotel Services Limited	31.32%	31.32%	18,008,162	18,008,162
Sigiriya Village Hotels PLC	Marawila Resorts PLC	7.46%	7.46%	17,000,000	17,000,000
	Beruwala Resorts PLC	14.23%	14.23%	85,384,000	85,384,000
	Colombo Fort Hotels Limited	0.02%	0.02%	600,000	600,000
	York Hotels (Kandy) Limited***	31.16%	31.16%	4,500,000	4,500,000
Marawila Resorts PLC	Beruwala Resorts PLC	0.01%	0.01%	30,000	30,000
	Colombo Fort Hotels Limited	0.64%	0.64%	21,656,460	21,656,460
Beruwala Resorts PLC	B.O.T. Hotel Services (Private) Limited	68.68%	68.68%	39,491,798	39,491,798
York Hotel Management Services Limited	Colombo Fort Hotels Limited	0.02%	0.02%	600,000	600,000
Agarapatana Plantations Limited	Beruwala Resorts PLC	0.97%	0.97%	5,835,973	5,835,973
	Union Commodities (Private) Limited	15.00%	15.00%	1,200,000	1,200,000
Kotagala Plantations PLC	Agarapatana Plantations Limited	7.38%	8.51%	17,333,333	20,000,000
	York Hotels (Kandy) Limited***	31.16%	31.16%	4,500,000	4,500,000
	Union Commodities (Private) Limited	15.00%	15.00%	1,199,999	1,199,999
	Rubber & Allied Products (Colombo) Limited	99.85%	99.85%	5,991	5,991
C.W. Mackie PLC	Ceymac Rubber Company Limited	98.72%	98.72%	3,148,551	3,148,551
	Ceytra (Private) Limited	62.82%	62.82%	1,884,600	1,884,600
	Sunquick Lanka Properties (Private) Ltd	51.00%	51.00%	3,070,000	3,070,000
	Kelani Valley Canneries Limited	88.23%	88.23%	30,351,222	30,351,222
C M Holdings PLC	Colonial Motors (Ceylon) Limited	100.00%	100.00%	16,499,998	16,499,998
	E. B. Creasy & Company PLC	3.94%	3.94%	100,000	100,000
	York Arcade Holdings PLC	0.00%	0.00%	28	28
	Union Investments (Private) Limited	100.00%	100.00%	4,999,999	4,999,999
	Colombo Fort Hotels Limited	12.57%	11.09%	425,358,700	375,358,700
	Marawila Resorts PLC	0.44%	0.44%	1,000,000	1,000,000
	Carplan Limited	100.00%	100.00%	1,376,004	1,376,004
	KIA Motors (Lanka) Limited	70.00%	70.00%	41,999,952	41,999,952
	Lankem Ceylon PLC	0.47%	0.47%	160,000	160,000
	Beruwala Resorts PLC	0.01%	0.01%	30,000	30,000
	Guardian Asset Management Limited	75.00%	75.00%	1,199,995	1,199,995
KIA Motors (Lanka) Limited	Colombo Fort Hotels Limited	0.00%	2.96%	-	100,000,000
Union Investments (Private) Limited	E. B. Creasy & Company PLC	6.61%	6.61%	167,700	167,700
	York Arcade Holdings PLC	0.00%	0.00%	35	35
	Guardian Asset Management Limited	18.75%	18.75%	300,000	300,000
	Lankem Ceylon PLC	0.04%	0.04%	12,000	12,000
	Lankem Developments PLC	6.79%	6.79%	8,150,000	8,150,000
	Agarapatana Plantations Limited	0.11%	0.00%	250,000	-
	C.W. Mackie PLC	2.81%	2.81%	1,010,000	1,010,000

Notes to the Financial Statements contd.

Investor As at 31st March,	Investee	% Holding		No. of Shares	
		2019	2018	2019	2018
Guardian Asset Management Limited	Guardian Trustees Limited	99.99%	99.99%	59,993	59,993
	Kotagala Plantation PLC	0.00%	0.01%	279	279
	Muller & Phipps (Ceylon) PLC	0.00%	0.01%	500	500
	Laxapana Batteries PLC	0.00%	0.01%	300	300
	York Arcade Holdings PLC	0.00%	0.01%	-	2
	E. B. Creasy & Company PLC	0.00%	0.01%	72	72
	Colombo Investment Trust PLC	0.00%	0.01%	143	140
	Colombo Fort Investments PLC	0.00%	0.01%	83	81
	Lankem Developments PLC	0.00%	0.01%	296	296
	Lankem Ceylon PLC	1.18%	1.18%	400,300	400,300
	C M Holdings PLC	0.00%	0.01%	185	185
	Marawila Resorts PLC	0.00%	0.01%	640	640
York Arcade Holdings PLC	C M Holdings PLC	0.47%	0.47%	71,707	71,707
C.F Travels Limited	York Tours Limited	100.00%	100.00%	51,200	51,200
	American Lloyd Travels Limited	96.54%	96.54%	1,013,706	1,013,706
	Union Travels Limited	85.99%	85.99%	42,993	42,993
	Voyages Ceylon (Private) Limited	74.43%	74.43%	454,930	454,930
Colombo Fort Holdings Limited	York Hotel Management Services Limited	100.00%	100.00%	60,000	60,000
	Union Group (Private) Limited	87.90%	87.90%	54,500	54,500
	Transways (Private) Limited	70.00%	70.00%	35,000	35,000
Union Group (Private) Limited	Lankem Ceylon PLC	0.01%	0.01%	3,500	3,500
J.F. Packaging Limited	Ceylon Tapes (Private) Limited	100.00%	100.00%	980,000	980,000
	Kiffs (Private) Limited	100.00%	100.00%	440,001	440,001
	Alliance Five (Private) Limited	100.00%	100.00%	649,750	649,575

Notes: *Creasy Foods Limited has changed its name to Candy Delights Limited with effect from 06th April 2018.

**J.F. Packaging (Private) Limited has changed its status to Public Company, consequently the change of name to J.F. Packaging Limited with effect from 29th March, 2019.

***York Hotels (Kandy) Limited has changed its name to Imperial Hotels Limited with effect from 24th May 2019.

14.4 Subsidiary Companies of the Group

The details of Subsidiaries in which The Colombo Fort Land & Building PLC held an indirect interest, are set out below:

Indirect Subsidiaries	Effective Holdings (%)	
	2019	2018
Agarapatana Plantations Limited	38.71	41.09
American Lloyd Travels Limited	96.54	96.54
Associated Farms Limited	65.05	65.05
B.O.T. Hotel Services (Private) Limited	53.95	54.56
C.W. Mackie PLC	37.84	37.84
Ceylon Tapes limited	42.33	65.06
Ceymac Rubber Company Limited	37.36	37.36
Ceytra (Private) Limited	23.77	23.77
Corporate Systems Limited	59.85	59.85
Candy Delights Limited	59.90	59.90
Creasy Plantation Management Limited	24.56	24.56
Darley Butler & Company Limited	59.90	59.90
E.B. Creasy Logistics Limited	59.89	59.90
Filmpack Limited	59.89	59.90
Group Three Associates (Private) Limited	59.90	59.90
Guardian Trustees Limited	61.44	61.44
Island Consumer Supplies (Private) Limited	59.90	59.90
J.F.Packaging (Private) Limited	65.06	65.06
Kelani Valley Canneries Limited	33.39	33.39
Kotagala Plantations PLC	60.87	60.86
Lanka Special Steels (Lanka) Limited	59.90	59.90
Lankem Agrochemicals Limited	65.06	65.06
Lankem Chemicals Limited	65.06	65.06
Lankem Consumer Products Limited	65.06	65.06
Lankem Developments PLC	47.30	47.43
Lankem Exports (Private) Limited	65.04	65.04
Lankem Paints Limited	65.06	65.06
Lankem Plantation Services Limited	39.03	39.03
Lankem Research Limited	65.06	65.06
Lankem Tea & Rubber Plantations (Private) Limited	83.18	83.18
Laxapana Batteries PLC	30.89	30.89
SunAgro Farms Limited	65.06	65.06
SunAgro LifeScience Limited	65.06	65.06
Union Group (Private) Limited	87.90	87.90
Union Travels Limited	85.99	85.99
Voyages Ceylon (Private) Limited	74.43	74.43
York Hotel Management Services Limited	99.99	100.00
York Hotels (Kandy) Limited	54.30	54.65
York Tours Limited	99.99	100.00

Notes to the Financial Statements contd.

15. INVESTMENT IN EQUITY ACCOUNTED INVESTEEES

	Holding %	No. of Shares	Balance as at 2019 Rs.'000	Fair Value 2019 Rs.'000	Holding %	No. of Shares	Balance as at 2018 Rs.'000	Fair Value 2018 Rs.'000
As at 31st March,	2019	2019			2018	2018		

15.1 Investments in Associates

GROUP

Quoted Investments

Colombo Fort Investments PLC	15.97	1,054,726	121,294	52,947	15.97	1,054,726	129,295	68,241
Colombo Investment Trust PLC	11.51	758,283	97,438	45,497	11.51	758,283	101,943	60,663
			218,732	98,444			231,238	128,904

Unquoted Investments

Capital Investments Limited	46.67	3,499,930	227,200		46.67	3,499,930	215,158	
Unrealised profit on disposal of shares to equity accounted investee			(3,609)				(3,609)	
Balance as at 1st April			451,912				442,787	
Statement of Profit or Loss			(6,889)				6,729	
Other Comprehensive Income			(112,161)				6,641	
Share of Results of Equity Accounted Investees (Net of Tax) for the Year			(119,051)				13,370	
Dividend Paid during the Year			(2,700)				(4,244)	
Unrealised profit on disposal of shares to equity accounted investee			-				-	
Carrying Value of Investments in Equity Accounted Investees			330,162				451,912	

a. Market value of quoted investments as at 31st March, 2019 was Rs.98 million (Rs.129 million-31st March, 2018) for the Group and Company. The Director's valuation of unquoted associate investment amounted to Rs. 227 million as at 31st March, 2019 (Rs.215 million - 31st March, 2018) for the Group and Company as well.

b. Summarised Financial Information of Equity Accounted Investees

	GROUP	
As at 31st March,	2019 Rs.'000	2018 Rs.'000
Assets & Liabilities		
Total Assets	2,825,806	2,825,806
Total Liabilities	(104,473)	(104,473)
Net Assets	2,721,333	2,721,333

	GROUP	
For the year ended 31st March,	2019 Rs.'000	2018 Rs.'000
Revenue and Profit		
Total Revenue	49,895	49,895
Total Profit After Tax	45,746	45,746
Other comprehensive Income	(16,402)	(16,402)

c. The Colombo Fort Land and Building PLC has neither contingent liabilities nor capital commitments in respect of its associates.

As at 31st March,	Holding %	No. of Shares	Cost As at 2019 Rs.'000	Fair Value As at 2019 Rs.'000	No. of Shares 2018	Cost As at 2018 Rs.'000	Fair Value As at 2018 Rs.'000
COMPANY							
Quoted Investments							
Colombo Fort Investments PLC	15.97	1,080,039	35,317	54,218	1,054,726	34,051	68,241
Colombo Investment Trust PLC	11.50	772,005	22,983	46,320	758,283	22,125	60,663
			58,300	100,538		56,176	128,904
Unquoted Investments.							
Capital Investments Limited	46.67	3,499,930	35,349	-	3,499,930	35,349	-
			35,349	-		35,349	-
Carrying Value of Investments in Equity Accounted Investees			93,649			91,525	

15.2 Investment in Joint Venture

Sunquick Lanka (Private) Limited

C.W. Makie PLC has a 49% interest in Sunquick Lanka (Private) Limited, a joint venture formed for the purpose of manufacturing, processing and marketing Co-Ro's products in the form of concentrates and ready to drink (RTD) products marketed under 'Sunquick' brand.

Notes to the Financial Statements contd.

The group's interest in Sunquick Lanka (Private) Limited is accounted for using the equity method in the Consolidated Financial Statements. Summarised financial information of the joint venture and reconciliation with the carrying amount of the investment in the Financial Statements are set out below:

Summary of the Statement of Financial Position

As at 31st March,	2019 Rs.'000	2018 Rs.'000
Summary of the Statement of Profit or Loss		
Revenue	1,475,450	1,041,722
Operating Expenses	(1,376,635)	(136,991)
Other Operating Income	4,732	-
Finance Income	-	1,967
Finance Cost	7,249	(10,065)
Income Tax	(15,225)	-
Other Comprehensive	(348)	-
Total comprehensive income / (expense) for the year	95,223	(42,238)
Share of Profit/(Loss) for the year	46,659	(20,697)

Summarised Statement of Financial Position

Non-Current Assets	427,457	240,747
Current Assets	878,611	888,751
Non-Current Liabilities	-	4,669
Current Liabilities	624,839	538,823
Equity	681,229	586,007
Group's Carrying amount of the investments	333,802	287,143

Equity Reconciliation

Carrying Value as at 1st April	287,143	
Investment made during the year	-	307,840
Share of profit / (loss)	46,659	(20,697)
Carrying Value	333,802	287,143

16. OTHER FINANCIAL ASSETS - NON CURRENT

As at 31st March,	Notes	GROUP		Notes	COMPANY	
		Fair Value 2019 Rs.'000	Fair Value 2018 Rs.'000		Fair Value 2019 Rs.'000	Fair Value 2018 Rs.'000
Quoted Investments - FVOCI/Available-for-Sale	16.1.1	108,355	170,160	16.2.1	1,027	1,536
Unquoted Investments - FVOCI/Available-for-Sale	16.1.2	325,102	276,231	-	-	-
Unit Trusts - FVOCI/Available-for-Sale	16.1.3	193,045	167,482	-	-	-
		626,502	613,873		1,027	1,536
Less : Provision for Impairment in Value of Investment *		(7,070)	(10,245)	-	-	-
		619,432	603,628		1,027	1,536

*Impairment relates to Dutch Dairy international (Private) limited, Far Eastern Exports Limited and Sri Lanka Institute of Nanotechnology (Private) Limited.

As at 31st March,	GROUP					
	No. of Shares	Cost	Fair Value	No. of Shares	Cost	Fair Value
	2019	2019 Rs.'000	2019 Rs.'000	2018	2018 Rs.'000	2018 Rs.'000
16.1 Group						
16.1.1 Quoted Investments						
Banks, Finance & Insurance						
Amana Takaful PLC	402	9	2	4,024	9	3
Arpico Finance Company PLC	333	11	51	333	11	48
Asia Capital PLC	100	-	1	100	-	1
Softlogic Life Insurance PLC	1,000	1	32	1,000	1	23
Central Finance Company PLC	10	-	1	10	-	1
Ceylinco Insurance PLC	22	-	47	22	-	40
Commercial Bank of Ceylon PLC-Voting	303	14	30	300	14	41
DFCC Bank PLC	16,716	1,631	1,146	16,716	431	1,953
First Capital Holdings PLC	100	4	2	3,600	11	114
Hatton National Bank PLC-Voting	10	-	2	10	-	2
HNB Assurance PLC	200	3	23	200	3	17
Housing Development Finance						
Corporation Bank of Sri Lanka	3,600	11	83	100	4	3
Janashakthi Insurance Company PLC	1,800	56	48	1,800	22	48
LOLC Holdings Company PLC	800	1	71	800	1	94
Lanka Ventures PLC	100	1	4	100	1	5
L B Finance PLC	1,156	3	139	1,156	3	137
Merchant Bank of Sri Lanka & Finance PLC	67	1	1	67	1	1
Nation Lanka Finance PLC	625	5	-	625	5	1
National Development Bank PLC	6,328	550	596	6,001	540	798
Nations Trust Bank PLC	12,696	287	1,141	12,180	301	1,003
Pan Asia Banking Corporation PLC	3,000	24	39	3,000	24	49
People's Leasing & Finance PLC	10,000	180	134	10,000	180	158
People's Merchant Finance PLC	270	4	2	270	4	3
Sampath Bank PLC	293	22	53	228	17	68
Seylan Bank PLC-Non-Voting	145	4	5	140	4	12
Seylan Bank PLC-Voting	6	-	-	6	-	1
SMB Leasing PLC	3,610	3	1	3,610	3	2
The Finance Company PLC	120	8	-	120	8	-
Union Bank of Colombo PLC	100	3	1	100	3	1
Vanik Incorporation PLC-Non-Voting	10	-	-	10	-	-
Vanik Incorporation PLC-Voting	100	-	-	100	-	-
Total		2,836	3,655		1,601	4,628
Beverages, Food & Tobacco						
Bairaha Farms PLC	100	1	11	100	1	13
Cargills (Ceylon) PLC	343	9	69	343	9	67
Ceylon Beverage Holdings PLC	276	6	227	276	6	174
Ceylon Cold Stores PLC	64	1	37	64	1	61
Delmah Ceylon Tea Company PLC	80	3	50	80	3	44
Ceylon Tobacco Company PLC	7	-	9	7	-	7
Convenience Foods (Lanka) PLC	90	1	36	90	1	39
Distilleries Company of Sri Lanka PLC	118	1	2	118	1	28
Keells Food Products PLC	219	11	27	219	11	28
Lanka Milk Foods (CWE) PLC	133	3	15	133	3	21
Nestle Lanka PLC	40	4	65	40	4	70
Renuka Foods PLC -Voting	20	-	-	20	-	-
Tea Smallholder Factories PLC	142	3	3	142	3	5
Three Acre Farms PLC	19	-	2	19	-	2
Total		43	553		43	560

Notes to the Financial Statements contd.

As at 31st March,	GROUP					
	No. of Shares	Cost	Fair Value	No. of Shares	Cost	Fair Value
	2019	2019	2019	2018	2018	2018
		Rs.'000	Rs.'000		Rs.'000	Rs.'000
Chemicals and Pharmaceuticals						
CIC Holdings PLC - Voting	4,239	29	163	4,239	29	250
Chemanex PLC	35,194	2,002	2,076	35,194	2	2,232
Haycarb PLC	27	1	3	27	1	3
Industrial Asphalts (Ceylon) PLC	10	1	4	10	1	3
Morison PLC - Non Voting	60	17	25	60	17	31
Morison PLC - Voting	200	4	130	200	4	124
Standard Capital PLC	400	17	22	400	17	22
Total		2,071	2,423		71	2,668
Construction & Engineering						
Access Engineering PLC	-	-	-	74,700	1,500	1,531
Colombo Dockyard PLC	284	2	1	284	2	1
Total		2	1		1,502	1,532
Diversified Holdings						
Aitken Spence PLC	555	10	23	555	10	28
Browns Investments PLC	6,000	19	9	6,000	19	16
Carson Cumberbatch PLC	191	10	31	191	10	32
C T Holdings PLC	223	7	36	223	7	39
Dunamis Capital PLC	206	2	6	206	2	5
Hayleys PLC	9	1	1	1,300	59	2
Hemas Holdings PLC	156,074	8,162	12,133	156,049	7,684	19,491
John Keells Holdings PLC	192	11	30	192	11	31
Richard Pieris and Company PLC	3,705	2	34	3,705	2	47
The Colombo Fort Land & Building PLC	5,089,930	9,173	68,714	5,089,930	9,173	97,727
Melstacorp PLC	400	1	14	400	1	23
Total		17,398	81,031		16,978	117,441
Footwear & Textile						
Hayleys Fabric PLC	409	7	3	409	7	5
Odel PLC	100	1	3	100	1	3
Total		8	6		8	8
Healthcare						
Asiri Hospital Holdings PLC	2,660	6	54	2,660	6	73
Asiri Surgical Hospital PLC	1,499	4	14	1,499	4	15
Ceylon Hospitals PLC (Durdans) - Voting	130	3	10	130	3	10
Ceylon Hospitals PLC (Durdans) - Non Voting	130	2	9	130	2	9
Nawaloka Hospitals PLC	26,666	20	112	26,666	20	123
The Lanka Hospitals Corporation PLC	100	2	4	100	2	6
Total		37	203		37	237

As at 31st March,	GROUP					
	No. of Shares	Cost	Fair Value	No. of Shares	Cost	Fair Value
	2019	2019 Rs.'000	2019 Rs.'000	2018	2018 Rs.'000	2018 Rs.'000
Hotel & Travel						
Aitken Spence Hotel Holdings PLC	140	2	3	140	2	5
Amaya Leisure PLC	277	2	10	267	2	14
Asian Hotels & Properties PLC	200	1	8	200	1	10
Browns Beach Hotels PLC	150	-	2	150	-	2
Ceylon Hotels Corporation PLC	534	2	5	534	2	8
Dolphin Hotels PLC	125	1	3	125	1	3
Eden Hotel Lanka PLC	200	2	3	200	2	3
Galadari Hotels (Lanka) PLC	100	-	1	100	-	1
Hotel Developers (Lanka) PLC	4	-	-	4	-	-
Hotel Sigiriya PLC	14,000	65	-	14,000	65	-
Hunas Falls Hotels PLC	450	19	81	450	19	29
John Keells Hotels PLC	1,506	5	11	1,506	5	14
Mahaweli Reach Hotels PLC	100	1	1	100	1	2
Miramar Beach Hotel PLC	100	1	6	100	1	6
Palm Garden Hotels PLC	56	3	1	56	3	1
Pegasus Hotels of Ceylon PLC	1,093	37	26	1,093	37	31
Renuka City Hotel PLC	600	148	150	600	148	161
Royal Palms Beach Hotels PLC	475	12	8	475	12	9
Tal Lanka Hotels PLC	100	-	1	100	-	2
The Kingsbury PLC	687	3	9	687	3	12
The Fortress Resorts PLC	500	5	5	500	5	5
The Lighthouse Hotel PLC	100	1	3	100	1	4
The Nuwara Eliya Hotels Company PLC	12	4	15	12	4	16
Trans Asia Hotels PLC	400	1	-	400	1	-
Total		315	352		315	339
Information Technology						
E-Channelling PLC	1,162	2	5	1,162	2	7
PC House PLC	1,000	11	-	1,000	11	-
Total		13	5		13	7
Investment Trust						
Ambeon Holdings PLC	1,002	2	9	1,002	2	11
Ceylon Guardian Investment Trust PLC	174	2	11	174	2	14
Ceylon Investment PLC	463	3	17	463	3	20
Colombo Fort Investments PLC	81	2	4	81	2	5
Colombo Investment Trust PLC	140	2	8	140	2	11
Renuka Holdings PLC- Voting	164	1	2	164	1	3
Renuka Holdings PLC- Non Voting	1,180	17	11	1,180	17	19
Total		29	62		29	84

Notes to the Financial Statements contd.

As at 31st March,	GROUP					
	No. of Shares	Cost	Fair Value	No. of Shares	Cost	Fair Value
	2019	2019 Rs.'000	2019 Rs.'000	2018	2018 Rs.'000	2018 Rs.'000
Land & Property						
C T Land Development PLC	167	1	5	167	1	5
City Housing & Real Estate Co. PLC	180	1	1	180	1	1
Colombo Land & Development Company PLC	1,400	2	17	1,400	2	26
Commercial Development Company PLC	600	6	42	600	6	43
East West Properties PLC	1,200	6	21	1,200	6	23
Equity Two PLC	100	1	5	100	1	7
Kelsey Developments PLC	337	4	8	337	4	11
On'ally Holdings PLC	31	-	3	31	-	2
Overseas Realty (Ceylon) PLC	300	2	5	300	2	5
Serendib Land PLC	30	2	39	30	2	44
Seylan Developments PLC	204	1	2	204	1	3
Touchwood Investments PLC	2,400	1	6	2,400	1	6
R I L Property PLC	6,666	53	53	5,000	40	37
Total		80	207		67	214
Manufacturing						
Abans Electricals PLC	240	10	12	240	12	20
ACL Cables PLC	576	2	19	576	2	24
ACL Plastics PLC	100	3	8	100	3	11
ACME Printing & Packaging PLC	1,112,307	3,456	3,917	567,307	3,456	3,347
Bogala Graphite Lanka PLC	200	1	2	200	1	3
Ceylon Grain Elevators PLC	10	-	1	10	-	1
Chevron Lubricants Lanka PLC	12,400	180	776	12,400	180	1,296
Dankotuwa Porcelain PLC	166	3	1	166	3	1
Dipped Products PLC	86	2	7	86	2	7
Hayleys Fibre PLC	105	2	9	105	2	7
Kelani Tyres PLC	360	2	11	360	2	18
Lanka Aluminium Industries PLC	10	-	1	10	-	1
Lanka Cement PLC	100	-	-	100	-	-
Lanka Ceramic PLC	7	-	1	7	-	1
Lanka Tiles PLC	52	1	4	52	1	5
Lanka Walltiles PLC	33	4	2	33	4	3
Pelwatte Sugar Industries PLC	100	-	-	100	-	-
Piramal Glass Ceylon PLC	3,428	6	12	3,428	6	20
Regnis (Lanka) PLC	30	1	2	30	1	3
Richard Pieris Exports PLC	92	3	20	92	3	15
Royal Ceramics Lanka PLC	10,896	114	643	10,896	114	1,149
Samson International PLC	50	1	5	50	1	4
Sierra Cables PLC	2,600	8	4	2,600	8	6
Singer Industries (Ceylon) PLC	85	1	5	33	1	5
Swisstek (Ceylon) PLC	100	-	3	100	-	6
Tokyo Cement Company (Lanka) PLC-Voting	655,235	30,000	13,563	655,235	30,000	35,383
Unisyst Engineering PLC	90	3	1	90	3	2
Total		33,804	19,029		33,805	41,338

As at 31st March,	No. of Shares 2019	Cost 2019 Rs.'000	GROUP		No. of Shares 2018	Cost 2018 Rs.'000	Fair Value 2018 Rs.'000
Motors							
Diesel & Motor Engineering PLC	6	-	2		6	-	3
Lanka Ashok Leyland PLC	90	1	57		90	1	89
Sathosa Motors PLC	66	2	30		66	2	29
The Autodrome PLC	100	2	8		100	2	9
Total		5	97			5	129
Oil Palms							
Bukit Darah PLC	10	3	2		10	3	2
Indo Malay PLC	5	1	7		5	1	7
Selinsing PLC	36	9	26		36	9	22
Total		13	35			13	31
Plantations							
Agalawatte Plantations PLC	100	1	1		100	1	2
Balangoda Plantations PLC	310	4	3		310	4	7
Bogawantalawa Tea Estates PLC	46	-	1		46	-	1
Hapugastenne Plantations PLC	300	5	5		300	5	8
Horana Plantations PLC	120	2	3		120	2	3
Kahawatte Plantations PLC	531	9	20		531	77	20
Kegalle Plantations PLC	200	6	12		200	1	14
Kelani Valley Plantations PLC	200	7	17		200	1	16
Madulsima Plantations PLC	200	4	2		200	2	2
Malwatte Valley Plantations PLC	2,000	2	14		2,000	2	18
Maskeliya Plantations PLC	2,300	42	23		2,300	42	44
Namunukula Plantations PLC	1,200	22	75		1,200	22	106
Talawakelle Tea Estates PLC	700	15	34		700	15	38
Udapussellawa Plantations PLC	200	4	6		200	4	8
Watawala Plantations PLC	10,167	43	189		11,167	43	294
Hatton Plantations PLC	12,000	52	81		11,000	52	94
Total		218	486			273	674
Power and Energy							
Lanka IOC PLC	800	22	14		800	22	24
Panasian Power PLC	1,000	3	3		1,000	3	3
Resus Energy PLC	1,293	19	24		1,000	19	20
Vallibel Power Erathna PLC	3,000	8	18		3,000	8	22
Vidullanka PLC	2,042	2	9		2,042	2	10
Total		54	68			54	78
Service							
John Keells PLC	336	2	16		336	2	20
Paragon Ceylon PLC	100	1	5		100	1	6
Total		3	21			3	26

Notes to the Financial Statements contd.

As at 31st March,	GROUP					
	No. of Shares 2019	Cost 2019	Fair Value 2019	No. of Shares 2018	Cost 2018	Fair Value 2018
		Rs.'000	Rs.'000		Rs.'000	Rs.'000
Stores and Suppliers						
Gestetner of Ceylon PLC	754	16	66	754	16	89
Hunters & Company PLC	24	1	10	24	1	12
Total		17	76		17	101
Telecommunications						
Dialog Axiata PLC	100	2	1	100	2	1
Sri Lanka Telecom PLC	200	3	4	200	3	6
Total		5	5		5	7
Trading						
Brown & Company PLC	100	3	5	100	3	7
Ceylon & Foreign Trades PLC	10,000	5	32	10,000	5	47
Singer (Sri Lanka) PLC	90	3	2	90	3	4
Tess Agro PLC	2,053	2	1	2,053	2	2
Total		13	40		13	60
Total Quoted Investments		56.964	108.355		54.852	170.160

As at 31st March,	GROUP					
	No. of Shares	Cost	Fair Value	No. of Shares	Cost	Fair Value
	2019	2019	2019	2018	2018	2018
		Rs. '000	Rs. '000		Rs. '000	Rs. '000
16.1.2 Unquoted Investments						
Asia Pacific Golf Courses Limited	2,500	250	250	2,500	250	250
Ceylon Biscuits Limited	5,041,680	30	305,326	5,041,680	30	251,328
Dacreel Ceylon Limited	1	-	-	1	-	-
Dutch Dairy International Limited	125,000	5,400	5,400	125,000	5,400	5,400
Far Eastern Exports Limited	160,500	1,670	1,757	160,500	1,670	1,757
Fortland Finance Limited	31,500	318	-	31,500	318	-
International Manufacturers Company Limited	3,300	23	23	3,300	23	23
Rubber & Allied Products Limited	5,393	-	-	-	-	-
Srilanka Institue of Nanotechnology (Private) limited	3,814,182	50,000	12,336	3,814,182	50,000	17,463
York Conventions (Private) Limited	1	10	10	1	10	10
Total		57,701	325,102		57,701	276,231

16.1.3 Unit Trusts							
Ceybank Unit Trust	13,580,829	138,708	188,326		13,580,829	138,708	162,708
Comtrust Equity Fund	94,856	1,835	1,588		94,856	1,835	1,844
Pyramid Unit Trust	87,321	2,447	3,131		87,321	2,447	2,930
Total		142,990	193,045			142,990	167,482

Sector classification and market value per share are based on the official valuation list published by the Colombo Stock Exchange.

As at 31st March,	COMPANY					
	No. of Shares	Cost	Fair Value	No. of Shares	Cost	Fair Value
	2019	2019 Rs. '000	2019 Rs. '000	2018	2018 Rs. '000	2018 Rs. '000
16.2 Company						
16.2.1 Quoted Investments						
Banks, Finance & Insurance						
People's Leasing Company PLC	10,000	180	134	10,000	180	158
The Finance Company PLC	100	9	-	100	9	-
Total		189	134		189	158
Beverages, Food & Tobacco						
Ceylon Beverage PLC	226	1	186	226	1	142
Total		1	186		1	142
Manufacturing						
Royal Ceramic Lanka PLC	10,890	114	643	10,890	114	1,148
Total		114	643		114	1,148
Plantations						
Namunukula Plantations PLC	1,000	15	64	1,000	15	88
Total		15	64		15	88
Total		319	1,027		319	1,536

Sector classification and market value per share are based on the official valuation list published by the Colombo Stock Exchange.

As at 31st March,	Notes	GROUP		COMPANY	
		Fair Value 2019	Fair Value 2018	Fair Value 2019	Fair Value 2018
		Rs.'000	Rs.'000	Rs.'000	Rs.'000
16.3 Other Financial Assets - Current					
Quoted Investments - Held-for-trading	16.3.1	561,624	739,295	-	-
Unit Trusts - Held-for-trading	16.3.2	6,728	8,346	-	-
Other long term investments		-	-	-	-
		568,352	747,641	-	-
Less : Provision for Impairment in Value of Investment		-	-	-	-
		568,352	747,641	-	-

Notes to the Financial Statements contd.

The movement of the financial assets at fair value through profit or loss is as follows;

	GROUP	
	Fair Value 2019 Rs.'000	Fair Value 2018 Rs.'000
Investment in Unit Trust	8,346	8,275
Equity Investments	739,295	751,326
	747,641	759,601
Additions		
Investment in Unit Trust	-	44
Equity Investments	11,936	40,639
	11,936	40,683
Disposals		
Equity Investments	(22,666)	(92,852)
	(22,666)	(92,852)
Market Fair value changes		
Investment in Unit Trust	(1,617)	26
Equity Investments	(166,942)	40,182
	(168,559)	40,208
At the end of the year		
Investment in Unit Trust	6,729	8,346
Equity Investments	561,623	739,295
	568,352	747,641

As at 31st March,	Group					
	No. of Shares	Cost	Fair Value	No. of Shares	Cost	Fair Value
	2019	2019	2019	2018	2018	2018
		Rs. '000	Rs. '000		Rs. '000	Rs. '000
16.3.1 Quoted Investments						
Banks, Finance & Insurance						
Alliance Finance Company PLC	80,000	353	4,288	80,000	353	5,255
Amana Takaful PLC	75,000	753	210	750,000	858	524
Softlogic Life Insurance PLC	100,000	284	3,150	100,000	284	2,259
Central Finance Company PLC	38,777	744	3,277	38,440	710	3,840
Commercial Bank of Ceylon PLC-Non-Voting	111,867	3,905	9,397	110,000	3,707	11,440
Commercial Bank of Ceylon PLC-Voting	989,327	32,081	97,646	976,770	30,323	132,645
Hatton National Bank PLC- Non-Voting	56,033	2,171	8,237	55,511	2,071	10,347
Hatton National Bank PLC-Voting	301,729	13,254	52,802	299,498	12,715	73,377
HNB Assurance PLC	100,000	1,308	11,570	100,000	1,308	8,400
Housing Development Finance						
Corporation Bank of Sri Lanka	105,802	7,478	7,406	105,802	7,478	12,358
LOLC Finance PLC	79,400	544	246	79,400	544	310
LOLC Holdings PLC	394,000	939	35,027	394,000	939	46,492
Lanka Ventures PLC	339,700	11,404	13,214	339,700	11,404	16,441
Merchant Bank of Sri Lanka & Finance PLC	124,879	8,170	1,299	124,879	8,170	1,623
Nation Lanka Finance PLC	11,250	68	7	11,250	68	11
National Development Bank PLC	22,040	949	2,076	20,900	828	2,782
Nations Trust Bank PLC	161,090	4,299	14,571	158,643	4,078	12,803
Pan Asia Banking Corporation PLC	467,100	4,703	6,026	467,100	4,661	7,660
People's Merchant Finance PLC	1,500	27	14	1,500	27	17
Sampath Bank PLC	116,626	10,956	21,004	89,803	7,483	26,941
Seylan Bank PLC-Non-Voting	288,321	5,033	10,351	276,991	4,410	15,262
Union Bank of Colombo PLC	384,100	7,685	4,225	384,100	7,685	4,916
Total		117,108	306,043		110,103	395,704
Beverages, Food & Tobacco						
Cargills (Ceylon) PLC	146,057	4,386	29,211	146,057	4,386	28,467
Ceylon Cold Stores PLC	9,320	177	5,359	9,320	177	8,854
Delmah Ceylon Tea Company PLC	1,428	86	885	1,428	86	792
Ceylon Tobacco Company PLC	3,500	140	4,690	3,500	140	3,640
Keells Food Products PLC	3,570	174	446	3,570	174	464
Lanka Milk Foods (CWE) PLC	133	4	15	133	4	21
Nestle Lanka PLC	4,700	404	7,636	4,700	404	8,220
Renuka Agri Foods PLC	91,560	307	183	91,560	307	211
Renuka Foods PLC - Voting	223,770	4,295	2,931	223,770	295	3,625
Renuka Foods PLC - Non Voting	1,914	24	19	1,914	24	24
Three Acre Farms PLC	25,000	216	2,457	25,000	216	2,800
Total		10,213	53,832		6,213	57,118

Notes to the Financial Statements contd.

As at 31st March,	GROUP					
	No. of Shares	Cost	Fair Value	No. of Shares	Cost	Fair Value
	2019	2019 Rs. '000	2019 Rs. '000	2018	2018 Rs. '000	2018 Rs. '000
Chemicals and Pharmaceuticals						
Chemanex PLC	17,700	1,558	1,044	17,700	1,558	1,124
Haycarb PLC	345	10	44	345	10	41
Union Chemicals Lanka PLC	100	1	40	-	-	-
Total		1,569	1,128		1,568	1,165
Construction & Engineering						
Colombo Dockyard PLC	16,380	927	868	16,380	927	1,360
MTD Walkers PLC	68,845	4,000	1,019	68,845	4,000	1,411
Total		4,927	1,887		4,927	2,771
Diversified Holdings						
Browns Investments PLC	706,000	1,933	1,059	706,000	1,933	1,906
Carson Cumberbatch PLC	664	81	106	664	81	112
Dunamis Capital PLC	60,875	419	1,845	60,875	419	1,400
Hayleys PLC	100,016	2,372	16,803	100,016	2,372	20,073
Hemas Holdings PLC	21,653	432	1,624	20,888	367	2,609
John Keells Holdings PLC	69,137	5,686	10,785	69,137	5,686	11,034
Richard Pieris & Company PLC	4,740	11	44	4,740	11	61
Sunshine Holdings PLC	712	24	33	707	23	40
Vallibel One PLC	104,000	2,600	1,487	104,000	2,600	2,350
Total		13,558	33,786		13,493	39,585
Footwear & Textile						
Hayleys Fabric PLC	8,590	194	73	8,590	194	107
Odel PLC	1,500	23	39	1,500	23	39
Total		217	112		217	146
Healthcare						
Asiri Hospital Holdings PLC	353,000	895	7,130	353,000	895	9,708
Asiri Surgical Hospital PLC	112,500	277	1,069	112,500	277	1,148
Ceylon Hospitals PLC (Durdans) -Voting	13,330	301	964	13,330	301	1,056
The Lanka Hospitals Corporation PLC	33,000	489	1,442	33,000	489	1,980
Total		1,962	10,605		1,962	13,891

As at 31st March,	GROUP					
	No. of Shares	Cost	Fair Value	No. of Shares	Cost	Fair Value
	2019	2019	2019	2018	2018	2018
		Rs. '000	Rs. '000		Rs. '000	Rs. '000
Hotel & Travel						
Aitken Spence Hotel Holdings PLC	100,625	1,856	2,385	100,625	1,856	3,371
Amaya Leisure PLC	67,443	2,335	2,509	64,798	2,223	3,421
Asian Hotels & Properties PLC	72,000	989	3,017	72,000	989	3,614
Ceylon Hotels Corporation PLC	10,478	254	96	10,478	254	157
Citrus Leisure PLC	168,714	4,029	709	168,714	4,029	1,265
Dolphin Hotels PLC	20,000	275	530	20,000	275	520
Eden Hotel Lanka PLC	350,000	7,006	4,725	350,000	7,006	5,320
Galadari Hotels (Lanka) PLC	7,000	60	48	7,000	60	60
Hikkaduwa Beach Resort PLC	33,742	675	125	33,742	675	243
John Keells Hotels PLC	530,416	8,907	3,978	530,416	8,907	4,933
Palm Garden Hotels PLC	15,164	711	280	15,164	711	356
Pegasus Hotels of Ceylon PLC	22,666	499	544	22,666	499	635
Renuka City Hotel PLC	12,740	897	3,185	12,740	897	3,410
Royal Palms Beach Hotels PLC	15,700	629	253	15,700	629	283
Serendib Hotels PLC-Non-Voting	31,250	296	394	31,250	296	469
Tal Lanka Hotels PLC	19,500	182	183	19,500	182	330
Tangerine Beach Hotels PLC	11,400	348	463	11,400	348	516
The Fortress Resorts PLC	50	1	-	50	1	1
The Lighthouse Hotel PLC	114,800	1,948	2,939	114,800	1,948	4,569
Total		31,897	26,363		31,785	33,473
Investment Trust						
Ceylon Guardian Investment Trust PLC	151,420	1,517	9,358	151,420	1,517	12,416
Ceylon Investment PLC	595,848	2,862	21,748	595,848	2,862	25,621
Guardian Capital Partners PLC	113,000	8,253	2,294	113,000	8,253	3,153
Renuka Holdings PLC-Voting	1,147,000	5,852	2,294	1,147,000	5,852	2,638
Total		18,484	35,694		18,484	43,829

Notes to the Financial Statements contd.

As at 31st March,	GROUP					
	No. of	Cost	Fair	No. of	Cost	Fair
	Shares		Value	Shares		Value
	2019	2019	2019	2018	2018	2018
		Rs. '000	Rs. '000		Rs. '000	Rs. '000
Land & Property						
C T Land Development PLC	3,333	14	95	3,333	14	104
Colombo Land & Development Company PLC	522,460	4,783	6,165	522,460	4,783	9,822
East West Properties PLC	48,000	338	840	48,000	338	922
Equity Two PLC	25,200	217	1,336	25,200	217	1,807
Property Development PLC	8,000	133	928	8,000	133	720
Serendib Engineering Group PLC	-	-	-	1,576,951	55,283	12,458
Touchwood Investments PLC	600,000	10,602	-	600,000	10,602	-
Total		16,087	9,364		71,370	25,833
Manufacturing						
ACL Cables PLC	72,000	1,485	2,326	72,000	1,485	2,952
ACME Printing & Packaging PLC	59,474	2,300	208	397,881	2,300	2,347
Bogala Graphite Lanka PLC	11,200	37	137	11,200	37	155
Ceylon Grain Elevators PLC	30,000	302	1,563	30,000	302	2,145
Chevron Lubricants Lanka PLC	20,000	387	1,252	20,000	387	2,090
Dankotuwa Porcelain PLC	52,500	414	278	52,500	414	362
Dipped Products PLC	35,024	1,562	2,732	35,024	1,562	2,995
Hayleys Fibre PLC	489	21	42	489	21	35
Kelani Cables PLC	400	7	27	400	7	37
Kelani Tyres PLC	160	1	5	160	1	8
Lanka Cement PLC	5,000	39	12	5,000	39	19
Lanka Tiles PLC	25,000	630	1,750	25,000	630	2,493
Lanka Walltiles PLC	100,000	3,947	6,000	100,000	3,947	9,840
Orient Garments PLC	610,320	13,193	4,272	610,320	13,193	4,272
Pelwatte Sugar Industries PLC	5,000	96	-	5,000	96	-
Piramal Glass Ceylon PLC	250,000	1,400	875	250,000	1,400	1,450
Regnis (Lanka) PLC	137,853	2,464	8,630	137,853	2,464	13,813
Richard Pieris Exports PLC	40,600	1,066	8,607	40,600	1,066	6,825
Sierra Cables PLC	824,000	1,515	1,318	824,000	1,515	1,813
Singer Industries (Ceylon) PLC	82,680	844	4,795	31,800	844	4,646
Teejay Lanka PLC	10,000	150	304	10,000	150	319
Tokyo Cement Company						
(Lanka) PLC-Non-Voting	150,776	7,890	2,981	150,776	7,890	7,633
Tokyo Cement Company (Lanka) PLC-Voting	593,770	19,418	11,311	593,770	19,418	28,500
Total		59,168	59,425		59,168	94,749

As at 31st March,	No. of Shares 2019	Cost 2019 Rs. '000	GROUP		Cost 2018 Rs. '000	Carrying Value 2018 Rs. '000
			Fair Value 2019 Rs. '000	No. of Shares 2018		
Motors						
United Motors Lanka PLC	34,881	334	2,330	34,881	334	2,651
Total		334	2,330		334	2,651
Oil Palms						
Bukit Darah PLC	548	121	110	548	121	113
Total		121	110		121	113
Plantations						
Maskeliya Plantations PLC	-	-	-	8,000	145	154
Watawala Plantations PLC	360,000	438	6,660	360,000	438	10,404
Hatton Plantations PLC	432,000	-	2,894	432,000	-	3,374
Total		438	9,554		583	13,932
Power and Energy						
Lanka IOC PLC	174,600	5,418	3,038	174,600	5,418	5,255
Panasian Power PLC	29,200	88	88	29,200	88	79
Resus Energy PLC	142,250	2,813	2,632	110,000	2,098	2,189
Vallibel Power Erathna PLC	39,017	86	230	39,017	86	285
Vidullanka PLC	652,053	1,030	2,869	652,053	1,030	3,065
Total		9,435	8,867		8,720	10,873
Service						
John Keells PLC	20,000	383	960	20,000	383	1,182
Total		383	960		383	1,182
Telecommunications						
Dialog Axiata PLC	15,000	224	137	15,000	224	207
Total		224	137		224	207
Trading						
Brown & Company PLC	28,900	2,745	1,387	28,900	2,745	1,994
Singer (Sri Lanka) PLC	2,000	3	50	2,000	3	80
Total		2,748	1,437		2,748	2,074
Total Financial Assets classified as Held for Trading						
		288,873	561,624		328,403	739,295
16.3.2 Unit Trusts						
Bartleet Transcapital Limited	10,000	200	200	10,000	200	200
Ceybank Unit Trust	318,639	5,037	5,665	318,639	5,037	7,230
National Equity Fund	12,000	120	296	12,000	120	385
NDB Wealth Growth & Income Fund	15,826	291	567	15,826	291	531
Total Unit Trusts		5,648	6,728		5,648	8,346

Notes to the Financial Statements contd.

16(a) Financial Assets and Liabilities by Fair Value Hierarchy - Group

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique.

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities.

Level 2: other techniques for which all inputs with significant effect on the recorded fair values are observable, either directly or indirectly.

Level 3: techniques that use inputs that have a significant effect on the recorded fair value that are not based on observable market data.

The Group held the following financial instruments carried at fair value in the statement of financial position:

As at 31st March	Level 1		Level 2		Level 3	
	2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000
Quoted Investments - FVOCI/Available-for-Sale	108,355	170,160	-	-	-	-
Quoted Investments - Held-for-trading	561,624	739,295	-	-	-	-
Unquoted Investments - FVOCI/Available-for-Sale	-	-	-	-	325,102	276,231
Unit Trusts - FVOCI/Available-for-Sale	193,045	167,482	-	-	-	-
Unit Trusts - Held-for- trading	6,728	8,346	-	-	-	-

Level	Type	Valuation technique	Significant unobservable inputs	Inter-relation between significant unobservable inputs and fair value measurements
Level 3	Equity securities	Cash flow valuation	Cash inflows and outflows related to investments Discount rate applicable to relevant investments	Change in cashflow assumption would increase/ (decrease) value of investment. The estimated fair value of investment would change if discount rate changes.

16(b) Financial Assets and Liabilities by Fair Value Hierarchy - Company

The Company uses the fair value hierarchy given above for determining and disclosing the fair value of financial instruments.

The Company held the following financial instruments carried at fair value in the statement of financial position:

As at 31st March	Level 1		Level 2		Level 3	
	2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000
Quoted Investments - Available-for-Sale	1,027	1,536	-	-	-	-

17. DEFERRED TAX ASSETS

As at 31st March,	GROUP		COMPANY	
	2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000
Balance at the beginning of the Year	384,453	188,285	-	-
Adjustment of Initial application of SLFRS 9	974	-	-	-
	385,427	188,285	-	-
Acquisition of Subsidiaries	(33)	441	-	-
Origination of Temporary Differences	-	-	-	-
Recognised in Profit/Loss	388,784	192,090	-	-
Recognised in Other Comprehensive Income	(286,808)	20,542	-	-
Transfer to/ From Deferred Tax Liabilities (Note 26)	(24,464)	(16,905)	-	-
Balance at the end of the Year	462,906	384,453	-	-

As at 31st March,	GROUP		COMPANY	
	2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000
17.1 Deferred Tax Composition - Group				
Property Plant and Equipment	(189,023)	(74,713)	-	-
Defined Benefit Obligations	79,426	73,130	-	-
Impairment of Debtors	40,574	10,376	-	-
Impairment of Inventory	2,789	-	-	-
Tax loss carried forward	529,140	375,660	-	-
Deferred Tax Assets	462,906	384,453	-	-

18. INVENTORIES

Raw Materials	2,139,780	2,359,693	-	-
Growing Crop-Nurseries	25,744	46,281	-	-
Consumable Stock	30,519	29,363	-	-
Work-in-Progress	189,729	199,802	-	-
Finished Goods	3,338,623	3,365,275	-	-
Motor Vehicles	521,637	1,395,451	-	-
Right to recover finish goods	101,933	-	-	-
Goods-in-Transit	949,170	283,723	-	-
	7,297,135	7,679,588	-	-
Less: Net provision for Obsolete Inventories *	(307,105)	(193,904)	-	-
	6,990,030	7,485,684	-	-

19. TRADE AND OTHER RECEIVABLES

Trade Debtors	6,966,532	6,973,167	4,621	363
Less: Impairment Loss on Trade Receivable *	(517,943)	(394,678)	-	-
	6,448,589	6,578,489	4,621	363
Other Receivables	727,837	843,104	10,759	619
Deposits & Prepayments	587,057	1,122,466	1,960	1,386
Staff Loan	138,585	133,017	-	-
Other Tax Recoverable (Note -19.1)	385,450	357,565	-	-
	1,838,929	2,456,152	12,720	2,005
	8,287,518	9,034,641	17,341	2,368

19.1 Other Tax Recoverable

WHT Recoverable	2,471	1,622	-	-
NBT Recoverable	1,549	971	-	-
VAT Recoverable	104,106	108,054	-	-
ESC Recoverable	274,698	230,480	-	-
Other Tax Recoverable	2,626	16,438	-	-
	385,450	357,565	-	-

Notes to the Financial Statements contd.

20. CASH AND CASH EQUIVALENTS

As at 31st March,	GROUP		COMPANY	
	2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000
Favourable Balance				
Fixed Deposits	341,110	626,684	4,875	115,875
Other Cash & Cash Equivalents	-	-	-	-
Cash at Bank	582,072	1,374,689	9,568	12,852
Cash in Hand	21,099	23,745	8	8
	944,281	2,025,118	14,451	128,735
Bank Overdraft	(3,102,465)	(3,295,897)	-	(106,264)
Cash & Cash Equivalents as per the Statement of Cash Flows	(2,158,184)	(1,270,779)	14,451	22,471

20.1 Security Details Over Bank Overdraft Facilities

20.1.1 Company

The bank overdraft facility of the Company is secured over the fixed deposit of Rs.111 million. The overdraft facility was cancelled during the year.

20.1.2 Group

E.B. Creasy & Company PLC

a) The bank overdraft facility of Hatton National Bank PLC is secured by

1. Existing primary concurrent floating mortgage totaling to Rs. 36 million over land & building situated at No. 98, Sri Sangaraja Mawatha, Colombo 10.
2. Existing tertiary mortgage bond totaling to Rs. 100 Mn over property at No.98, Sri Sangaraja Mawatha, Colombo 10.

b) The bank overdraft facilities of Sampath Bank PLC is secured by Lankem Ceylon PLC shares to the value Rs. 20 million lodged in the custodial accounts.

c) The bank overdraft facilities of Bank of Ceylon is secured by 2.5 million numbers of Lankem Ceylon PLC shares.

d) The bank overdraft Facilities of DFCC Bank is secured by a tri-partite agreement for Rs. 50,000,000 entered in to between the bank, the company and the stoke broker to assign up to 10,000,000 ordinary shares of Laxapana Batteries PLC held by the company in favor of DFCC Bank PLC.

Candy Delights Limited

The bank overdraft is secured on the land, buildings and stocks at Unit Three - Industrial Estate, Ekala, Ja-Ela

Agarapatana Plantations Limited

Bank overdraft facilities of Agarapatana Plantations Limited, a subsidiary of the Company are secured by pledging the following:

- (a) Primary mortgage over leasehold rights to bare land and building of Glenanore and Haputale Estates including machinery fixed at each of these estates (facility amount Rs. 200 million and Rs.30 million) from Bank of Ceylon .
- (b) Primary mortgage over leasehold rights to bare land and building of Torrington Estate , Stock in trade ,Movable Assets , Book Debts and Corporate Guarantee from Lankem Development PLC (facility amount Rs. 160 million) from Indian Bank.
- (C) Deposit of original title deeds and plan relating to Dambettenne Estate (facility amount Rs. 20 million) from Commercial Bank of Ceylon PLC.

Kotagala Plantations PLC

Bank overdraft facilities obtained from Seylan Bank PLC (facility amount Rs.50 million) and Standard Chartered Bank (facility amount Rs.250 million) of Kotagala Plantations PLC, a subsidiary of the Company, are secured by pledging the following,

- (a) Primary mortgages over leasehold rights of the estate lands and buildings, fixed and floating assets of Yulliefield and Chrystlers Farm Estates.

Primary mortgages over leasehold rights of the estate lands and buildings of Sorana Estates.

- (b) Primary mortgages over leasehold rights of the estate lands and buildings, fixed and floating assets of Hedigalle and Eduragala Estates.

21. ASSETS HELD FOR SALE

As at 31st March,	GROUP	
	2019 Rs.'000	2018 Rs.'000
Leased land held-for-sale (Note 21.1)	67,365	60,000
	-	-
	67,365	60,000

21.1 Lankem Ceylon PLC

Lankem Ceylon PLC, a subsidiary, has classified its cost of leased land situated at Nawam Mawatha as held-for-sale since the Board of Directors has decided to proceed with selling the asset. The cost of the land is Rs.60 million and Rs.7.3 million as at 31st March 2019 and there are no cumulative income or expenses included in OCI relating to the disposal asset.

22. STATED CAPITAL

As at 31st March,	2019		2018	
	Number of Shares	Value of Shares Rs.'000	Number of Shares	Value of Shares Rs.'000
Fully-Paid Ordinary Shares				
At the beginning of the Year	180,000,000	327,000	180,000,000	327,000
At the end of the Year	180,000,000	327,000	180,000,000	327,000

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share on a poll at meetings of the Company.

23. CAPITAL RESERVES

GROUP	Property Development Reserve Rs.'000	Capital Redemption Reserve Fund Rs.'000	Total Rs.'000
Balance as at 31.03.2018	15,190	4,868	20,058
Balance as at 31.03.2019	15,190	4,868	20,058
COMPANY			
Balance as at 31.03.2018	10,000	-	10,000
Balance as at 31.03.2019	10,000	-	10,000

23.1 Nature and the Purpose of Reserves

23.1.1 Property Development Reserve

Represents of the amount set aside for future development of properties.

23.1.2 Capital Redemption Reserve Fund

The amount set aside out of retained earnings for redemption of preference shares.

Notes to the Financial Statements contd.

24. LOANS & BORROWINGS

As at 31st March,	GROUP		COMPANY	
	2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000
Payable after one year				
Lease Obligation - JEDB/SLSPC (Note 24.1.a)	348,450	356,072	-	-
Lease Obligation- Others (Note 24.2.a)	88,894	52,774	3,261	4,731
Loans - Others (Note 24.3)	6,832,749	5,966,546	104,552	161,731
Debentures (Note 24.4)	430,000	680,000	-	-
	7,700,093	7,055,392	107,813	166,462
Payable within one year				
Lease Obligation - JEDB/SLSPC (Note 24.1.a)	7,623	7,623	-	-
Lease Obligation - Others (Note 24.2.a)	22,548	156,775	1,470	1,240
Loans - Others (Note 24.3)	4,020,984	4,029,929	45,106	69,889
Debentures (Note 24.4)	250,000	250,000	-	-
Trust receipt Loans (Note 24.6)	1,615,777	2,651,115	-	-
Other Short Term Loans	4,933,056	5,446,568	-	-
	10,849,988	12,542,010	46,576	71,129
	18,550,081	19,597,402	154,389	237,591

24.1 Lease Obligation - JEDB/SLSPC

Gross Lease Obligations	603,583	625,752	-	-
Payments made during the Year	(22,170)	(22,170)	-	-
Less: Finance cost applicable for future Period	(225,340)	(239,887)	-	-
Net Lease Obligations	356,073	363,695	-	-

24.1.a Analysis of Lease Obligations by Year of Repayment

Lease Obligations Repayable within One Year from Year end

Gross Lease Obligations	22,170	22,170	-	-
Less: Finance cost applicable for future Period	(14,547)	(14,547)	-	-
Net Lease Obligations Repayable within One Year from the Year end	7,623	7,623	-	-

Lease Obligations Repayable within Two to Five Years

Gross Lease Obligations	66,511	88,680	-	-
Less: Finance cost applicable for future Period	(41,765)	(53,670)	-	-
Net Lease Obligations Repayable within Two to Five Years	24,746	35,010	-	-

Lease Obligations Repayable after Five Years

Gross Lease Obligations	492,732	492,732	-	-
Less: Interest in Suspense	(169,028)	(171,670)	-	-
Net Lease Obligations Repayable after Five Years	323,704	321,062	-	-
Net Lease Liability Repayable after One Year	348,450	356,072	-	-

Kotagala Plantations PLC

24.1.1 Net obligation to lessor represents amounts payable to JEDB/SLSPC in relation to the estates leased by Kotagala Plantations PLC.

24.1.2 In terms of the amendment of leases, Rs.22.2million is payable each year as lease rental, commencing from 22nd June, 1996 till the end of the lease on 21st June, 2045. This amount is to be inflated annually by the Gross Domestic Product (GDP) deflated in the form of contingent rent.

The charge to the statement of comprehensive income for the current financial year on account of interest is Rs.80.6 million (2017/18 - Rs.79.5 million).

As at 31st March,	GROUP		COMPANY	
	2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000
24.2 Lease Creditors - Others				
Balance at the beginning	225,594	264,747	8,140	-
Leases acquired during the Year	3,381	9,269	-	8,682
Payments made during the Year	(114,873)	(48,422)	(2,171)	(543)
Less: Interest in Suspense	(2,660)	(16,045)	(1,237)	(2,168)
Balance at the end	111,442	209,549	4,732	5,971

24.2.a Analysis of Lease Obligations by Year of Repayment

Lease Obligations Repayable within One Year from Year End

Gross Liability	14,586	168,239	2,171	2,171
Less : Interest in Suspense	7,962	(11,464)	(701)	(931)
Net Lease Obligations Repayable within One Year from Year End	22,548	156,775	1,470	1,240

Lease Obligations Repayable within Two to Five Years

Gross Liability	93,475	57,355	3,799	5,968
Less : Interest in Suspense	(4,581)	(4,581)	(538)	(1,237)
Net Lease Obligations Repayable within Two to Five Years	88,894	52,774	3,261	4,731

24.3 Term Loans

Balance at the beginning	9,996,475	7,882,766	231,620	182,500
Loans obtained during the Year	5,315,646	4,919,591	-	103,250
Re-Schedule During the year	117,399	-	-	-
Effect of Exchange Fluctuations	71,782	20,660	-	-
Payments made during the Year	(4,647,569)	(2,826,542)	(81,962)	(54,130)
Balance at the end	10,853,733	9,996,475	149,658	231,620

Payable within one Year	(4,020,984)	(4,029,929)	(45,106)	(69,889)
Payable after one Year	6,832,749	5,966,546	104,552	161,731

24.4 Kotagala Plantations PLC a Subsidiary has issued Rs.1000 Mn rated secured redeemable listed Debentures. The details are as follows;

24.4.1 Rated Secured Redeemable Listed Debentures

Debenture Type	Year of Issue	Year of Redemption	Colombo Stock Exchange Listing	Issued Value Rs. million	Interest Payable Frequency	Interest Rate %	Balance as at 31st March, 2019 Rs. million	Balance as at 31st March, 2018 Rs. million	Bond Rate of Comparable Government Security %
A	2014	2018	Listed	250	Bi- Annually	14.25	-	250	11.41
B	2014	2019	Listed	250	Bi- Annually	14.50	250	250	12.02
C	2014	2020	Listed	250	Bi- Annually	14.75	250	250	12.12
D	2014	2021	Listed	250	Bi- Annually	15.00	250	250	12.57
							750	1,000	

Notes to the Financial Statements contd.

24.4.2 Trading at Colombo Stock Exchange

Debtenture Type	Highest Value (Rs.)	Lowest Value (Rs.)	Last Traded Value (Rs.)
A	Not Traded	Not Traded	Not Traded
B	Not Traded	Not Traded	Not Traded
C	Not Traded	Not Traded	Not Traded
D	Not Traded	Not Traded	Not Traded

24.5 Assets Pledged as Security Against Interest Bearing Borrowings

	Company / Lender	Balance as at 31.03.2019 Rs. million	Balance as at 31.03.2018 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
The Colombo Fort Land & Building PLC	Sampath Bank PLC	72.00	96.00	AWPLR + 2.5	Five equal annual instalments of Rs.24 million commencing from December, 2017.	Lien over 1,500,000 C M Holdings PLC shares, 142,000 E.B. Creasy & Company PLC shares and 2,200,000 Lankem Ceylon PLC shares owned by the Company.
	Commercial Bank of Ceylon PLC Term Loan I	-	37.50	AWPLR + 1.5	Eight equal bi-annual payments of Rs.12.5 million each.	Tertiary Mortgage Bond No. 371 dated 12.03.2015 for Rs.100 million over the property at No.53-1/1, 53-2/1 and 57, Sir Baron Jayathilaka Mawatha, Colombo 1 belonging to the Company.
	Commercial Bank of Ceylon PLC Term Loan II	75.00	95.00	AWPLR + 3	Twenty equal quarterly instalments of Rs.5 million each.	Leeway of Rs.62.50 million available in existing Tertiary Mortgage Bond No.371 dated 12.03.2015 for Rs.100 million and Quaternary Mortgage Bond for Rs.87.50 million over the property at No.53- 1/1, 53-2/1 and 57, Sir Baron Jayathilaka Mawatha, Colombo 01 belonging to the Company.
	L B Finance PLC	2.66	3.12	12.5	In 36 monthly instalments of Rs.124,119/- each together with interest payable monthly on reducing balance of capital.	
		149.66	231.62			
E.B. Creasy & Company PLC	Hatton National Bank PLC	29.66	73.08		In 59 equal monthly instalments of Rs.3,340,000/- and final instalment of Rs.2,940,000/-.	Quintic Floating Mortgage Bond for Rs.200 million over commercial property situated at No. 98, Sri Sangaraja Mawatha, Colombo 10.
	Sampath Bank PLC Term Loan I	56.90	-		Each sub loans to be paid in 60 monthly instalments along with interest.	Loan agreement for respective sub loan amounts and mortgage over respective machinery to be imported and installed at the factory premises at Millewa estate Millewa.

	Company / Lender	Balance as at 31.03.2019 Rs. million	Balance as at 31.03.2018 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
E.B. Creasy & Company PLC (Contd.)	Sampath Bank PLC Term Loan II	6.74	8.14		In 71 equal monthly instalments of Rs.117,000/- and a final instalment Rs.186,000/-.	Term loan Agreement for Rs.8,493,000/- promissory Note for Rs.8,493,000/-.
	Commercial Bank of Ceylon PLC Term Loan I	14.80	34.93		In 24 equal monthly instalment of Rs.1,830,000 each and a final instalment Rs. 1,834,164.86 together with interest.	Primary Mortgage Bond for Rs.100 million over industrial machinery imported through the Bank for the expansion of the personal care unit and installed at Millewa, Padukka to be executed.
	Commercial Bank of Ceylon PLC Term Loan II	34.87	53.24		In 59 equal monthly instalments of Rs.1,670,000/- each and final instalment of Rs.1,470,000/-.	Primary Mortgage Bond for Rs.100 million over the machinery to be imported by the Company.
	Commercial Bank of Ceylon PLC Term Loan III	93.00	121.21		In 59 equal monthly instalments of Rs.2,350,000/- each and final instalment of Rs.1,350,000/-.	Primary Mortgage Bond to be executed for Rs.140,000,000/- over machinery.
	Nations Trust Bank PLC Term Loan I	49.99	99.99		47 monthly equal capital instalments of Rs.4,167,000/- and a final capital instalment of Rs.4,151,000/-.	Loan agreement for Rs.200 million.
	Nations Trust Bank PLC Term Loan II	25.15	48.55		35 monthly equal capital instalments of Rs.1,950,000/- and a final capital instalment of Rs.1,750,000/-.	Term loan agreement for Rs.70 million.
	Nations Trust Bank PLC Term Loan III	18.13	25.38		46 equal monthly instalments of Rs.702,000/- and final instalment of Rs.708,000/-.	Term loan agreement for Rs. 33 million.
	DFCC Bank	161.11	-		36 monthly instalments.	A promissory note for Rs. 200,000,000 from the borrower.
		490.35	464.52			
E. B. Creasy Logistics Limited	Sampath Bank PLC Term Loan I	8.04	10.21		Repayable over 48 equal monthly instalments of Rs.307,604/-.	Mortgage executed over movable machinery and racking equipment import under facility.
	Sampath Bank PLC Term Loan II	2.49	3.09		Repayable over 48 equal monthly instalments of Rs.88,510/-.	
	Sampath Bank PLC Term Loan III	1.74	2.20		Repayable over 48 equal monthly instalments of Rs.65,201/-.	
		12.27	15.50			
Laxapana Batteries PLC	Sampath Bank PLC	-	1.67	AWPLR + 1.5	Repayable over 47 equal monthly instalments of Rs.416,666/- and a final instalment of Rs.416,698/-.	Tertiary Mortgage Bond for Rs.20.9 million over the property situated at Panagoda Homagama.
		-	1.67			

Notes to the Financial Statements contd.

	Company / Lender	Balance as at 31.03.2019 Rs. million	Balance as at 31.03.2018 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Lankem Ceylon PLC	Commercial Bank of Ceylon PLC Term Loan I	36.50	178.80		In 55 monthly instalments of Yr - 1 equal instalments of Rs.0.5 million Yr - 2 equal instalments of Rs.2 million Yr - 3 equal instalments of Rs.3.5 million Yr - 4 equal instalments of Rs.5 million Yr - 5 equal instalments of Rs.7 million for 6 months and a final instalment of Rs. 6.8 million together with interest payable monthly on reducing balance of capital.	(a) Primary Mortgage for Rs. 200 million instalments over land at Ja-ela & Gonawala. (b) Secondary Mortgage Bond No.528 dated 07-04-1998 for Rs.50 million executed over above property. (c) Tertiary Mortgage Bond for Rs.307 million to be executed over above two properties.
	Commercial Bank of Ceylon PLC Term Loan II	162.40	172.40		In 57 monthly instalments of Rs.4.2 million each and a final instalments of Rs.2.2 million together with interest payable monthly on reducing balance of capital.	(d) Additional Mortgage Bond for Rs.400 million over stocks and assignment of book debts to be executed by the Company.
	Commercial Bank of Ceylon PLC Term Loan III	37.20	198.50		In 60 monthly instalments of Yr -1 equal instalments of Rs. 0.5 million Yr -2 equal instalments of Rs. 2 million Yr- 3 equal instalments of Rs. 3 million Yr- 4 equal instalments of Rs. 5 million Yr -5 equal instalments of Rs. 6 million for 11 months and a final instalment of Rs. 8 million. together with interest payable monthly on reducing balance of capital.	

	Company / Lender	Balance as at 31.03.2019 Rs. million	Balance as at 31.03.2018 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Lankem Ceylon PLC (Contd.)	Commercial Bank of Ceylon PLC Term Loan IV	103.50	111.00		In 60 monthly instalments of Yr -1 equal instalments of Rs. 0.5 million Yr -2 equal instalments of Rs. 1 million Yr -3 equal instalments of Rs. 1.5 million Yr- 4 equal instalments of Rs. 2 million Yr -5 equal instalments of Rs. 4 million for 11 months and a final instalment of Rs. 8.5 million together with interest payable monthly on reducing balance of capital.	(a) Primary Mortgage for Rs. 200 million instalments over land at Ja-ela & Gonawala. (b) Secondary Mortgage Bond No.528 dated 07-04-1998 for Rs.50 million executed over above property. (c) Tertiary Mortgage Bond for Rs.307 million to be executed over above two properties. (d) Additional Mortgage Bond for Rs.400 million over stocks and assignment of book debts to be executed by the Company.
	Commercial Bank of Ceylon PLC Term Loan V	188.00	86.50		In 60 monthly instalments of Yr - 1 equal instalments of Rs. 0.2 million Yr - 2 equal instalments of Rs. 0.7 million Yr - 3 equal instalments of Rs. 1.3 million Yr - 4 equal instalments of Rs. 2 million Yr - 5 equal instalments of Rs. 6 million for 11 months and a final instalment of Rs. 8 million together with interest payable monthly on reducing balance of capital.	
	Commercial Bank of Ceylon PLC Term Loan VI	82.30	39.70		In 60 monthly instalments of Yr - 1 equal instalments of Rs. 0.1 million Yr - 2 equal instalments of Rs. 0.4 million Yr- 3 equal instalments of Rs. 0.6 million Yr - 4 equal instalments of Rs. 1 million Yr - 5 equal instalments of Rs. 1.2 million for 11 months and a final of Rs. 1.6 million together with interest payable monthly on reducing balance of capital.	

Notes to the Financial Statements contd.

	Company / Lender	Balance as at 31.03.2019 Rs. million	Balance as at 31.03.2018 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Lankem Ceylon PLC (Contd.)	Peoples' Bank	545.00	575.50		In May 2018 existing loan Rs.555 million was converted to new re-schedulement facility. Month 1 instalments is Rs. 20.5 million. After re-schedulement Month 2 onwards Rs.2.5 million for 6 Months, Rs.8 million for 12 Months and Rs. 17.76 million for 25 Months.	Mortgage over stocks and Book debts on crystallization basis.
	National Development Bank Term Loan I	-	247.25		Payable quarterly on or before the last banking day of each quarter Yr 1 to Yr 4 - Q1-Q3 equal instalments of Rs.15.25 million and Q4 - 26.50 million Yr 5 - Q1-Q4 equal instalments of Rs.15.25 million.	
	National Development Bank Term Loan II	250.90	-		Payable over 48 monthly instalments.	Mortgage over stocks and Book debts.
	Bank of Ceylon Term Loan I	-	507.14		In 84 monthly instalments of Rs.7.143 million each.	
	Bank of Ceylon Term Loan II	335.00	-		In 60 monthly Installemnts inclusive of 12 months grace period.	Assignment over public quoted shares 16,000,000 of C.W.Mackie PLC.
	Seylan Bank PLC	-	23.21			
	Commercial Leasing PLC	-	26.09			
	Central Finance Co. PLC	21.56	28.15		In 48 monthly equal instalments of Capital & Interest of Rs.0.917 million each.	Mortgage and special power of Attorney of 10 No. of Double cab vehicle Promissory Note.
	Union Bank Term Loan I	32.49	40.00		In 36 monthly instalments of Yr - 1 equal instalments of Rs. 0.75 million Yr - 2 equal instalments of Rs. 1 million Yr - 3 equal instalments of Rs. 1.5 million for 11 months and a final instalment of Rs. 2.5 million. together with interest payable monthly on reducing balance of capital.	

	Company / Lender	Balance as at 31.03.2019 Rs. million	Balance as at 31.03.2018 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Lankem Ceylon PLC (Contd.)	Union Bank Term Loan II	74.00	80.00		In 60 monthly instalments of Yr - 1 to Yr - 3 Rs. 0.6 million Yr - 4 Rs. 2.45 million Yr - 5 Rs. 2.45 million for 11 months and a final instalment of Rs. 2.05 million. together with interest payable monthly on reducing balance of capital.	
	Sampath Bank PLC Term Loan I	60.11	-		In 60 monthly instalments in following manner after a grace period of 12 months. 1-12 Months - Rs.0.25 million, 13-24 Months - Rs.0.625 million, 25-36 Months - Rs.0.750 million, 37-48 Months - Rs.0.875 million, 49-59 Months - Rs.2.71 million & 60th Month Rs.0.302 million per month, interest to be serviced separately on monthly basis.	(a) Term Loan Agreement of Rs. 60.11 million. (b) Term Loan Agreement of Rs.189.888 million.
	Sampath Bank PLC Term Loan II	83.21			In addition to this loan Rs.106.68 million is granted in Month of April 19. In 60 monthly instalments in following manner after a grace period of 12 months. 1-12 Months - Rs.0.75 million, 13-24 Months - Rs.1.875 million, 25-36 Months - Rs.2.250 million, 37-48 Months - Rs.2.625 million, 49-59 Months - Rs.8.130 million & 60th Month Rs.10.458 million per month, interest to be serviced separately on monthly basis.	(c) Hypothecation bond over stocks and book debts of Pannala Rs.450 million. (d) Corporate guarantee of E.B. Creasy & Company PLC Rs. 250 million.
	Nations Trust Bank PLC	273.69	-		In 47 monthly instalments of 10 Monthly instalments Rs.1.00 million, 12 Monthly instalments of Rs.3.00 million, 12 Monthly instalments of Rs.9.00 million, 12 Monthly instalments of Rs.12.00 million and final instalments of Rs.2.00 million. Interest to be serviced separately on monthly basis.	Mortgage over stocks and Book debts of Rs. 300 million. Letter comfort from The Colombo Fort Land & Building PLC.
	Hatton National Bank PLC	405.00	-		In 60 equal monthly instalments Rs.6.75 million together with interest commencing after an initial grace period of 12 months.	Letter of awareness/ comfort from The Colombo Fort Land & Building PLC.

Notes to the Financial Statements contd.

	Company / Lender	Balance as at 31.03.2019 Rs. million	Balance as at 31.03.2018 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Lankem Ceylon PLC (Contd.)	Peoples Leasing & Finance PLC	79.24	-		In 48 monthly instalments in following manner. 1st 12 Months - Rs.0.50 million, 2nd 12 Months - Rs.1.00 million, Balance in equal instalment with in period of 24 Months.	Security Cheques (roll over) for Rs.79.24 million and Promissory Note of Rs.79.24 million.
		2,770.10	2,314.24			
Kelani Valley Canneries Limited	Commercial Bank of Ceylon PLC	3.49	4.04	AWPLR + 3		Mortgage bond over the machinery valued Rs.3 million at Kaluaggala, Hanwella and motor vehicle valued at Rs. 9 million.
		3.49	4.04			
Beruwala Resorts PLC	Cargills Bank PLC Term Loan I	3.90	9.01	AWPLR + 1.75	Repayable over 48 monthly instalments.	Mortgage executed over brand new laundry machine for Rs.20million & equipment.
	Cargills Bank PLC Term Loan II	1.00	2.06	AWPLR + 2	Repayable over 48 monthly instalments.	Mortgage executed over Mazda motor car for Rs.5.98 million.
	Cargills Bank PLC Term Loan III	3.17	5.18	AWPLR + 2.5	Repayable over 48 monthly instalments.	Secondary mortgage over laundry machine.
	Cargills Bank PLC Term Loan IV	20.07	-			
	Cargills Bank PLC Term Loan V	3.05	-			
	Cargills Bank PLC Term Loan VI	176.77	-	LIBOR + 3.5		Primary Mortgage over land and building of B.O.T. Hotel Services (Private) Limited situated at Weligama.
	Cargills Bank PLC Term Loan VII	9.09	-			
	Cargills Bank PLC Term Loan VIII	9.43	-			
	Cargills Bank PLC Term Loan IX	14.70	-			
	Pan Asia Banking Corporation PLC	-	176.41	AWPLR + 2.75	Repayable over 102 monthly instalments. Repayments to commence after a grace period of 18 months form the first draw down.	Primary Mortgage over land and building of B.O.T. Hotel Services (Private) Limited situated at Weligama.
		241.18	192.66			
Sigiriya Village Hotels PLC	Sampath Bank PLC	127.43	127.28		Repayable over 35 monthly instalments.	Mortgage over leasehold rights of the land in Sigiriya.
		127.43	127.28			

	Company / Lender	Balance as at 31.03.2019 Rs. million	Balance as at 31.03.2018 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
B. O. T. Hotel Services (Private) Limited	Pan Asia Banking Corporation PLC	-	33.38	MAWPLR + 3	Loan has been obtained under two instalments of Rs. 50 million and Rs.75 million. 1. Rs.50 million- 30 monthly repayment 2. Rs.75 million- 48 monthly repayment	The property of the Hotel premises which is situated in Kapparithota, Weligama Rs.50 million. Corporate guarantee from Beruwala Resorts PLC for Rs.75 million.
		-	33.38			
Marawila Resorts PLC	Hatton National Bank PLC	-	224.63	3 Months LIBOR+5	In terms of new arrangement made with Hatton National Bank PLC, Marawila Resorts PLC has to resettle the outstanding USD term loan of USD 1.45 million in 3 years. The interest to be serviced monthly.	Existing Secondary Floating Mortgage Bonds totalling to US\$ 5.37 million over the hotel premises at Marawila.
	Commercial Bank of Ceylon PLC Term Loan I	19.30	22.90	PLR + 3	To be repaid on maturity date which is August 2022.	Floating Primary Mortgage Bond for Rs. 25 million to be obtained over assignment of book debts.
	Commercial Bank of Ceylon PLC Term Loan II	50.00	-		To be repaid on maturity date which is February 2022.	
	Commercial Bank of Ceylon PLC Term Loan III	218.57	-	3 Months LIBOR + 4.15	To be repaid on maturity date which is June 2024.	Floating Primary Mortgage Bond for Rs. 120,000,000/- to be obtained over the property situated at "Club Palm Bay". Thalwilawella, Marawila morefully depicted as Lots 03 to 09 in Plan No. 5656 dated 16.10.2016 drawn by Mr. W S S A Fernando (L/S) in extent of A 24: R:0 P 2.7 owned by Marawila Resorts PLC. Floating Secondary Mortgage Bond for USD 1,330,000 to be executed over the above mentioned property. Supplementary Secondary Mortgage Bond for USD 1,330,000 in LKR to be executed over the above mentioned property.
		287.87	247.53			

Notes to the Financial Statements contd.

	Company / Lender	Balance as at 31.03.2019 Rs. million	Balance as at 31.03.2018 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Galle Fort Hotel (Private) Limited	Cargills Bank PLC Term Loan I	53.91	61.88	LIBRO + 4.4	Repayable over 59 monthly instalments.	Primary mortgage bond over property for Rs.35 Mn and 0.775Mn USD, mentioned as Lot X in the plan no 130 situated at Fort Village in the gramasewa division of Fort 96D in the district of Galle.
	Cargills Bank PLC Term Loan II	21.26	27.63	AWPLR + 1.95	Repayable over 58 monthly instalments.	
	Cargills Bank PLC Term Loan III	34.26	39.14	LIBRO + 4.0	Repayable over 59 monthly instalments.	
		109.43	128.65			
Kotagala Plantations PLC	National Development Bank PLC Term Loan I	23.58	28.59	AWPLR + 5	Payable in 63 equal monthly instalments of Rs. 2,030,000/- with a first instalment of Rs. 2,110,000/-.	Primary Mortgage over the lease hold right, building & machinery of estates already mortgaged to NDB namely Stonycliff, Vogan, Gikiyanakande & Dalkieth.
	National Development Bank PLC Term Loan II	23.58	28.59			
	National Development Bank PLC Term Loan III	30.32	35.67		Payable in 56 equal monthly instalments of \$7,306 with a first instalment of \$7,318.98.	
	National Development Bank PLC Term Loan IV	21.22	24.29	LIBOR + 8	Payable in 56 equal monthly instalments of \$7,000 with a first instalment of \$8,000.	Primary Mortgage over the lease hold right, building & machinery of estates already mortgaged to NDB namely Stonycliff, Vogan, Gikiyanakande & Dalkieth.
	National Development Bank PLC Term Loan V	21.22	24.29		Payable in 56 equal monthly instalments of \$7,000 with a first instalment of \$8,000.	
	National Development Bank PLC Term Loan VI	21.22	24.29	LIBOR + 8	Payable in 56 equal monthly instalments of \$7,306 with a first instalment of \$7,318.98.	
	Sampath Bank PLC Term Loan I	-	3.89	AWPLR + 5	In 95 equal monthly instalments of Rs.521,000/- and a final instalment of Rs.505,000/-.	Primary Mortgage Bond for Rs.50,000,000/- over leasehold rights of Arapolakande Rubber Estate at Kalutara together with factory buildings therein.
	Sampath Bank PLC Term Loan II	486.10	500.00	AWPLR + 3.5	Payable in 71 equal monthly instalments of Rs.6,950,000 and final instalment of Rs.6,550,000 with a capital grace period of 12 months.	Primary Mortgage Bond for Rs.500 million over leasehold rights of Drayton and Kelliawatte Estates in Nuwara Eliya together with factory building therein.

	Company / Lender	Balance as at 31.03.2019 Rs. million	Balance as at 31.03.2018 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Kotagala Plantations PLC (Contd.)	People's Leasing Company PLC Term Loan I	-	1.71	19.00	Interest and capital payable monthly and repayment is first month instalment Rs.2,200,000/- and the balance 59 monthly instalment at Rs.152,649/-each.	02 vehicles offered as security.
	People's Leasing Company PLC Term Loan II	14.69	-	20.00	Payable in 12 equal monthly instalments of Rs. 2,315,863/-.	06 vehicles offered as security.
	People's Leasing Company PLC Term Loan III	14.69	-	20.00	Payable in 12 equal monthly instalments of Rs. 2,315,863/-.	
	People's Bank Term Loan I	73.78	87.58	AWPLR + 3	Repayable within 60 instalments of Rs.1,725,000/- each.	Mortgage over lease hold right of Mount Vernon Estate situated at Dimbula & Ukutule villages in Kotagala with in the Nuwara Eliya Pradeshiya Sabha District of Nuwara Eliya. Mortgage over lease hold right of Mayfield Estate situated at Dimbula village in Kotagala with in the Nuwara Eliya Pradeshiya Sabha District of Nuwara Eliya. Immovable properties Mortgage over lease hold right of Mount Vernon estate at Patana and Mayfield Estate Hatton.
	People's Bank Term Loan II	177.66	182.10	AWPLR + 3	Repayable within 60 instalments of Rs.3,157,777/- each.	
	Standard Chartered Bank	31.77	75.26	SLIBOR + 3.5	Payable within 2 years and 10 months	
	Standard Chartered Bank Packing credit loan	71.34	88.88			
	State Mortgage Bank	12.08	22.55	19.00	Repayment in 72 equal monthly instalments of Rs.111,240/- commencing after the date of disbursement of the loan.	10 vehicles offered as security.
	Cey Bank Asset Management Limited Commercial Paper	192.57	172.70	16.50	Repayable as per the Commercial Paper maturity date.	

Notes to the Financial Statements contd.

	Company / Lender	Balance as at 31.03.2019 Rs. million	Balance as at 31.03.2018 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Kotagala Plantations PLC (Contd.)	Dialog Finance PLC	-	1.27	19.00	Monthly instalment of Rs.170,225/- in first 3 months, Rs.2,500,000/- in the fourth month and Rs.170,225/- in next 56 months.	KIA Sorento Jeep bearing vehicle registration no KW-9649.
	Sri Lanka Tea Board Term Loan I	21.31	33.16	5.00	Repayable within 36 instalments of Rs.1,301,221/- each.	
	Sri Lanka Tea Board Term Loan II	22.50	33.75	AWPLR + 1	Repayable within 36 monthly instalments of Rs.1,250,000/- each.	
	Seylan Bank PLC	95.20	-	16.00	Repayable within 72 months with following intallements 12 instalment of Rs.400,000/- 12 instalment of Rs.600,000/- 12 instalment of Rs.1,000,000/- 12 instalment of Rs.1,500,000/- 12 instalment of Rs.2,250,000/- 11 instalment of Rs.2,500,000/- and final instalment of Rs. 3,500,000/- together with interest payable monthly	
		1,354.81	1,368.57			
Agarapatana Plantations Limited	Sampath Bank PLC	500.00	500.00	AWPLR + 3.5	71 instalments of Rs. 6,950,000/- and a final instalment of Rs.6,550,000/- commencing from 26.04.2019.	Mortgage over leasehold rights over the estate land & factory building of Diyagama West Estate.
	Seylan Bank PLC	46.09	50.00	16	84 equal instalments commencing from 30.11.2018.	Mortgage over leasehold rights over the estate land & building, fixed & floating assets of Diyagama East Estate.
	Bank of Ceylon Term Loan I	99.10	139.65	AWPLR + 1.5	First and Second instalments of Rs.416,667/- and 60 instalments of Rs.4,054,598/-.	Additional mortgage over lease hold rights of Glenanore and Haputale Estates including machinery fixed at each of these estates.
	Bank of Ceylon Term Loan II	200.00	200.00	AWPLR + 2.5	48 monthly instalments commencing from 12.06.2019	Tri partite agreement with borrower, bank and the tea broker - John Keels PLC and Corporate Guarantee from Lankem Ceylon PLC.
	Nations Trust Bank PLC	-	1.17	18	60 monthly instalments commencing from 01.02.2014.	

	Company / Lender	Balance as at 31.03.2019 Rs. million	Balance as at 31.03.2018 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Agarapatana Plantations Limited (Contd.)	Commercial Bank of Ceylon PLC	222.50	266.21	AWPLR + 3	84 monthly instalments commencing from 05.09.2016.	Duly accepted Letter of Offer supported by Board Resolution. General Terms and conditions relating to Term Loans. Deposit of original title deeds and plan relating of the Dambetenne Estate.
	People's Leasing & Finance PLC Term Loan I	-	0.94	13.17	60 monthly instalments commencing from 01.01.2014.	Loan agreement acceptance, receipt, promissory note & Corporate Guarantee from Lankem Tea & Rubber Plantations (Private) Limited.
	People's Leasing & Finance PLC Term Loan II	9.93	-	17.5	60 monthly instalments commencing from 10.11.2018.	Original Certificate of Registration of the Vehicle.
	Sri Lanka Tea Board Term Loan I	30.00	46.67	AWPLR +1	36 monthly instalments commencing from August 2017.	
	Sri Lanka Tea Board Term Loan II	42.39	65.96	5	36 monthly instalments commencing from August 2017.	
		1,150.01	1,270.60			
Lankem Tea & Rubber Plantations (Private) Limited	National Development Bank PLC	44.99	47.56		84 monthly instalments commencing from 01.04.2014.	6,900,787 Shares held by Lankem Tea & Rubber Plantations (Pvt) Limited in Kotagala Plantations PLC and 4,537,500 Shares held by Consolidated Tea Plantations Ltd in Kotagala Plantations PLC.
	People's Leasing & Finance PLC	4.09	6.01			Promissory Notes worth Rs.25 million have been pledged.
	Union Bank PLC	34.73	44.85			
		83.81	98.42			
Waverley Power (Private) Limited	Sampath Bank PLC	46.50	49.50		96 monthly instalements.	a) Loan agreement for Rs.25 million. b) Primary mortgage bond for Rs.25 million over the entirety of shares issued by the company, supported by an irrevocable Power of Attorney
		46.50	49.50			

Notes to the Financial Statements contd.

	Company / Lender	Balance as at 31.03.2019 Rs. million	Balance as at 31.03.2018 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Consolidated Tea Plantations Limited	National Development Bank PLC	30.42	32.16	AWPLR + 8	84 monthly instalments.	6,900,787 Shares held by Lankem Tea & Rubber Plantations (Pvt) Limited in Kotagala Plantations PLC and 4,537,500 Shares held by Consolidated Tea Plantations Ltd in Kotagala Plantations PLC.
		30.42	32.16			
Union Commodities (Private) Limited	Commercial Bank of Ceylon PLC	742.30	723.54	LIBOR + 4	Each loan to be repaid within a maximum period of 90 days or at the time of receipt of Export proceeds whichever is earlier.	Primary concurrent Mortgage bond over book debts of the Company and the stocks. The sales contract for each order to be submitted within one week from the disbursement of the Pre-shipment loan.
	DFCC Bank PLC	284.49	332.75	LIBOR + 4	Each loan to be settled within a period of 90 days from the date of disbursement of or at the time of negotiation /purchase of relative export documents, whichever is earlier.	Primary concurrent Mortgage bond for Rs.100 million and book debts of the company with an insurance policy over stocks assigned in favour of the bank and existing demand Promissory note from Union Commodities (Private) Limited to the value of Rs.195 million.
	Hatton National Bank PLC Term Loan I	621.99	659.74	LIBOR + 4	Advances restricted to 80% of the value of the LC /Confirmed orders should be paid within 90 days from export proceeds.	Export Loan documents and Deposit of irrevocable Export letters of credit /confirmed orders.
	T Hatton National Bank PLC Term Loan II	644.74	-	LIBOR + 5.5	23 equal quarterly instalment of USD 160,000 and a final instalment of USD 120,000 commencing after an initial grace period of a year and interest is serviced.	Registered Primary Floating Mortgage Bond for USD 3 million over commercial property including immovable machinery (Tea Bagging Machines) at Biyagama Road Thalwatte, Kelaniya. Including Buildings and every thing standing thereon.
	Hatton National Bank PLC Term Loan III	158.63	-	LIBOR + 5.5	24 equal quarterly instalment of USD 50,000.	Registered Primary Floating Mortgage Bond for USD 1.2 million over movable machinery at Biyagama Road Thalwatte Kelaniya.
	National Development Bank PLC	293.46	370.73	4.5	Maximum 90 days from which date make it consistent with other disclosures.	Primary Concurrent pari passu mortgage bond over stock and book debts in favour of the Hangkong and Shanghai Bankers Corporation.
		2,745.61	2,086.76			

	Company / Lender	Balance as at 31.03.2019 Rs. million	Balance as at 31.03.2018 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Ceylon Tapes (Private) Limited	Commercial Bank of Ceylon PLC	-	26.25	AWPLR + 2.5	Repayable over 40 monthly instalments of Rs.1,250,000/-.	Floating primary mortgage bond for Rs.50 million over the property called Franklyn Estate and morefully as lot A in plan no. 7221 dated 26.11.2015 made by Mr. P.A.K.J. Perera in extent of A2: R3: P18.25 to be executed by the Company.
	DFCC Bank PLC	-	2.17	AWPLR + 1	Repayable over 60 monthly instalments of Rs.133,000/-.	Mortgage over allotments of land depicted at lot 19,20 & 21 in plan No.369 situated at Ekala and machinery and equipment's thereon as listed below: 1. 1 unit of OPP slitting machine model SH-300 2. 1 unit of WCM-50B paper core making machine 3. 1 unit WCM-1000 jambo paper roll slitting machine
		-	28.42			
J.F. Packaging Limited	Sampath Bank PLC Term Loan I	31.16	41.25		Repayable over 5 years in 59 monthly instalments of Rs.916,700/- and a final instalment of Rs.914,700/-.	Hypothecation Bond for Rs.105 million over stocks and book debts held at factory premises at No.306, Minuwangoda Road, Kotugoda.
	Sampath Bank PLC Term Loan II	6.27	12.55		Repayable over 3 years in 35 monthly instalments of Rs.570,500/- and a final instalment of Rs.569,500/-.	Mortgage over Dry laminating machine and related equipment.
	Sampath Bank PLC Term Loan III	112.72	134.35		Repayable over 5 years in 59 monthly instalments of Rs.3,626,129/- and a final instalment of Rs.569,500/-.	Corporate guarantee of Lankem Ceylon PLC for Rs.150,000,000/- & Shares of Alliance Five (Pvt) Ltd.
	Bank of Ceylon Term Loan I	4.13	16.53		Repayable over 8 years in equal monthly instalments of Rs.1,032,967/-.	Primary mortgage of land, building and machinery situated at No. 306, Minuwangoda Road, Kotugoda.
	Bank of Ceylon Term Loan II	0.65	5.06		Repayable over 5 years in 60 equal monthly instalments of Rs.337,079/-.	
	Bank of Ceylon Term Loan III	3.36	9.86		Repayable over 5 years in 60 equal monthly instalments of Rs.500,000/-.	
	Bank of Ceylon Term Loan IV	128.52	136.26		Repayable over 4 years in 48 equal monthly instalments of Rs.3,125,000/-.	

Notes to the Financial Statements contd.

	Company / Lender	Balance as at 31.03.2019 Rs. million	Balance as at 31.03.2018 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
J.F. Packaging Limited (Contd.)	Bank of Ceylon Term Loan V	96.22	119.11		Repayable over 6 years in 72 equal monthly instalments of Rs.2,083,333/-.	Primary mortgage of land, building and machinery situated at No. 306, Minuwangoda Road, Kotugoda.
	Bank of Ceylon Term Loan VI	297.92	-		Repayable over 5 years in 60 equal monthly instalments of Rs.5,416,667/-.	
	Bank of Ceylon Term Loan VII	128.33	-		Repayable over 5 years in 60 equal monthly instalments of Rs.2,333,333/-.	
	Nations Trust Bank PLC	113.13	-		Repayable over 4 years 16 instalments - Rs.1,000,000/- 32 instalments - Rs.3,300,000/-	Mortgage over stocks and book debts held at factory premises at No.306, Minuwangoda Road, Kotugoda.
		922.41	474.97			
Candy Delights Limited	Hatton National Bank PLC Term Loan I	-	1.56	AWPLR + 2	To be repaid in 59 equal monthly instalments of Rs.0.334 million each and a final instalment of Rs.0.294 million.	Existing registered primary floating mortgage bond for Rs.50 million over Land & Buildings situated at No.26, Agaradaguru Mawatha, Ekala.
	Hatton National Bank PLC Term Loan II	58.13	60.00		To be repaid in 48 equal monthly instalments of Rs.1.25 million.	Primary Floating Mortgage Bond for Rs.60 million over the new movable machinery and equipment imported at a cost of Rs.82 million and Lying at Candy Delights Limited; Unit 3, Industrial Estate, Ekala.
	Hatton National Bank PLC Term Loan III	87.06	90.00		To be repaid in 48 equal monthly instalments of Rs. 1.875 million.	Registered Primary Floating Mortgage Bond for Rs.120 million over land, immovable machinery situated at 26, Agaradaguru Mawatha, Ekala and everything standing thereon (including the existing buildings and/ or the buildings which are to be constructed in the future together with any further developments, modifications thereto) with all fixtures, fitting, services and such other rights attached or appertaining.
		145.19	151.56			

	Company / Lender	Balance as at 31.03.2019 Rs. million	Balance as at 31.03.2018 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
SunAgro Foods Limited	Sampath Bank PLC	-	7.76		In 47 equal monthly instalments of Rs.2.08 million and a final instalment of Rs.2.05 million commencing after a grace period of 12 Months. Interest to be paid during the grace period.	Corporate guarantee from Lankem Ceylon PLC amounting to Rs.110 million.
	Commercial Bank of Ceylon PLC	-	2.39		In 35 equal monthly instalments of Rs.695,000/- and a final instalment of Rs.675,000/- together with interest.	Corporate guarantee from Lankem Ceylon PLC amounting to Rs.75 million.
		-	10.15			
SunAgro Lifescience Limited	Commercial Bank of Ceylon PLC	144.06	147.06		Repayable over 60 monthly instalments.	Corporate guarantee from Lankem Ceylon PLC amounting to Rs.100 million.
	People's Leasing & Finance PLC Term Loan II	53.86	-		Repayable over 48 monthly instalments.	Security Cheques (roll over) for Rs.53.86 million and Promissory Note of Rs.53.86 million.
		197.92	147.06			
Lanka Special Steel Limited	Nations Trust Bank PLC	31.25	93.75		48 monthly equal capital instalments of Rs. 3,125,000/-.	Secondary Mortgage over plant & machinery of the Company.
	Commercial Bank of Ceylon PLC	90.26	-		In 59 equal monthly instalment of Rs. 1,530,000/- and a final instalment of a Rs. 1,519,145/-.	Primary mortgage Bond for Rs.91.8 million executed over were drawing plant with accessories.
		121.51	93.75			
Ceyflex Rubber Limited	Nations Trust Bank PLC	42.24	59.72	AWPLR + 3	First 06 Months - Interest to be serviced on a monthly basis (Grace period on the capital) 07th Month to 54th Month - 47 equal monthly capital instalments of Rs. 2,700,000/- and a final capital instalment of Rs. 3,100,000/- . Interest to be serviced separately on a monthly basis.	Primary Mortgage for Rs.150,000,000/- over Rights under the Board of Investment Agreement No.28 dated 12/05/2016, Buildings and Machinery on the project property at Horana Export Processing Zone - (To be executed) (Mortgage details should be notified to the Bank and such details will be included in a separated Addendum Letter) Simple lodgement of 100,000 Nos. (unquoted) shares of Ceyflex Rubber Limited owned by E.B. Creasy & Company PLC.
		42.24	59.72			

Notes to the Financial Statements contd.

	Company / Lender	Balance as at 31.03.2019 Rs. million	Balance as at 31.03.2018 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Kiffs (Private) Limited	National Development Bank PLC Term Loan I	6.87	-		Repayable over 4 years in equal monthly capital of Rs.156,250/-.	Primary Mortgage over equipment located at No.179/6, Ragama Road, Kadawatha.
	National Development Bank PLC Term Loan II	10.00	10.00		Repayable over 2 months	1. Primary mortgage over owned by Kiffs (Pvt) Ltd located at No.179/6, Ragama Road, Kadawatha. 2. Primary mortgage over machinery owned by Alliance Five (Pvt) Ltd located at No.179/6, Ragama Road, Kadawatha for Rs.14 million (Bond No.487 dated 05.01.2017). 3. Primary mortgage over stocks owned by Kiffs (Pvt) Ltd located at No.179/6, Ragama Road, Kadawatha for Rs.20 million (Bond No.488 dated 05.01.2017). 4. Deed of Declaration regarding access rights to the officials of the bank to the premises. 5. Corporate Guarantee of J.F. Packaging Ltd for Rs.80 million.
		16.87	10.00			

The portion of the loan-term loan repayable within one year from the reporting date is shown as Current Liabilities.

24.6 Trust Receipt Loans

The Group has obtained following Trust Receipt Loans.

	GROUP	
	2019 Rs.'000	2018 Rs.'000
E. B. Creasy & Company PLC	408,507	425,319
Lankem Ceylon PLC	948,822	1,825,711
Darley Butler & Company Limited	160,835	245,049
Laxapana Batteries PLC	92,379	114,856
Candy Delights Limited	5,234	40,180
	1,615,777	2,651,115

E.B. Creasy & Company PLC

Trust Receipt Loan is secured by Existing Mortgage Bonds to Banks over the stocks in trade and an assignment of book debts.

Candy Delights Limited

Trust Receipt loan is secured by floating charge on imported inventories at Unit Three Industrial Estate, Ekala, Ja- Ela and book debt.

Laxapana Batteries PLC

Company/ Lender	Facility No.	Interest	Outstanding as at 31.03.2019 Rs. 000	Outstanding as at 31.03.2018 Rs. 000	Terms of Repayment	Security Pledged
Sampath Bank PLC	Revolving Trust Receipt loan of Rs. 80 million.	AWPLR + 1.25	44,601	93,242	Each loan to be settled within 120 days from the date of grant.	Existing Primary Mortgage bond of Rs.66.5 million over the property situated in Panagoda, Homagama with an extent of 50,886 sq. ft.
Union Bank of Colombo PLC	Revolving Trust Receipt loan of Rs. 20 million.	AWPLR + 2	16,060	-	Each loan to be settled within 120 days from the date of grant.	Primary floating mortgage bond of Rs.20 million over stocks at Company premises in Panagoda, Homagama and warehouse at Sapugaskanda and assignment over book debts.
DFCC Bank PLC	Revolving Trust Receipt loan of Rs. 60 million.	AWPLR + 1	31,718	21,615	Each loan to be settled within 120 days from the date of grant.	Mortgage for Rs. 60 million over stocks kept at Company premises at Panagoda, Homagama and warehouse at Sapugaskanda.
			92,379	114,857		

25. DEFERRED INCOME - CAPITAL GRANTS

As at 31st March,	GROUP		COMPANY	
	2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000
Balance at the beginning of the Year	571,160	577,995	-	-
Additions during the Year	6,429	15,869	-	-
Amortised during the Year	(23,667)	(22,704)	-	-
Balance at the end of the Year (Note 25.1)	553,922	571,160	-	-

25.1 Balance at the end of the Year

Kotagala Plantations PLC	328,357	333,813	-	-
Agarapatana Plantations Limited	208,756	217,480	-	-
SunAgro Foods Limited	11,696	14,444	-	-
C.W. Mackie PLC	325	375	-	-
E B Creasy & Company PLC	4,788	5,048	-	-
	553,922	571,160	-	-

Notes to the Financial Statements contd.

25.a The Group's utilisation of funds received is as below:

E B Creasy and Company PLC

The Company has received a grant of Rs. 5.2 million during the year in relation to setting up of solar roof top power project on net metering basis under ADB funded clean energy and network efficiency improvement projects.

Kotagala Plantations PLC

i) Asian Development Bank - Plantation Reform Project (ADB-PRP)

The funds received are utilised for construction of Staff Quarters, Water Projects, Latrines, Farm Roads and purchase of Forestry Equipment.

ii) Plantation Development Support Program (PDSP)

The funds received are utilised for construction of Dispensaries, Staff Quarters, Water Projects and upgrading Crèches.

iii) Plantation Human Development Trust (PHDT)

The funds received are utilised for construction of Worker Housing, Water Projects and purchase of an Ambulance.

iv) Others

a) Ministry of Livestock Development and Estate Infrastructure

The funds received are utilised for construction of Community Centres, Agency Post Offices and upgrading Farm Roads and Crèches.

b) Sri Lanka Tea Board

Funds received are utilised for the construction of the CTC Tea Factory at Mount Vernon Estate.

The amounts spent are capitalised under the relevant classification of Property, Plant & Equipment and the corresponding grant component is reflected under deferred grants and subsidies and amortised over useful life span of the asset.

Agarapatana Plantations Limited

The Company has received funding from the Plantation Housing and Social Welfare Trust, Asian Development Bank and Plantation Reform Project for the development of worker welfare facilities such as re-roofing of line rooms, latrines, water supply and sanitation etc. The funds received from Sri Lanka Tea Board are utilized for Tea replanting. The amounts spent are included under the relevant classification of Property, Plant and Equipment and Bearer Biological Assets and the grant component is reflected under Deferred Grants and Subsidies.

SunAgro Foods Limited

The Company has received grants from the USAID/ CORE project amounting to Rs.27.49 million for the purpose of establishing an out grower cereal cultivation with 1,000 farmers and to set up a processing facility for cereal legume mixture manufacturing in the Trincomalee District. The grant has been amortised over the useful lifetime of the assets.

Kelani Valley Canneries Limited

Kelani Valley Canneries Limited has been awarded a government grant in December 2016 from Industrial Development Board of Ceylon, amounted to Rs. 0.5 million for the acquisition of a fully automated jam cup filling machine worth Rs. 1.3 million. The government grant recognised as deferred income is amortised over the useful life of the machinery.

The Company shall not sell, assign, pledge, mortgage, gift, let or rent the machinery for a period of five years from the date of purchase of the machinery.

26. DEFERRED TAX LIABILITIES

As at 31st March,	GROUP		COMPANY	
	2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000
Balance at the beginning of the Year	1,129,441	513,932	188,875	26,605
Acquisition of Subsidiaries	-	406	-	-
Origination/(Reversal) of Temporary Differences Recognised in the Statement of Equity	(157,938)	664,510	-	172,796
Origination/(Reversal) of Temporary Differences Recognised in Profit / (Loss) for the Year	(78,314)	(30,960)	6,385	(10,526)
Origination/(Reversal) of Temporary Differences Recognised in the Statement of Other Comprehensive Income	1,412,784	(1,542)	-	-
Transfer from Deferred Tax Assets (Note 17)	(24,464)	(16,905)	-	-
Balance at the end	2,281,509	1,129,441	195,260	188,875

26.1 Deferred Tax Composition - Group

Property Plant and Equipment	2,371,444	1,323,429	385	289
Revaluation Surplus on Land & Building	674,789	664,510	204,986	201,111
Defined Benefit Obligations	(118,237)	(226,136)	-	-
Impairment of Debtors	(7,678)	(5,146)	-	-
Tax loss carried forward	(638,809)	(627,216)	(10,111)	(12,525)
Deferred Tax Assets	2,281,509	1,129,441	195,260	188,875

27. EMPLOYEE BENEFITS

Fair Value of Plan Assets (Note 27.1)	56,143	46,828	-	-
Present Value of the Funded Obligations (Note 27.2)	226,022	238,542	-	-
Present Value of the Unfunded Obligations (Note 27.4)	2,913,207	2,632,593	-	-
Total Present Value of Retirement Benefit Obligations	3,139,229	2,871,135	-	-

27.1 Fair Value of Plan Assets

Movements in Fair Value of Plan Assets

Fair Value of Plan Assets as at 01st April	46,828	107,381	-	-
Recognition of Transitional Liability on Defined Benefit Liability	-	-	-	-
Fair Value of Plan Assets at the beginning of the Year	46,828	107,381	-	-
Acquisition of Subsidiaries	-	-	-	-
Contribution Paid to the Plan Assets	12,087	10,982	-	-
Expected Return on Plan Assets	4,804	16,954	-	-
Benefits Paid by the Plan	(6,896)	(81,637)	-	-
Actuarial Gains/(Losses)	(680)	(6,852)	-	-
Fair Value of Plan Assets as at 31st March	56,143	46,828	-	-

Notes to the Financial Statements contd.

As at 31st March,	GROUP		COMPANY	
	2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000
27.2 Present Value of the Funded Obligations				
Movement in Present Value of Funded Obligations				
Present value of Defined Benefit Obligations as at 1st April	238,542	204,937	-	-
Provision for the Year (Note 27.2.1)	45,585	46,093	-	-
	284,127	251,030	-	-
Inter-Company Liability Transfers	(1,340)	-	-	-
Benefits paid by the Plan	(23,702)	(70,836)	-	-
Actuarial (Gains)/Losses (Note 27.2.1)	(33,063)	58,348	-	-
Present Value of Defined Benefit Obligations as at 31st March	226,022	238,542	-	-
27.2.1 Expenses Recognised in the Statement of Comprehensive Income				
Current Service Cost	19,493	18,111	-	-
Interest Cost	26,092	27,982	-	-
Provision for the Year	45,585	46,093	-	-
Net Actuarial (Gains)/Losses	(33,063)	58,348	-	-
	12,522	104,441	-	-
27.3 Present Value of Net Obligations				
Fair Value of Plan Assets	56,143	46,828	-	-
Present Value of Funded Obligations	(226,022)	(238,542)	-	-
Present Value of Net Funded Obligations	(169,879)	(191,714)	-	-
27.4 Present Value of the Unfunded Obligation				
Movement in Present Value of Unfunded Obligation				
Present value of Defined Benefit Obligations as at 1st April	2,632,593	2,239,046	-	-
Acquisition of Subsidiaries	-	10,698	-	-
Provision for the year	463,172	447,631	-	-
	3,095,765	2,697,375	-	-
Inter-company Liability Transfers				
Benefits paid by the Plan	(212,614)	(265,998)	-	-
Actuarial (Gains)/Losses	30,056	201,216	-	-
Present value of Defined Benefit Obligations as at 31st March	2,913,207	2,632,593	-	-
27.4.1 Expenses Recognised in the Statement of Comprehensive Income				
Current Service Cost	234,252	148,003	-	-
Interest Cost	228,920	299,628	-	-
Provision for the Year	463,172	447,631	-	-
Net Actuarial (Gains)/Losses	30,551	201,216	-	-
	493,723	648,847	-	-

i) Agarapatana Plantations Limited

The gratuity liability of Agarapatana Plantations Limited (APL) amounting to Rs.1,341 million (2018 - Rs.1,177 million) as at 31st March, 2019 is based on the full actuarial valuation carried out by Professionally Qualified Actuary Firm, Messrs. Actuarial & Management Consultants (Private) Limited.

ii) E.B.Creasy & Company PLC

The actuarial present value of the accrued benefit as at 31st March, 2019 is Rs. 469.74 million. This item is grouped under retirement benefit obligation in the Statement of Financial Position. The liability is not externally funded.

iii) Kotagala Plantations PLC

The actuarial valuation had been carried out by Messrs. Actuarial & Management Consultants (Private) Limited. According to the valuation the gratuity liability on employees of the Company as at 31st March 2019 is Rs.757.56 million (2018 - Rs. 722.12 million).

iv) Marawila Resorts PLC

The actuarial valuations have been carried out by professionally qualified actuaries Messers Piyal S. Goonetilleke and Associates for retiring gratuity of staff as at 31st March 2019. The actuarial present value of the accrued benefits as at 31st March 2019 is Rs. 8.46 million (2018 - Rs. 7.35 million). This item is grouped under Retirement Benefit Obligation in the Statement of Financial Position. The liability is not externally funded.

v) Sigiriya Village Hotels PLC

Actuarial Valuation has been carried out as at 31st March, 2019 by Mr. Piyal Goonatilleka, Fellow of the Society of actuaries (USA).The valuation method used by the actuary was "Projected Unit Credit Method". The actuarial present value of the accrued benefits as at 31st March 2019 is Rs.15.80 million (2018 - Rs. 12.66 million). This item is grouped under Retirement Benefit Obligation in the Statement of Financial Position. The liability is not externally funded.

vi) Beruwala Resorts PLC

Actuarial Valuation has been carried out as at 31st March , 2019 by Mr. Piyal Goonatilleka, Fellow of the Society of actuaries (USA).The valuation method used by the actuary was "Projected Unit Credit Method". The actuarial present value of the accrued benefits as at 31st March 2019 is Rs. 8.61 million (2018 - Rs. 7.26 million).This item is grouped under Retirement Benefit Obligation in the Statement of Financial Position. The liability is not externally funded.

vii) C.W. Mackie PLC

The retirement benefit obligations as at 31 st March, 2019 is based on actuarial valuation carried out by Messrs. Piyal S. Goonetilleke, Fellow of the Society of Actuaries (USA) , Member of American Academy of Actuaries, Consulting Actuary of Messrs. Piyal Goonetilleke and Associates and appropriate adjustments have been effected in the financial statements.

The liability as at 31st March, 2019 of the C.W. Mackie group was Rs.95.28 million (2017/18 - Rs.107.92 million)

viii) J.F. Packaging Limited

The retirement benefit obligations as at 31st March 2019 is based on actuarial valuation carried out by Messrs. Actuarial and Management Consultants (Private) Limited as per which liability as at 31st March 2019 was Rs.12.85 million.

ix) Lankem Ceylon PLC

An actuarial valuation has been carried out as at 31st March 2019 by Messrs. Actuarial and Management Consultants (Private) Limited as required by the Sri Lanka Accounting Standard 19-'Employee Benefits'.

Plan Assets of the Company are held by an approved external gratuity fund where it invests in insurance scheme amounting to Rs.3.3 Million as at the date of Statement of Financial Position.

The valuation method used by the actuary is the 'Project Unit Credit Method', the method recommended by Sri Lanka Accounting Standard 19-'Employee Benefits'.

Notes to the Financial Statements contd.

x) C M Holdings PLC -Group

The defined benefit obligations of KIA Motors (Lanka) Limited and Carplan Limited was based on the actuarial valuation carried out by Messrs Actuarial And Management Consultants (Private) Limited on 31st March, 2019.

Defined Benefit Obligation of Colonial Motors (Ceylon) Limited is determined through an actuarial valuation carried out internally for the year ended 31st March 2019.

xi) Present Value of the Unfunded Obligations

LKAS 19 - 'Employee benefits' requires to apply Projected Unit Credit Method to make a reliable estimate of the Obligation in order to determine the present value of the retirement benefit obligation. The key assumptions were made in arriving at the retirement benefit obligation as at 31st March 2019 in respect of following companies are stated below:

Company Name	Expected Salary Increment Rate	Discount Rate	Retirement Age Years	Liability as at 31.03.2019 Rs.million
Marawila Resorts PLC	7.5%	11.5%	55	8.46
Sigiriya Village Hotels PLC	7.5%	11.5%	55	15.80
Laxapana Batteries PLC	10%	11.5%	55	5.69
Lankem Ceylon PLC	10%	11.5%	55	130.74
Ceylon Tapes (Private) Limited	10%	11.5%	55	5.26
J.F. Packaging Limited	10%	11.5%	55	12.85
E.B. Creasy & Company PLC	10%	11.5%	60	469.74
E.B. Creasy Logistics Limited	10%	11.5%	55	1.67
Pettah Pharmacy (Private) limited	10%	11.5%	55	8.99
C.W. Mackie PLC - Group	10%	11.5%	Management & Allied staff - 60, other staff - 55	95.27
Kotagala Plantations PLC	Workers -16% in every two years and other categories of staff - 10% p.a.	11.5%	60	757.56
Agarapatana Plantations Limited	Workers -16% increase once in two years and other categories of staff - 10% p.a.	11.5%	60	1,341.11
Beruwala Resorts PLC	7.5%	10.5%	55	8.67
BOT Hotel Services (Private) Limited	10.5%	12.5%	55	5.65
Galle Fort Hotel (Private) Limited	10.1%	11.5%	55	4.67
Darley Butler & Company Limited	10%	11.5%	55	135.71
Candy Delights Limited	10%	11.5%	55	11.10
SunAgro Life Science Limited	10%	11.5%	55	2.24
SunAgro Foods Limited	10%	11.5%	55	0.21
Sun Agro Farms Limited	10%	11.0%	55	0.27
Lankem Paints Limited	10%	11.5%	55	6.48
Lankem Consumer Products Limited	10%	11.5%	55	0.60
Lanka Special Steels Limited	10%	11.5%	55	15.80
Lak Kraft (Private) Limited	10%	11.5%	60	0.47
Sherwood Holidays Limited	10%	11.5%	60	1.10
Alliance Five (Private) Limited	10%	11.5%	55	6.46
Kiffs (Private) Limited	10%	11.5%	55	4.18
C M Holdings PLC - Group	KIA Motors (Lanka) Limited - 10% Colonial Motors (Ceylon) Limited 8% Carplan Limited - 10%	11.5%	55	46.52

xii) No provision has been made for Retiring Gratuity in the accounts of The Colombo Fort Land & Building PLC, York Arcade Holdings PLC, Colombo Fort Holdings Limited, Capital Leasing Company Limited, Transways (Private) Limited, Union Group (Private) Limited and C.F. Travels (Private) Limited as these companies do not employ any staff. All operational services such as accountancy, secretarial and personnel are provided by Corporate Managers & Secretaries (Private) Limited to whom a fee is paid.

27.5 Sensitivity of Assumptions Employed in Actuarial Valuation

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would have affected the defined benefit obligation by the amounts shown below:

Consolidated	2019		2018	
	Increase Rs.'000	Decrease Rs.'000	Increase Rs.'000	Decrease Rs.'000
Movement by 1%				
Discount Rate	(527,321)	611,576	(1,024,277)	1,185,669
Future salary scale	503,730	(425,785)	1,076,127	(976,081)

28. RENT RECEIVED IN ADVANCE

As at 31st March,	GROUP		COMPANY	
	2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000
Balance at the beginning of the Year	26,692	30,162	8,772	187
Received during the Year	64,771	34,706	42,244	30,955
Amount Recognised as Income during the Year	(56,658)	(38,177)	(40,852)	(22,370)
Balance at the end of the Year	34,805	26,692	10,164	8,772
Amount falling due within one Year	(10,164)	(8,772)	(10,164)	(8,772)
Amount falling due after one Year	24,641	17,920	-	-

29. TRADE & OTHER PAYABLES

Trade Payables	2,722,158	2,774,610	-	-
Other Payables	4,914,245	3,622,154	26,866	13,845
Accrued Expenses	779,325	730,172	17,859	11,546
Bills Payables	878,887	91,535	-	-
Advance Received	516,535	403,282	-	-
Security Deposit	109,996	91,207	8,909	9,400
Unclaimed Dividend	-	58,308	5,933	5,604
	9,921,146	7,771,268	59,567	40,395

Notes to the Financial Statements contd.

30. RELATED PARTY TRANSACTIONS

As at 31st March,	GROUP		COMPANY	
	2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000
30.1 Amounts due from Related Parties				
Subsidiaries				
Agarapatana Plantations Limited	-	-	7,054	-
Beruwala Resorts PLC	-	-	459	1,928
Colombo Fort Group Services (Private) Limited	-	-	2,589	-
Colombo Fort Hotels Limited	-	-	142,583	141,934
Kotagala Plantations PLC	-	-	8,173	-
Lankem Ceylon PLC	-	-	38,856	44,328
Consolidated Tea Plantations Limited	-	-	30,984	27,303
Sigiriya Village Hotels PLC	-	-	1,103	1,703
York Hotel Management Services Limited	-	-	2,943	2,151
	-	-	234,744	219,347
Less: Transferred to Loan given to Related Parties				
Colombo Fort Hotels Limited	-	-	(70,000)	(80,000)
Consolidated Tea Plantations Limited	-	-	(27,000)	(27,000)
Less: Provision for Impairment (Note 30.1.1)	-	-	(7,377)	-
	-	-	130,367	112,347
Other Related Parties				
Capital Finance Limited	346	346	-	-
Colombo Fort Group Services (Private) Limited	-	8,102	-	658
Corporate Managers & Secretaries (Private) Limited	6,374	8,262	-	-
York Conventions (Private) Limited	5,495	5,462	3,442	3,418
Far Eastern Exports (Colombo) Limited	213	192	-	-
Others	1,559	1,787	-	-
	13,987	24,151	3,442	4,076
Less: Impairment Loss - Related Parties (Note 30.1.2)	(1,175)	(1,163)	-	-
	12,812	22,988	3,442	4,076
Total Amounts due from Related Parties	12,812	22,988	133,809	116,423
30.1.1 Subsidiaries				
Lankem Ceylon PLC	-	-	1,462	-
Colombo Fort Hotels Limited	-	-	4,550	-
Consolidated Tea Plantations Limited	-	-	1,365	-
	-	-	7,377	-
30.1.2 Other Related Parties				
Others	1,175	1,163	-	-
	1,175	1,163	-	-

As at 31st March,	GROUP		COMPANY	
	2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000
30.2 Amounts due to Related Parties				
Subsidiaries				
C M Holdings PLC	-	-	71,524	75,292
Capital Leasing Co. Limited	-	-	1,100	1,125
Carplan Limited	-	-	238	437
Colombo Fort Holdings Limited	-	-	40,254	39,727
Creasy Platation Management Limited	-	-	4,583	4,583
E.B. Creasy & Co PLC	-	-	-	27,163
Guardian Assets Management Limited	-	-	27,861	28,281
KIA Motors Limited	-	-	3,000	3,000
Lankem Platations Services Limited	-	-	4,583	4,583
Lankem Tea & Rubber Platations (Private) Limited	-	-	19,162	38,641
Union Investments (Private) Limited	-	-	6,748	6,135
York Arcade Holdings PLC	-	-	64,344	38,765
York Hotels (Kandy) Limited	-	-	151,621	140,033
	-	-	395,018	407,765
Associates				
Capital Investments Limited	1,523	5,601	1,524	5,601
Colombo Fort Investments PLC	49,320	44,799	49,320	44,799
Colombo Investment Trust PLC	51,710	44,713	51,710	44,713
	102,553	95,113	102,554	95,113
Affiliates				
Colombo Fort Group Services Limited	-	7,046	-	-
Colombo Fort Properties (Pvt) Limited	-	-	624	-
Consolidated Holdings Limited	2,239	2,130	2,239	2,130
Corporate Holdings (Private) Limited	33,607	26,884	30,119	26,696
Corporate Managers & Secretaries (Private) Limited	50,425	43,431	28,075	23,084
Property & Investment Holdings Limited	22,291	23,514	19,370	20,587
Ceylon Tea Brokers PLC	136,193	174,632	-	-
Financial Trust Limited	150,592	84,487	150,593	84,487
Sunquick Lanka (Private) Limited	546,584	202,788	-	-
Others	465	5,173	-	-
	942,396	570,085	231,020	156,984
Total Amounts due to Related Parties	1,044,949	665,198	728,592	659,862
Interest-bearing Borrowings (Note 30.2.1)	232,900	155,900	429,900	369,900
Non-interest-bearing Borrowings	812,049	509,298	298,692	289,962
	1,044,949	665,198	728,592	659,862

Notes to the Financial Statements contd.

As at 31st March,	GROUP		COMPANY	
	2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000
30.2.1 Interest-bearing Borrowings				
Subsidiaries				
C M Holdings PLC	-	-	32,000	40,000
Colombo Fort Holdings Limited	-	-	26,000	28,000
Creasy Plantation Management Limited	-	-	2,000	2,000
E.B. Creasy & Co PLC	-	-	-	27,000
Lankem Plantation Services Limited	-	-	2,000	2,000
York Arcade Holdings PLC	-	-	50,000	30,000
York Hotel (Kandy) Limited	-	-	85,000	85,000
	-	-	197,000	214,000
Associates				
Colombo Fort Investments PLC	30,000	29,000	30,000	29,000
Colombo Investment Trust PLC	33,000	31,000	33,000	31,000
	63,000	60,000	63,000	60,000
Other Related Parties				
Consolidated Holdings (Private) Limited	800	800	800	800
Corporate Holdings (Private) Limited	15,100	15,100	15,100	15,100
Corporate Managers & Secretaries (Private) Limited	20,000	-	20,000	-
Financial Trust Limited	120,000	60,000	120,000	60,000
Property & Investment Holdings Limited	14,000	20,000	14,000	20,000
	169,900	95,900	169,900	95,900
	232,900	155,900	429,900	369,900

30.3 Transactions with Related Parties

The Company carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standard (LKAS) 24 - 'Related Party Disclosures, the details of which are reported below:

As at 31st March,	GROUP		COMPANY	
	2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000
Subsidiaries				
(Receiving)/Rendering of Services	-	-	12,012	22,501
Loans (Taken)/Given	-	-	(30,000)	(30,000)
Interest (Expenses)/Income	-	-	(12,282)	13,495
Dividend (Paid)/Received	-	-	20,999	59,501
Rent (Taken)/Given	-	-	28,750	23,242
Guarantee Commission (Taken)/Given	-	-	704	5,680
(Received)/Payment of Outstanding Balances	-	-	5,804	(125,327)
Advance (Taken)/Given	-	-	2,574	-
Disposal (Acquisition) of Shares	-	-	-	(283,178)
Transfer (Into) / Out of Current Account	-	-	-	(24,459)
Disposal /(Acquisition) of Fixed Asset	-	-	-	(112,392)
Associates				
Loans (Taken)/Given	-	(13,000)	-	(13,000)
Interest (Expenses)/Income	(8,067)	9,092	(8,065)	(9,092)
Dividend (Paid)/Received	(17,820)	(5,752)	(7,306)	(5,752)
(Received)/Payment of Outstanding Balances	-	37,435	625	37,435
Transfer (Into) / Out of Current Account	(2,246)	(2,343)	-	(2,943)
Disposal (Acquisition) of Shares	(342)	(2,091)	-	(2,091)
Related Parties				
(Purchases)/Sales of Goods	1,145,042	1,459,077	-	-
(Received)/Payment of Rendering of Services	(601,913)	(207,745)	24	(3,933)
Dividend (Paid)/Received	-	-	(6,466)	(6,380)
Interest (Expenses)/Income	-	-	(21,063)	(11,513)
Loans (Taken)/Given	-	-	(30,000)	(30,000)
(Received)/Payment of Outstanding Balances	-	-	1,041	6,863
Transfer (Into) / Out of Current Account	-	-	-	17,260
Rent (Taken)/Given	-	-	-	1,170
Advance (Taken)/Given	-	-	(18,400)	-

30.4 Terms and Conditions of Transactions with Related Parties

Transactions with related parties are carried out in the ordinary course of the business at commercial rates. Outstanding balances at year end are unsecured and no interest was charged during the year. Interest on balance transferred to interest-bearing liabilities are charged at market rate.

30.5 Recurrent and Non-Recurrent Related Party Transactions

During the year there were no Non-Recurrent transactions and Recurrent transactions for the Company, which exceeded the disclosure threshold mentioned in Section 9 of the Colombo Stock Exchange Rules.

Notes to the Financial Statements contd.

30.6 Transactions with Key Management Personnel

According to Sri Lanka Accounting Standard LKAS 24 - 'Related Party Disclosures', Key Management Personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, Key Management Personnel include the members of the Board of Directors (Including Executive and Non Executive Directors) of The Colombo Fort Land & Building PLC and its subsidiary companies.

(a) Loans to Key Management Personnel

No loans have been given to Key Management Personnel during the year.

(b) Key Management Personnel Compensation

Details of compensation for Executive and Non-Executive Directors are disclosed below:

As at 31st March,	GROUP		COMPANY	
	2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000
Short-Term Employee Benefits	525,189	499,257	12,113	12,000

(c) Key Management Personnel Shareholding of the Company

The shareholdings of the Directors are disclosed on page 17 of this Annual Report.

(d) Transactions with Close Family Members

There were no transactions with close family members during the year.

30.7 The Directors of the Company are also Directors of the following Companies:

Name of the Company	Relationship	Name of the Director								
		Mr. A. Rajaratnam	Mr. S.D.R. Anudpragasam	Mr. A.M. de S. Jayaratne	Mr. R. Seevaratnam	Mr. Anushman Rajaratnam	Ms. A.K. Gunawardhana	Mr. C.P.R. Perera	Mr. P. M. A. Sirimane	Mr. S. Rajaratnam
The Colombo Fort Land & Building PLC	-	✓	✓	✓	✓	✓	✓	✓	✓	✓
Agarapatana Plantations Limited	Subsidiary	✓	✓					✓	✓	
American Lloyd Travels Limited	Subsidiary									
Beruwala Resorts PLC	Subsidiary	✓	✓					✓		✓
C M Holdings PLC	Subsidiary	✓	✓	✓		✓				✓
C. F. Travels Limited	Subsidiary	✓								✓
Capital Leasing Company Limited	Subsidiary	✓	✓			✓			✓	
Carplan Limited	Subsidiary	✓	✓	✓						
Colombo Fort Group Services (Private) Limited	Subsidiary		✓			✓			✓	
Colombo Fort Holdings Limited	Subsidiary	✓								✓
Colombo Fort Hotels Limited	Subsidiary	✓	✓			✓				✓
Colombo Fort Properties (Private) Limited	Subsidiary	✓								
Consolidated Tea Plantations Limited	Subsidiary	✓	✓					✓		
Creasy Plantation Management Limited	Subsidiary	✓	✓							
Darley Butler & Company Limited	Subsidiary	✓	✓	✓	✓				✓	✓
E.B. Creasy & Company PLC	Subsidiary	✓	✓	✓	✓				✓	✓
Guardian Asset Management Limited	Subsidiary		✓							
KIA Motors (Lanka) Limited	Subsidiary	✓	✓	✓						
Kotagala Plantations PLC	Subsidiary	✓	✓	✓				✓		
Lankem Ceylon PLC	Subsidiary	✓	✓		✓	✓			✓	
Lankem Plantation Services Limited	Subsidiary	✓	✓							
Lankem Tea & Rubber Plantations (Private) Limited	Subsidiary	✓	✓			✓		✓		

Name of the Company	Relationship	Name of the Director								
		Mr. A. Rajaratnam	Mr. S.D.R. Anudpragasam	Mr. A.M. de S. Jayaratne	Mr. R. Seevaratnam	Mr. Anushman Rajaratnam	Ms. A.K. Gunawardhana	Mr. C.P.R. Perera	Mr. P. M. A. Sirimane	Mr. S. Rajaratnam
Marawila Resorts PLC	Subsidiary	✓	✓					✓		✓
Muller & Phipps (Ceylon) PLC	Subsidiary		✓						✓	
SunAgro Foods Limited	Subsidiary		✓			✓				
SunAgro LifeScience Limited	Subsidiary		✓			✓				
Sigiriya Village Hotels PLC	Subsidiary	✓	✓					✓		✓
Sunquick Lanka (Private) Limited	Subsidiary					✓				
Transways (Private) Limited	Subsidiary									
Union Investments (Private) Limited	Subsidiary	✓	✓	✓		✓				✓
Voyages Ceylan (Private) Limited	Subsidiary									
York Arcade Holdings PLC	Subsidiary	✓	✓	✓						✓
York Hotel Management Services Limited	Subsidiary		✓							✓
York Hotels (Kandy) Limited	Subsidiary		✓			✓				✓
York Tours Limited	Subsidiary									
Capital Investments Limited	Associate	✓	✓							
Colombo Fort Investments PLC	Associate	✓	✓	✓						✓
Colombo Investment Trust PLC	Associate	✓	✓	✓						✓
Capital Finance Limited	Related Company	✓								
Ceylon Tea Brokers PLC	Related Company							✓		
Consolidated Holdings (Private) Limited	Related Company	✓	✓							
Corporate Holdings (Private) Limited	Related Company						✓			
Corporate Managers & Secretaries (Private) Limited	Related Company									
Far Eastern Exports (Colombo) Limited	Related Company	✓	✓			✓				
Financial Trust Limited	Related Company	✓				✓				✓
Property & Investment Holdings (Private) Limited	Related Company		✓			✓				✓
York Conventions (Private) Limited	Related Company	✓								

Mr. A. Rajaratnam resigned from the following Boards as mentioned below

- C. F. Travels Limited, Capital Leasing Co. Limited, Colombo Fort Hotels Limited, Far Eastern Exports (Colombo) Limited & York Conventions (Private) Limited with effect from 15.05.2018.
- Darley Butler & Company Limited with effect from 31.05.2018.
- Carplan Limited & Kia Motors (Lanka) Limited with effect from 12.03.2019.
- Beruwala Resorts PLC, Lankem Ceylon PLC, Marawila Resorts PLC & Sigiriya Village Hotels PLC with effect from 31.03.2019.

Ms. A.K. Gunawardhana resigned from the Board of The Colombo Fort Land & Building PLC with effect from 15.01.2019.

The above Note should be read in conjunction with Notes 14.1, 30 & 35.1

31. COMPARATIVE INFORMATION

To facilitate comparison and where relevant, balance pertaining to the previous year have been re-classified, as necessary. However, such reclassifications did not have any effect on the net profit or equity of the comparative year.

Notes to the Financial Statements contd.

32. FINANCIAL INSTRUMENTS

Financial Risk Management

Overview

The Group has exposure to the following risks from its use of financial instruments:

- Credit risk
- Liquidity risk
- Market risk

This note presents qualitative and quantitative information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risks.

Risk Management Framework

The Board of Directors have overall responsibility for the establishment and oversight of the Group's risk management framework. The Group's risk management policies are established to identify and analyses the risk faced by the Group, to set appropriate risk limits and controls, and to monitor risk and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations.

32.1 Credit Risk

Credit risk is the risk of financial loss to the Group if a customer or counter party to a financial instrument fails to meet its contractual obligation, and arises principally from the Group's receivables from customers, investment and forward contracts.

Group's credit exposure is closely monitored. Credit given is reviewed worth the predetermine approval procedures and contractual agreement made for every high value transaction.

32.1.1 Exposure to Credit Risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was as follows;

As at 31st March,	GROUP		COMPANY	
	2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000
Trade and Other Receivables	8,287,518	9,034,641	17,341	2,368
Amount due from Related Companies	12,812	22,988	230,809	223,423
Cash & Cash Equivalents	944,281	2,025,118	14,451	128,735
	9,244,611	11,082,747	262,601	354,526

The ageing of amount due from related companies as at the reporting date was as follows;

	GROUP				COMPANY			
	Gross 31.03.2019	Impairment 31.03.2019	Gross 31.03.2018	Impairment 31.03.2018	Gross 31.03.2019	Impairment 31.03.2019	Gross 31.03.2018	Impairment 31.03.2018
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Past due 0-365 days	-	-	-	-	14,944	-	49,143	-
More than one year	13,987	(1,175)	24,151	(1,163)	215,865	7,377	174,280	-
	13,987	(1,175)	24,151	(1,163)	230,809	7,377	223,423	-

32.2 Liquidity Risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset.

The following are the contractual maturities of financial liabilities, including estimated interest payments and excluding of netting agreements.

As at 31st March	2019				2018			
	Carrying	Contractual	Less than	More than	Carrying	Contractual	Less than	More than
	Amount	Cash Flows	1 year	1 year	Amount	Cash Flows	1 year	1 year
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
GROUP								
Non- Derivative Financial Liabilities								
Land and Borrowings	18,550,081	18,550,181	10,849,988	7,700,093	19,597,402	19,597,402	12,542,010	7,055,392
Trade & other payables	10,319,555	10,319,555	10,294,915	24,640	8,186,196	8,186,196	8,168,276	17,920
Amounts due to Related Party	1,044,949	1,044,949	1,044,949	-	665,198	665,198	665,198	-
Bank overdraft	3,102,465	3,102,465	3,102,465	-	3,295,897	3,295,897	3,295,897	-
Total	33,017,050	33,017,050	25,292,371	7,724,733	31,744,693	31,744,693	24,671,381	7,073,312

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

COMPANY

Non- Derivative Financial Liabilities

Loans and Borrowings	154,389	154,389	46,576	107,813	237,591	237,591	71,129	166,462
Trade & other payables	59,567	59,567	59,567	-	97,695	97,695	97,695	-
Amounts due to Related Party	728,592	728,592	728,592	-	659,862	659,862	659,862	-
Bank overdraft	-	-	-	-	106,264	106,264	106,264	-
Total	942,548	942,548	834,735	107,813	1,101,412	1,101,412	934,950	166,462

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

32.3 Market Risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates etc. will affect the Group's income or the value of its holdings of financial instruments. The objective of the market risk management is to manage and control market risk exposures within acceptable parameters while optimizing the returns.

32.4 Currency Risk

The Group is exposed to currency risk on purchases and borrowings that are denominated in a currency other than the functional currency which is Sri Lankan Rupees.

Sensitivity Analysis

A strengthening or weakening of Sri Lankan Rupee, as indicated below, against the other currencies at 31st March 2019 would have increased/ (decreased) the equity and profit or loss by the amounts shown below. This analysis is based on foreign currency exchange rate variances that the Group considered to be reasonably possible at the end of the reporting period. The analysis assumes that all other variables, in particular interest rates, remain constant.

Notes to the Financial Statements contd.

Increase /(Decrease) in Exchange rate

As at 31 March	Effect on Profit before Tax	
	2019 Rs.'000	2018 Rs.'000
Dollar (USA) + 10%	(455,103)	(650,065)
Dollar (USA) - 10%	455,103	650,065
Euro +10%	(1,245)	(2,372)
Euro -10%	1,245	2,372
Great Britain Pound +10%	(1,470)	-
Great Britain Pound -10%	1,470	-
Yen (Japan) +10%	(2,188)	(2,466)
Yen (Japan) -10%	2,188	2,466

32.5 Interest Rate Risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group's exposure to the risk of changes in the market interest rate relates primarily to Group's long term debt obligations and investments with floating interest rates. The Group utilises various financial instruments to manage exposures to interest rate risks arising due to financial instruments. However, the company does not have material long term floating rate borrowings or deposits as at the reporting date which results a material interest rate risk.

The following table demonstrates the Group sensitivity to a reasonably possible change in interest rates, with all other variables held constant, of the profit before tax.

As at 31 March	Effect on Profit before Tax	
	2019 Rs.'000	2018 Rs.'000
Variable rate instrument (1% decrease)	139,958	140,724
Variable rate instrument (1% Increase)	(139,958)	(140,724)

32.6 Capital Management

The Board's policy is to maintain a strong capital base so as to maintain shareholder, creditor and market confidence and to sustain future development of the business. The Board of Directors monitors the return on capital and level of dividends paid out to ordinary shareholders.

Bank Overdrafts with variable interest rates are used to manage the working capital requirements of the Group. Major projects are financed by funds received from long term borrowings as well as reserves of the Group.

The Group's debt to equity ratio at the end of the reporting period was as follows:

As at 31st March,	GROUP		COMPANY	
	2019 Rs.'000	2018 Rs.'000	2019 Rs.'000	2018 Rs.'000
Total Liabilities	38,991,710	36,316,429	1,196,000	1,290,287
Less: Cash and Cash Equivalents	944,281	2,025,118	14,451	128,735
Net Debt	38,047,429	34,291,311	1,181,549	1,161,552
Total Equity	5,529,019	5,126,930	1,413,052	1,423,663
Net Debt to Equity Ratio	688%	669%	84%	82%

There were no changes in the Group's approach to capital management during the year and the Group is not subject to externally imposed capital requirements.

32.7 Fair Values

Fair Values Versus Carrying Amounts

The fair values of financial assets and liabilities, together with the carrying amounts in the Statement of Financial Position, are as follows:

31st March, 2019	Note	Group					
		Investments Classified as Financial Assets FVOCI Rs.'000	Investments Classified as Financial Assets FVTPL Rs.'000	Financial Assets at Amortised Cost Rs.'000	Financial Liabilities at Amortised Cost Rs.'000	Total Carrying Value Rs.'000	Fair Value Rs.'000
Investment in Equity Securities	16.1	433,457	-	-	-	433,457	433,457
Unit trust	16.1.3	193,045	-	-	-	193,045	193,045
Trade & Other Receivables	19	-	-	8,287,158	-	8,287,158	8,287,158
Amounts due from Related Parties	30	-	-	12,812	-	12,812	12,812
Other financial assets	16	-	568,352	-	-	568,352	568,352
Cash & Cash Equivalents	20	-	-	944,281	-	944,281	944,281
		626,502	568,352	9,244,611	-	10,439,465	10,439,465
Trade & Other Payables	29	-	-	-	9,921,146	9,921,146	9,921,146
Amounts due to Related Parties	30	-	-	-	1,044,949	1,044,949	1,044,949
Loans and Borrowings	24	-	-	-	18,550,081	18,550,081	18,550,081
Bank Overdraft	20	-	-	-	3,102,465	3,102,465	3,102,465
Other liabilities		-	-	-	952,331	952,331	952,331
		-	-	-	33,570,972	33,570,972	33,570,972

	Note	Company					
		Investments Classified as Financial Assets FVOCI Rs.'000	Investments Classified as Financial Assets FVTPL Rs.'000	Financial Assets at Amortised Cost Rs.'000	Financial Liabilities at Amortised Cost Rs.'000	Total Carrying Value Rs.'000	Fair Value Rs.'000
Investment in Equity Securities	16.2	1,027	-	-	-	1,027	1,027
Loans Due from Related Parties	30	-	-	97,000	-	97,000	97,000
Trade & Other Receivables	19	-	-	17,341	-	17,341	17,341
Amounts due from Related Parties	30	-	-	141,186	-	141,186	133,809
Cash & Cash Equivalents	20	-	-	9,576	-	9,576	9,576
Deposits with Banks	20	-	-	4,875	-	4,875	4,875
		1,027	-	269,978	-	271,005	263,628
Bank Loans	24	-	-	-	154,389	154,389	154,389
Bank Overdraft	20	-	-	-	-	-	-
Trade and Other Payables	29	-	-	-	59,567	59,567	59,567
Amounts due to Related Parties	30	-	-	-	728,592	728,592	728,592
		-	-	-	942,548	942,548	942,548

Notes to the Financial Statements contd.

33. FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES NOT CARRIED AT FAIR VALUE

For financial assets and financial liabilities that have a short term maturity (original maturities less than a year), it is assumed that the carrying amounts approximate their fair values. Further, other borrowed funds with a variable interest rate are also considered to be carried at fair value.

Assets and liabilities (excluding financial assets and liabilities) measured at fair value - Recurring

Asset / Liability	Valuation technique	Significant unobservable inputs	Sensitivity of the input to the fair value	Level 1	Level 2	Level 3
Biological Assets						
Gain arising from changes in fair value.	Discounted cash flows The valuation model considers present value of future net cash flows expected to be generated by the plantation from the timber content of managed timber plantation on a tree-per-tree basis . Expected cash flows are discounted using a risk-adjusted discount rate of 16.3% comprising a risk premium of 3.8% . Trees have been valued as per the current timber prices per cubic meter which is the recent selling price of a cubic meter of the specific species.	Determination of timber content Species planted in separate blocks as at the reporting date have been identified by a qualified forestry officer of the company and the timber content has been estimated based on the age and current cubic content. the estimated fair value at the time of harvesting each specific species is sensitive to the following variables, - the estimated timber content. Determination of price of timber Trees have been valued as per the current timber prices per cubic meter which is the recent selling price of a cubic meter of the specific species.	The estimated fair value at the time of harvesting each specific species is sensitive to the following variables, • the estimated timber content • the estimated timber prices per cubic meter • the estimated selling related costs. • the estimated maturity age • the risk-adjusted discount rate.	-	-	197mn

Assets and liabilities for which fair values are disclosed - Recurring

Asset / Liability	Valuation technique	Significant unobservable inputs	Level 1	Level 2	Level 3
Property Plant and Equipment					
- Freehold land and buildings	Market comparable method This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of property being revalued. This involves evaluation of recent active market prices of similar assets, making appropriate adjustments for difference in size, nature and location of the property.	Price per perch /Per Square Feet	-	-	10,380 mn
Investment Property					
- Freehold land and buildings	Market comparable method / Income Method Market comparable method: This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of property being revalued. This involves evaluation of recent active market prices of similar assets, making appropriate adjustments for difference in size, nature and location of the property. Income Method: The net income generated by the property is used in conjunction with certain factors is used to calculate its fair value.	Price per perch / Per Square Foot and Cash flows from Investment property discounted at an appropriate rate	-	-	5,556 mn

34. CAPITAL AND FINANCIAL COMMITMENTS

34.1 Company

The Company had no material capital or financial commitments as at the reporting date.

34.2 Group

The Group had no significant capital or financial commitments as at the reporting date other than those disclosed below:

34.2.1 Agarapatana Plantations Limited

As at 31st March,

	2019 Rs.Million	2018 Rs.Million
a) Field Development	71.7	201.1
b) Machinery & Factory Development	113.4	160.6

34.2.2 C W Mackie PLC

During the period, Sunquick Lanka (Private) Limited (the Joint Venture Company) entered into a contract to purchase plant and machinery worth of USD 1.5 million, of which the balance commitment outstanding as at 31 March 2019 is USD 0.39 million.

Notes to the Financial Statements contd.

35. CONTINGENT LIABILITIES / ASSETS

There are no material contingent liabilities / assets outstanding as at the date of the Statement of Financial Position, other than those disclosed below:

35.1 Company

The Company has issued Corporate Guarantees for the borrowings by the subsidiary companies as indicated below,

As at 31st March, Financial Institutions/Companies	Name of the Company	2019 Rs.'000	2018 Rs.'000
Commercial Bank of Ceylon PLC	American Lloyd Travels Limited	10,000	10,000
Commercial Bank of Ceylon PLC	York Hotel Management Limited	20,000	20,000
		30,000	30,000

35.2 Group

35.2.1 Contingent Liabilities

(i) E.B.Creasy & Company PLC

Contingent liabilities exist in relation to guarantees issued by E.B.Creasy & Company PLC to financial institutions on behalf of its subsidiaries to obtain bank facilities from Financial Institutions are as follows:

As at 31st March,	2019 Rs.'000	2018 Rs.'000
Darley Butler & Company Limited	130,000	130,000
	130,000	130,000

(ii) Lanka Special Steels Limited

Lanka Special Steels Limited has given a guarantee of Rs. 26,070,650 to Sri Lanka Custom and it was outstanding as at 31st March 2019.

(iii) Lankem Ceylon PLC

Lankem Ceylon PLC has issued Corporate Guarantees for borrowings obtained by the related companies indicated below as at 31st March 2019.

As at 31st March,	2019 Rs.'000	2018 Rs.'000
Darley Butler & Company Limited	130,000	130,000
Galle Fort Hotels Limited	-	-
Lankem Development PLC	62,080	62,080
SunAgro Foods Limited	110,000	185,000
SunAgro LifeScience Limited	354,972	310,000
Waverly Power (Private) Limited	-	-
Agarapatana Plantations Limited	200,000	200,000
J.F.Packaging (Private) Limited	597,000	150,000
	1,454,052	1,037,080

(iv) C.W. Mackie PLC

The following contingent liabilities exist as at the reporting date on account of the letters of comfort and guarantees given by the Company:

As at 31st March,	2019 Rs.Million	2018 Rs.Million
Ceymac Rubber Company Limited	99	99
Ceytra (Private) Limited	8	8
Kelani Valley Canneries Limited	90	90
	197	197
<i>Outstanding short term loan facilities</i>		
Ceymac Rubber Company Limited	72	69
Kelani Valley Canneries Limited	65	72
	137	141

These corporate guarantees have been provided for Hatton National Bank PLC and Commercial Bank of Ceylon PLC on behalf of the subsidiary companies Ceymac Rubber Company Limited, Ceytra (Private) Limited and Kelani Valley Canneries Limited for short term loan facilities, where repayment terms are less than 12 months.

(v) KIA Motors (Lanka) Limited

KIA Motors (Lanka) Limited was a bona-fide purchaser of land in extent of 3 Acres, 1 Rood and 4.4 Perches at Malabe in 2012. The cost of which is shown under freehold land in Note 6 to these financial statements. The property is the subject matter of litigation, as informed to the KIA Motors (Lanka) Limited, by a petitioner who had made a Revision Application. KIA Motors (Lanka) Limited has intervened in this matter in the Supreme Court and has been defending its position since 2013/2014. Legal advice indicates that KIA Motors (Lanka) Limited will not forfeit physical possession of the property. However, as at the date of issue of these financial statements, final outcome of the litigation cannot be determined as per the legal counsel to KIA Motors (Lanka) Limited.

KIA Motors (Lanka) Limited has filed two Writ applications against the orders of the Consumer Affairs Authority in the Court of Appeal, in relation to customer claims. The matters are fixed for argument on 19th September, 2019.

KIA Motors (Lanka) Limited has been defending a case filed against the company by a service provider for purported invoices raised for services on designing, planning, and management of the construction of the showroom and services complex. The company has disclaimed the liability and preferred a counter claim. No provision in relation to this claim has been recognised in these consolidated financial statements, pending a final outcome from the court.

Notes to the Financial Statements contd.

36. GOING CONCERN

Group

The Group a loss of Rs.3.2 billion and the Company has incurred a profit of Rs.22.7 Million respectively for the year ended 31 March 2019. Further, the Group and the Company have reported accumulated reserves of Rs.5.2 billion and Rs.1.1 billion respectively and current liabilities exceeded the current assets by Rs. 8.3 billion and Rs. 0.6 billion respectively as at 31 March 2019. However, the management envisages that implementation of new strategic plan focusing on core-business of the company and expansion of operations of Subsidiaries will help to establish long term sustained profitability in the business sectors in which the Group and the Company operate. Thus, the Directors are of the view that the Group and the Company would be able to continue as a going concern in the foreseeable future.

(i) Agarapatana Plantations Limited

The Company has incurred a net loss of Rs. 103 million for the year ended 31 March 2019 and as of that date has reported accumulated losses of Rs. 1,175 million.

The fact that the tea industry strongly believe that the current prices will remain firm in the next year too and based on the following action plans appended below it could be fairly justified that the working capital position will be well improved in the near future.

After reviewing the financial position and cash flow of the Company the Board of Directors are of the belief that the Company has adequate resources to continue Company operation well in to the foreseeable future. Therefore, the Board adopts the going concern basis in preparing Financial Statements.

The Directors of the Company are confident that the financial position of the company will significantly improve during the year 2019/20. The fact that tea industry strongly believe current prices will improve in the next year and based on the following action plans appended below it could be fairly justified that the working capital position will be well improved in the near future.

- The first application of Fertilizer was given in June 2019, the second application is in progress and the third and the fourth application too will be applied during August, September and October 2019 and hence a significant improvement to the yield and quality as well is expected during the current year. A separate working capital facility of Rs.150 Mn is being currently negotiated with a Bank for the supply of fertilizer, chemicals and other related agricultural inputs which are mandatory.
- Negotiations are underway with a Bank to raise a working capital facility of Rs.450 Mn at the rate of 14% to replace the monthly Broker borrowings at 19%.
- The Company has already planned for mechanised plucking and has recruited a specialist to implement machine plucking to increase the crop by at least 20% during the current year and thereafter it is expected to improve by 30% to 40% in the future years. It is estimated that savings in terms of cost of plucking per kg would be in the range of 20% to 25%.
- The Board of Directors has decided to extend the moratorium placed on Management Fees for the coming financial year too.

(ii) Lankem Developments PLC

Lankem Developments PLC, a subsidiary, has recorded accumulated Losses of Rs. 785.71 Million as at 31st March 2019 and as of that date the Company's Current Liabilities exceeded its Current Assets by Rs. 114.55 Million. However the management is of the view that the investments in Plantation sector and Hydro Power Plants will generate profits in the future as explained below. Accordingly, the Directors of the Company are of the view that the Company is able to continue as a going concern and the Financial Statements of the Company have been prepared on the assumption that the Company is a going concern.

Wavely Power (Pvt) Limited, a Subsidiary of the Company has reported a profit of Rs. 49.53 Million for the year ended 31st March 2019 and positive net assets is Rs. 194.35 Million as at the reporting date. Further, Wavely Power (Pvt) Limited has signed an agreement with Ceylon Electricity Board to supply electricity for the period of 20 years starting from the date of commercial operations.

(iii) Kotagala Plantations PLC

The Board of Directors have made an assessment of the Group's ability to continue as a going concern and they do not intend either to liquidate or to cease trading.

The Group has incurred a loss of LKR 1,077 Million during the year ended 31st March 2019 and as of that date, accumulated losses amounted to LKR 350 Million. Further, the Group's current liabilities exceeded its current assets by LKR 2,459 Million as at the reporting date. The current liabilities of the Group includes loans and borrowings amounting to LKR 937 Million which are due within 12 months from 31st March 2019.

In assessing the appropriateness of the use of going concern basis of accounting in the preparation of financial statements Directors conducted a comprehensive review of the Company's affairs including, but not limited to:

- The cash flow forecast of the Company for the period up to next 12 months.
- The Company's ability of settling the outstanding bank loans, lease rental, statutory payables and other liabilities when they fall due and payable.
- Revenue and profitability forecasts for the Company for not only the next financial year, but beyond 31st March 2020, and
- The continued support of the ultimate parent company

Notwithstanding this, the Financial Statements has been prepared on the going concern basis because the board of directors have assessed the sources of funding available to the Group, and firmly believe that the Group can continue as a going concern for the foreseeable future.

37. EVENTS OCCURRING AFTER THE REPORTING DATE

37.1 Company

There were no material events that have taken place after the reporting date, which required adjustments to or disclosures in the Financial Statements.

37.2 Group

(i) C.W. Mackie PLC

The Directors of C. W. Mackie PLC have recommended the payment of a first and final dividend of Rs. 3.50 per ordinary share amounting to Rs.125,959,946/- for the year ended 31 March 2019 for approval by the shareholders at the Annual General Meeting to be held on 27 June 2019. In accordance with the Sri Lanka Accounting Standard 10 (LKAS 10) "Events after the Reporting Period", this proposed dividend has not been recognised as a liability as at 31 March 2019.

(ii) C M Holdings PLC

The Board of Directors of C M Holdings PLC has proposed a First and Final Dividend of Rs. 2.00 per share for the year ended 31st March 2019. The Dividend so proposed is subject to the approval of the shareholders at the Annual General Meeting (AGM) of C M Holdings PLC and has not been recognized as a liability in the Financial Statements as at 31st March 2019.

The Company has entered into an agreement on 2nd August 2019, for the sale of 42,000,000 ordinary shares of KIA Motors (Lanka) Limited for a consideration of Rs.714 million to Mr. Mahendra Thambiah subject to the fulfilment of identified terms and conditions and consequent to giving effect to part of the terms and conditions set out in the sale agreement KIA Motors (Lanka) Limited and its subsidiary Carplan Limited has ceased to be subsidiaries of C M Holdings PLC as of 6th August 2019.

(iii) E.B. Creasy & Company PLC

The Directors have recommended the payment of a First and Final dividend of Rs. 12.00 per share for the year ended at 31st March, 2019 which will be declared at the Annual General Meeting to be held on 30th September 2019. In accordance with the Sri Lanka Accounting Standard 10 – "Event Occurring after the Reporting Date" this proposed First and Final dividend has not been recognised as a liability in the Financial Statements for the year ended 31st March 2019.

On 15th August 2019, the Company invested in 5 million Ordinary Shares in its subsidiary Darley Butler & Company Limited on for a total consideration of Rs. 950 million.

The Company issued a Corporate Guarantee for Rs. 200 million as security for a loan on behalf of Lankem Ceylon PLC.

Notes to the Financial Statements contd.

(iv) Laxapana Batteries PLC

The Directors have proposed the payment of First and Final Dividend of Rs.0.25 per share on Ordinary Shares amounting to Rs.9,750,000/- for the year ended 31st March 2019 (2018 - Rs. 30,030,000/-).

(v) York Hotels (Kandy) Limited

The name of the Company was changed to Imperial Hotels Limited with effect from 24th May, 2019.

38. OPERATING LEASE

The buildings of Beruwala Resorts PLC and Sigiriya Village Hotels PLC are constructed on land obtained on operating leases.

Company	Unexpired Period of the Lease
Beruwala Resorts PLC	30 Years
Sigiriya Village Hotels PLC	30 Years

Beruwala Resorts PLC

Beruwala Resorts PLC's buildings have been constructed on a land which was leased out from Sri Lanka Tourism Development Authority for 30 years commencing from 01st August 2007. The lease period will expire on 31st July 2037. The total amount of lease instalments paid for the year ended 31st March 2019 is Rs. 2,754,000/-

Sigiriya Village Hotels PLC

Sigiriya Village Hotels PLC's buildings have been constructed on a land which was leased out from Sri Lanka Tourism Development Authority for 30 years commencing from 02nd September 2009. The lease period will expire on 01st September 2039.

39. NON CONTROLLING INTERESTS IN SUBSIDIARIES

The following table summarises the information relating to subsidiaries that have material non controlling interest (NCI), before any intra-group eliminations.

	Trading Companies	2019 Leisure and Other	Plantation	Trading Companies	2018 Leisure and Other	Plantation
Revenue	37,284,985	2,789,953	7,264,624	38,346,601	2,389,628	8,542,754
Operating Profit / (Loss)	(56,327)	413,526	(487,906)	1,237,185	186,492	1,676,574
Finance Cost	(2,305,268)	(294,871)	(802,390)	(1,776,446)	(232,416)	(612,777)
Income Tax	373,047	(75,011)	(96,201)	7,846	(91,585)	(70,064)
Profit/ Loss After Tax	(1,988,548)	43,644	(1,386,497)	(531,415)	(137,508)	993,733
Total Comprehensive Income	2,231,251	1,174,960	(1,615,271)	(592,248)	(209,948)	956,960
Profit/ (Loss) allocated to NCI	1,301,960	530,807	(596,925)	(145,955)	(51,287)	426,228
Non Current Assets	14,354,158	5,176,888	9,743,311	8,936,208	3,920,210	9,537,947
Current Assets	19,603,388	1,875,212	2,254,422	20,716,747	1,470,043	3,147,932
Total Assets	33,957,546	7,052,100	11,997,733	29,652,955	5,390,253	12,685,879
Non Current Liabilities	6,650,624	1,542,946	5,377,754	4,683,407	1,090,435	5,805,418
Current Liabilities	21,336,600	2,519,582	7,709,439	20,904,842	2,133,715	6,617,755
Total Liabilities	27,987,224	4,062,528	13,087,193	25,588,249	3,224,150	12,423,173

Names of Significant Subsidiaries With Material Non Controlling Interest (NCI)

Trading Companies	Principal Place of Business	NCI Effective Holding	
		2019	2018
E. B. Creasy & Company PLC	No .98, Sri Sangaraja Mawatha, Colombo 10	40.10%	40.10%
Lankem Ceylon PLC	212 A 3/1, Nawala road, Rajagiriya	34.94%	34.94%
Colonial Motors Ceylon Limited	297, Union Place, Colombo 02	34.45%	34.45%
C M Holdings PLC	297, Union Place, Colombo 02	34.45%	34.45%
Muller & Phipps (Ceylon) PLC	No .98, Sri Sangaraja Mawatha, Colombo 10	69.28%	69.28%
Pettah Pharmacy (Private) Limited	No .98, Sri Sangaraja Mawatha, Colombo 10	69.28%	69.28%
E. B. Creasy Logistics Limited	No .98, Sri Sangaraja Mawatha, Colombo 10	40.11%	40.11%
Darley Butler & Company Limited	No .98, Sri Sangaraja Mawatha, Colombo 10	40.11%	40.11%
Candy Delights Limited	No .98, Sri Sangaraja Mawatha, Colombo 10	40.11%	40.11%
Laxapana Batteries PLC	No .98, Sri Sangaraja Mawatha, Colombo 10	69.11%	69.11%
C. W. Mackie PLC	No.36, D.R.Wijewardena Mawatha, Colombo 10	69.11%	62.16%
Lankem Paints Limited	Nawam Mawatha, Colombo 2	34.94%	34.94%
KIA Motors (Lanka) Limited	No. 297, Union Place, Colombo 02	54.12%	54.12%
Lanka Special Steels Limited	No. 53A, Ward Place, Colombo 07	40.11%	40.11%
Ceylon Tapes (Private) Limited	No. 10/2 Raja Mawatha, Kanuwana, Ekala, Ja-ela.	34.94%	34.94%
JF Packaging (Private) limited	No. 306, Minuwangoda road, Kotugoda.	34.94%	34.94%
Leisure and Other			
Sigiriya Village Hotels PLC	Sigiriya	57.82%	57.51%
Marawila Resorts PLC	Thalwilawella, Thoduwwa, Marawila	59.69%	59.03%
Colombo Fort Hotels Limited	8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 01	34.94%	34.94%
Galle Fort Hotel (Private) Limited	Galle	35.12%	34.36%
Baruwala Resorts PLC	Moragalla, Beruwala	51.03%	50.49%
BOT Hotel Services (Private) Limited	8-2/1, Leyden Bastian Road, York Arcade Building, Colombo 01	46.05%	45.44%
Waverly Power (Private) Limited	Agarapatana - Nuwara Eliya District.	44.88%	44.88%
Plantation			
Kotagala Plantations PLC	53-1/1, Sir Baron Jayatilaka Mawatha, Colombo 01	39.13%	39.14%
Agarapatana Plantations Limited	53-1/1, Sir Baron Jayatilaka Mawatha, Colombo 01	58.54%	58.91%
Lankem Development PLC	No .98, Sri Sangaraja Mawatha, Colombo 10	52.70%	52.57%
Lankem Tea & Rubber Plantations (Private) Limited	53-1/1, Sir Baron Jayatilaka Mawatha, Colombo 01	16.82%	16.82%

Notes to the Financial Statements contd.

40. OPERATING SEGMENTS

	Trading of Consumer Products			Trading of Industrial Products			Leisure			Plantations			Others			Total		
	2019	2018	Rs.'000	2019	2018	Rs.'000	2019	2018	Rs.'000	2019	2018	Rs.'000	2019	2018	Rs.'000	2019	2018	Rs.'000
Revenue	26,548,500	26,796,791	10,736,485	11,549,810	1,700,969	1,555,753	7,264,624	8,542,754	1,137,011	882,402	47,387,589	49,327,510						
Inter Segments	(5,338,539)	(5,655,198)	(82,115)	(89,616)	(2,617)	(3,819)	-	(8,355)	(274,962)	(277,136)	(5,698,233)	(6,034,124)						
Revenue from External Customers	21,209,961	21,141,593	10,654,370	11,460,194	1,698,352	1,551,934	7,264,624	8,534,399	862,049	605,266	41,689,356	43,293,386						
Segment Results after Eliminations	(29,954)	664,393	16,747	627,851	441,021	353,952	(232,597)	1,151,568	(118,513)	(287,158)	76,703	2,510,605						
Gain from Bargain Purchase	-	-	-	-	-	-	-	-	193	193	193	193						
Finance Expenses	(1,269,153)	(665,421)	(1,036,115)	(911,025)	(222,008)	(166,632)	(802,390)	(612,777)	(147,072)	(96,692)	(3,476,738)	(2,652,547)						
Share of Results of Associate	-	-	-	-	-	-	-	-	(6,889)	6,729	(6,889)	6,729						
Share of Results of Joint Venture	46,659	(20,697)	-	-	-	-	-	-	-	-	46,659	(20,697)						
Profit Before Tax	(1,252,447)	(221,725)	(1,019,368)	(283,174)	219,013	187,320	(1,034,987)	538,791	(272,282)	(376,928)	(3,360,072)	(155,717)						
Taxation	100,921	33,415	272,126	(25,569)	(56,564)	(60,843)	(96,201)	(70,064)	(24,832)	(29,498)	195,450	(152,560)						
Profit for the Year	(1,151,526)	(188,310)	(747,242)	(308,743)	162,449	126,477	(1,131,188)	468,727	(297,114)	(406,426)	(3,164,622)	(308,277)						
Equity Holders of the Parent	(780,745)	(176,981)	(583,820)	(244,524)	137,428	115,536	(638,613)	188,561	(308,051)	(382,557)	(2,173,802)	(499,967)						
Non Controlling Interest	(370,781)	(11,329)	(163,423)	(64,219)	25,021	10,941	(492,575)	280,166	10,938	(23,870)	(990,821)	191,690						
Total	(1,151,526)	(188,310)	(747,242)	(308,743)	162,449	126,477	(1,131,188)	468,727	(297,114)	(406,426)	(3,164,622)	(308,277)						
Depreciation and amortisation	471,249	476,550	227,941	272,291	127,437	145,499	371,677	331,510	53,498	38,848	1,251,801	1,281,751						
Property, Plant & Equipments - Additions	939,061	925,986	250,019	489,786	86,113	65,547	793,730	733,445	24,792	298,741	2,093,714	2,522,382						
Non-Current Assets	9,124,356	5,472,757	3,186,762	2,074,171	4,919,892	3,485,210	7,151,780	7,155,837	399,719	1,142,602	24,782,509	19,330,577						
Property, Plant & Equipment	-	-	-	-	-	-	409,436	436,750	2	6,670	409,439	443,421						
Leasehold Properties	919,387	283,156	92,674	118,844	157,144	157,144	-	-	804,232	86,861	1,973,438	644,860						
Investment Properties	-	-	-	-	-	-	-	-	-	-	1,988,592	1,777,139						
Biological Assets	-	-	-	-	-	-	-	-	-	-	-	-						
Investment in Associates & Joint Venture	333,802	-	-	-	-	-	-	-	330,162	451,912	663,964	451,912						
Other Long-Term Investments	409,654	416,010	14,165	16,688	232	201	193,504	169,222	1,877	2,506	619,433	603,628						
Retirement Benefit Obligations - Plan Assets	29,134	24,135	27,010	22,693	-	-	-	-	-	-	56,143	46,828						
Deferred Tax Assets	347,234	242,278	89,802	123,470	299	1,506	-	-	25,571	17,199	462,906	384,453						
	11,163,567	6,438,336	3,410,412	2,355,867	5,077,567	3,644,061	9,743,312	9,537,948	1,561,564	1,706,604	30,956,424	23,682,815						
Goodwill	-	-	-	-	-	-	-	-	-	-	880,256	936,721						
Income Tax Recoverable	-	-	-	-	-	-	-	-	-	-	185,818	180,096						
Non-Current Liabilities	1,273,134	1,246,944	3,071,592	1,877,471	616,325	532,497	2,372,500	3,150,369	366,542	248,133	7,700,093	7,055,392						
Interest-Bearing Borrowings	16,663	19,698	146	169	-	-	537,113	551,293	-	-	553,922	571,160						
Capital Grants	1,105,236	411,027	68,341	77,877	575,327	216,391	307,239	207,951	225,366	216,195	2,281,509	1,129,441						
Deferred Tax Liabilities	769,399	710,893	203,632	203,589	44,849	36,342	2,099,133	1,900,256	22,216	20,055	3,139,229	2,871,135						
Retirement Benefit Obligations	24,640	17,920	-	-	-	-	-	-	-	-	24,640	17,920						
Rent Received in Advance	3,189,072	2,406,482	3,343,711	2,159,106	1,236,501	785,208	5,315,985	5,809,869	614,124	484,383	13,699,393	11,645,048						
Current Liabilities	-	-	-	-	-	-	-	-	-	-	363,605	363,563						
Income Tax Payables	-	-	-	-	-	-	-	-	-	-	-	-						

Group Financial Summary

As at 31st March,	SLFRS									2010 Rs.'000
	2019 Rs.'000	2018 Rs.'000	2017 Rs.'000	2016 Rs.'000 Restated	2015 Rs.'000 Restated	2014 Rs.'000 Restated	2013 Rs.'000	2012 Rs.'000	2011 Rs.'000	
TRADING RESULTS										
Group Revenue	41,689,356	43,293,386	41,016,474	36,860,104	35,384,600	35,029,794	29,918,015	31,771,237	27,758,034	14,633,342
Profit/(Loss) before Tax	(3,360,071)	(155,716)	(916,447)	(518,466)	85,726	53,749	1,596,841	2,757,954	2,564,025	981,738
Income Tax Expense	195,450	(152,561)	(161,816)	(161,751)	(334,213)	(329,384)	(396,877)	(649,892)	(424,969)	(311,598)
Profit/(Loss) for the Period	(3,164,621)	(308,277)	(1,078,263)	(680,217)	(248,487)	(275,635)	1,199,964	2,108,062	2,139,056	670,139
Other Comprehensive Income	4,884,082	(227,573)	339,965	224,102	58,039	(142,790)	(229,597)	(1,762,361)	-	-
Attributable to :										
Equity Holders of the Parent	511,909	(609,384)	(740,430)	(236,610)	208,795	(94,546)	647,598	(129,352)	1,146,897	412,803
Non - Controlling Interest	1,207,552	73,534	2,132	(219,505)	(399,243)	(323,879)	322,769	475,052	992,159	257,337
	1,719,461	(535,850)	(738,298)	(456,115)	(190,448)	(418,425)	970,367	345,701	2,139,056	670,140
CAPITAL EMPLOYED										
Stated Capital	327,000	327,000	327,000	327,000	327,000	327,000	327,000	327,000	327,000	327,000
Capital Reserves	20,058	20,058	20,058	20,058	20,058	20,058	20,058	20,058	20,058	1,789,242
Revenue Reserves	5,181,961	4,779,872	6,539,747	7,358,967	7,717,790	7,477,502	7,477,502	7,196,989	7,348,455	999,807
	5,529,019	5,126,930	6,886,805	7,706,025	8,064,848	7,824,560	7,824,560	7,544,047	7,695,513	3,116,049
Non - Controlling Interest	4,220,461	3,159,291	4,003,925	4,246,250	4,443,556	4,993,804	4,993,804	5,411,705	5,563,904	3,175,588
Total Equity	9,749,480	8,286,221	10,890,730	11,952,275	12,508,404	12,818,364	12,818,364	12,955,753	13,259,417	6,291,637
Total Debt	21,652,546	22,893,299	19,675,316	18,135,808	15,064,936	12,477,962	12,477,962	8,932,057	6,794,671	5,115,969
	31,402,026	31,179,520	30,566,046	30,088,084	27,573,340	25,296,326	25,296,326	21,887,810	20,054,088	11,407,606
ASSETS EMPLOYED										
Property, Plant & Equipment	24,526,759	19,330,577	19,440,906	18,989,573	18,522,474	16,039,000	16,039,000	12,816,158	11,368,935	9,620,957
Other Non-Current Assets	7,147,281	5,699,579	4,761,462	4,485,260	4,384,477	3,569,478	3,569,478	3,929,215	5,464,619	1,730,604
Current Assets	16,999,785	19,512,493	17,493,433	17,012,222	16,728,532	15,832,651	15,832,651	12,560,110	10,257,705	6,481,451
Assets Held for Sale	67,365	60,000	207,956							
Liabilities Net of Debt	(25,292,317)	(24,671,381)	(21,143,353)	(19,478,040)	(17,480,580)	(15,287,631)	(15,287,631)	(10,319,085)	(8,064,766)	(6,425,406)
	23,448,873	19,931,268	20,760,404	21,009,015	22,154,903	20,153,498	20,153,498	18,986,398	19,026,493	11,407,606
CASH FLOW										
Net Cash Generated from/(used in) :										
Operating Activities	1,684,826	(484,934)	726,188	(1,904,014)	(1,386,736)	1,643,947	(542,829)	2,522,199	239,990	982,070
Investing Activities	(1,179,861)	(2,238,075)	(1,887,804)	(1,400,615)	(3,421,836)	(1,345,360)	(3,089,110)	(2,911,007)	(1,216,237)	(1,430,970)
Financing Activities	(1,392,370)	2,999,320	1,264,414	2,303,916	2,278,260	217,398	1,810,567	553,817	1,744,333	741,415
INVESTOR'S INDICATORS										
Earnings/(Loss) per Share (Rs.)	(12.08)	(2.78)	(4.89)	(1.73)	0.32	(0.83)	4.12	7.03	31.86	11.47
Net Asset/(Liability) per Share (Rs.)	30.72	28.48	38.26	42.81	44.80	43.47	43.47	41.91	123.68	86.56
Price Earnings Ratio (Times)	(1.12)	(6.91)	(3.70)	(11.28)	79.83	(30.73)	7.04	5.97	13.00	5.62
KEY INDICATORS										
Market Value per Share (Rs.)	13.50	19.20	18.10	19.50	25.20	25.50	29.00	33.90	400.40	64.50
Market Capitalisation (Rs.'000)	2,430,000	3,456,000	3,258,000	3,510,000	4,536,000	4,590,000	5,220,000	6,102,000	14,414,400	2,322,000
Current Ratio (Times)	0.40	0.49	0.51	0.53	0.62	1.04	1.04	1.20	1.25	0.97
Interest Cover	0.03	0.94	0.57	0.67	1.06	1.03	2.40	4.56	4.99	2.81

Share Information

DISTRIBUTION OF SHAREHOLDING

No. of Shares Held	As At 31st March 2019			As At 31st March 2018		
	No. of Shareholders	Total Holding	Holding %	No. of Shareholders	Total Holding	Holding %
1 - 1,000	1,172	413,799	0.23	1,167	430,184	0.24
1,001 - 10,000	748	3,035,774	1.68	760	3,078,429	1.71
10,001 - 100,000	208	6,177,353	3.44	218	6,590,676	3.66
100,001 - 1,000,000	44	15,002,753	8.33	44	15,693,187	8.72
Over 1,000,000	20	155,370,321	86.32	20	154,207,524	85.67
Total	2,192	180,000,000	100.00	2,209	180,000,000	100.00

ANALYSIS OF ORDINARY SHAREHOLDERS

	As At 31st March 2019			As At 31st March 2018		
	No. of Shareholders	Total Holdings	%	No. of Shareholders	Total Holdings	%
Individuals	2,038	24,880,461	13.82	2,048	25,156,196	13.98
Institutions	154	155,119,539	86.18	161	154,843,804	86.02
	2,192	180,000,000	100.00	2,209	180,000,000	100.00

PUBLIC HOLDING

The percentage of shares held by the public as at 31st March 2019 was 37.95% (2018 - 31.86%)

PUBLIC SHAREHOLDERS

The number of Public Shareholders as at 31st March 2019 were 2,175 (2018 - 2,187)

FLOAT ADJUSTED MARKET CAPITALISATION

The applicable option under Colombo Stock Exchange Rule 7.13.1 on Minimum Public Holding is Option 5 and the Float Adjusted Market Capitalisation as at 31st March 2019 was Rs.922.18 million.

MARKET VALUE OF SHARES

	2018/2019 Rs.	2017/2018 Rs.
Highest	20.90	24.00
Lowest	12.70	17.00
Year end	13.50	19.20

NET ASSETS PER SHARE

	Rs.
31.03.2019	7.85
31.03.2018	7.91

TWENTY MAJOR SHAREHOLDERS

Position	Full Name of Shareholder	31st March 2019		31st March 2018	
		No.of Shares	Share Percentage	No.of Shares	Share Percentage
1	Colombo Investment Trust PLC	25,112,969	13.95%	25,162,969	13.98%
2	Property And Investment Holdings (Pvt) Ltd	24,799,690	13.78%	24,799,690	13.78%
3	Colombo Fort Investments PLC	21,668,586	12.04%	21,718,586	12.07%
4	Capital Investments Limited	19,484,375	10.82%	19,484,375	10.82%
5	Corporate Holdings (Pvt) Ltd A/C No.02	9,099,080	5.06%	9,099,080	5.06%
6	Financial Trust Limited	7,287,000	4.05%	7,232,717	4.02%
7	Seylan Bank PLC / Dr. T. Senthilvel	7,231,723	4.02%	6,777,410	3.77%
8	Sampath Bank PLC / Dr. T. Senthilvel	6,922,023	3.85%	6,873,822	3.82%
9	Sampath Bank PLC / Mr. A. Sithampalam	6,094,530	3.39%	5,994,530	3.33%
10	Seylan Bank PLC / Mr. A. Sithampalam	5,000,000	2.78%	5,000,000	2.78%
11	Union Investments (Private) Ltd	4,089,680	2.27%	4,089,680	2.27%
12	Commercial Bank of Ceylon PLC/Capital Investments Ltd	3,600,000	2.00%	3,600,000	2.00%
13	Commercial Bank of Ceylon PLC/Property & Investment Holdings (Pvt) Ltd	3,600,000	2.00%	3,600,000	2.00%
14	Corporate Holdings (Private) Limited A/C No.01	1,953,265	1.09%	1,953,265	1.09%
15	Jacey Trust Services (Private) Limited A/C No. 01	1,858,500	1.03%	-	-
16	Mr. R. Maheswaran	1,800,000	1.00%	1,800,000	1.00%
17	Ms. A. Radhakrishnan	1,800,000	1.00%	1,800,000	1.00%
18	Ms. M.P. Radhakrishnan	1,800,000	1.00%	1,800,000	1.00%
19	Associated Electrical Corporation Ltd	1,157,900	0.64%	1,157,900	0.64%
20	Mr. A. Sithampalam	1,011,000	0.56%	1,011,000	0.56%
	Total	155,370,321	86.33%	152,955,024	84.99%

Notice of Meeting

Notice is hereby given that the One Hundred and Twentieth Annual General Meeting of The Colombo Fort Land & Building PLC will be held at the Grand Oriental Hotel, No. 2, York Street, Colombo 1, on 30th September, 2019 at 4.30 p.m. and the business to be brought before the meeting will be:

1. To receive and consider the Annual Report of the Board of Directors and the Statement of Accounts for the year ended 31st March, 2019 with the Report of the Auditors thereon.
2. To re-elect Mr. S.D.R. Arudpragasam, who retires by rotation in accordance with Articles 85 and 86 of the Articles of Association, as a Director.
3. To re-elect Mr. P.M.A. Sirimane, who retires by rotation in accordance with Articles 85 and 86 of the Articles of Association, as a Director.
4. To reappoint Mr. A.M. de S. Jayaratne, as a Director. As Mr. A.M. de S. Jayaratne is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out in the Notes in relation to his reappointment. (See Note No. ii).
5. To reappoint Mr. A. Rajaratnam, as a Director. As Mr. A. Rajaratnam is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out in the Notes in relation to his reappointment. (See Note No. iii).
6. To reappoint Mr. R. Seevaratnam, as a Director. As Mr. R. Seevaratnam is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out in the Notes in relation to his reappointment. (See Note No. iv).
7. To reappoint Mr. C.P.R. Perera, as a Director. As Mr. C.P.R. Perera is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out in the Notes in relation to his reappointment. (See Note No. v).
8. To authorise the Directors to determine contributions to Charities.
9. To reappoint Messrs. KPMG, Chartered Accountants as Auditors and to authorise the Directors to determine their remuneration.

By Order of the Board,
Corporate Managers & Secretaries (Private) Limited
Managers & Secretaries

Colombo
30th August, 2019

Note:

(i) A member is entitled to appoint a Proxy to attend and vote in his/her stead and a Proxy need not be a member of the Company. A Form of Proxy is enclosed with this Report. The instrument appointing a Proxy must be completed and deposited at the Registered Office of the Company, not less than forty- eight hours before the time fixed for the meeting.

(ii) The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr. A.M. de S. Jayaratne, as an Ordinary Resolution:

“Resolved –

That Mr. A.M. de S. Jayaratne who is seventy nine years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr. A.M. de S. Jayaratne.”

(iii) The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr. A. Rajaratnam, as an Ordinary Resolution:

“Resolved –

That Mr. A. Rajaratnam who is seventy eight years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr. A. Rajaratnam.”

(iv) The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr. R. Seevaratnam, as an Ordinary Resolution:

“Resolved –

That Mr. R. Seevaratnam who as at the date of the Annual General Meeting would have reached the age of seventy six years be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr. R. Seevaratnam.”

(v) The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr. C.P.R. Perera as an Ordinary Resolution:

“Resolved –

That Mr. C.P.R. Perera who is seventy five years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr.C.P.R. Perera.”

Notes

Form of Proxy

I/We of

 being a member/members of THE COLOMBO FORT LAND & BUILDING PLC hereby appoint
 of
 whom failing

- | | |
|---------------------------------------|----------------------------|
| 1. Alagarajah Rajaratnam | of Colombo or failing him, |
| 2. Sri Dhaman Rajendram Arudpragasam | of Colombo or failing him, |
| 3. Ajit Mahendra de Silva Jayaratne | of Colombo or failing him, |
| 4. Ranjeevan Seevaratnam | of Colombo or failing him, |
| 5. Anushman Rajaratnam | of Colombo or failing him |
| 6. Chrisantha Priyange Richard Perera | of Colombo or failing him, |
| 7. Parakrama Maithri Asoka Sirimane | of Colombo or failing him, |
| 8. Sanjeev Rajaratnam | of Colombo, |

as my/our proxy to represent me/us, to speak and to vote on my/our behalf at the One Hundred and Twentieth Annual General Meeting of the Company to be held on 30th September, 2019 and at any adjournment thereof and at every poll which may be taken in consequence of the aforesaid meeting.

	For	Against
1. To receive and consider the Annual Report of the Board of Directors and the Statement of Accounts for the year ended 31st March 2019 with the Report of the Auditors thereon.	☐	☐
2. To re-elect Mr. S.D.R. Arudpragasam, who retires by rotation in terms of Articles 85 and 86 of the Articles of Association, as a Director.	☐	☐
3. To re-elect Mr. P.M.A. Sirimane, who retires by rotation in terms of Articles 85 and 86 of the Articles of Association, as a Director.	☐	☐
4. To reappoint Mr. A.M. de S. Jayaratne, as a Director. As Mr. A.M. de S. Jayaratne is over 70 years, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out in the Notice of Meeting.	☐	☐
5. To reappoint Mr. A. Rajaratnam as a Director. As Mr. A. Rajaratnam is over 70 years, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out in the Notice of Meeting.	☐	☐
6. To reappoint Mr. R. Seevaratnam as a Director. As Mr. R. Seevaratnam is over 70 years, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out in the Notice of Meeting.	☐	☐
7. To reappoint Mr. C.P.R. Perera as a Director. As Mr. C.P.R. Perera is over 70 years, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out in the Notice of Meeting.	☐	☐
8. To authorise the Directors to determine contributions to charities.	☐	☐
9. To reappoint Messrs KPMG, Chartered Accountants, as Auditors and to authorise the Directors to determine their remuneration.	☐	☐

As witness my/our hand(s) this day of, 2019.

.....
 Signature of Shareholder

Note:

- A proxy need not be a member of the Company.
- Please indicate with an X in the space provided how your proxy is to vote. If there is in the view of the proxy holder doubt (by reason of the way in which the instructions contained in the proxy have been completed) as to the way in which the Proxy holder should vote, the Proxy holder shall vote as he thinks fit.
- Instructions as to completion appear on the reverse hereof;

INSTRUCTIONS AS TO COMPLETION OF FORM OF PROXY

1. To be valid, this Form of Proxy must be deposited at the Registered Office of the Company No. 8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 1, not less than 48 hours before the time appointed for the holding of the meeting.
2. In perfecting the Form of Proxy, please ensure that all details are legible.
3. Please indicate clearly how your Proxy is to vote on the resolution. If no indication is given the Proxy at his discretion may vote as he thinks fit.
4. In the case of Corporate Members, the Form of Proxy must be under seal or under the hand of an Authorised Officer or Attorney.
5. Where the Form of Proxy is signed under a Power of Attorney (POA) which has not been registered with the Company, the original POA together with a photocopy of the same, or a copy certified by a Notary Public must be lodged with the Company along with the Form of Proxy.

Corporate Information

BOARD OF DIRECTORS

A. Rajaratnam - Chairman

FCA

(Alternate - Anushman Rajaratnam)

S.D.R. Arudpragasam - Deputy Chairman

FCMA (U.K.)

Anushman Rajaratnam - Group Managing Director

B.Sc.(Hons.), CPA, MBA

A.M. de S. Jayaratne

B.Sc. (Econ.), FCA (Eng. & Wales), FCA (ICASL)

R. Seevaratnam

B.Sc. (Lond.), FCA (Eng. & Wales), FCA (ICASL)

C.P.R. Perera

P.M.A. Sirimane - Group Finance Director

FCA, MBA

S. Rajaratnam

B.Sc., CA

NAME OF THE COMPANY

The Colombo Fort Land & Building PLC

LEGAL FORM

A Quoted Company with limited liability, incorporated under the provisions of the Joint Stock Companies Ordinance 1861 & 1888 on 30th April, 1895 and re-registered under the Companies Act No. 07 of 2007 on 3rd July, 2008.

COMPANY NO.

PQ172

REGISTERED OFFICE

No. 8-5/2, Leyden Bastian Road,
York Arcade Building, Colombo 01.

STOCK EXCHANGE LISTING

The ordinary shares of the Company are listed on the Colombo Stock Exchange of Sri Lanka.

BANKERS

Commercial Bank of Ceylon PLC
Standard Chartered Bank
Hatton National Bank PLC
Indian Bank
Sampath Bank PLC

AUDITORS

Messrs. KPMG, Chartered Accountants

LEGAL ADVISERS

Julius & Creasy
Attorneys-at-Law

TAX ADVISORS

Messrs. KPMG, Chartered Accountants

MANAGERS & SECRETARIES

Corporate Managers & Secretaries (Private) Limited
No. 8-5/2, Leyden Bastian Road,
York Arcade Building, Colombo 1.
Tel: 011 2344485 - 9

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